Sona BLW Precis. (SONACOMS)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: May 2023

(no extractable text — likely a scanned image PDF)

Call: Aug 2023

Date: -3rd August, 2023

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter ended on
30th June, 2023
Dear Sir / Madam, P u r s u a n t t o R e g u l a t i o n 3 0 r e a d w i t h S c h e d u l e I I I o f t h e S E B I (L i s t i n g O b l i g a t i o n s a n d Disclosure Requirements) Regulations, 2015, pl ease find enclosed herewith the transcript of the Investor Call held on Thursday, 27
th July, 2023 on the financial result of the Company
for the quarter ended on 30th June, 2023.

The transcript will also available on the website of the Company at
https://sonacomstar.com/investor/investor-presentations

This is for your information and further dissemination.

Thanking you, For Sona BLW Precision Forgings Limited

Ajay Pratap Singh Vice President (Legal), Company Secretary and Compliance Officer BSE Ltd.
Regd. Office: Floor - 25,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai-400 001. National Stock Exchange of India Ltd.
Listing Deptt., Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051
BSE Scrip Code: 543300 NSE Scrip: SONACOMS

SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q1 FY24 Earnings Conference Call Transcript
July 27, 20 23
The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

https://sonacomstar.com/investor/investor -presentations

Moderator : Ladies and gentlemen, good day , and welcome to the Sona Comstar Q1FY24 earnings group conference call. Please note all participant lines are in the listen -only mode as of now, there will be an opportunity for you to ask questions after the presentation conclude s.
Please note that this call is being recorded. We request that you place your line on mute except when asking a question.
Slide 2:
Some of the statements by the management team in today's confe rence call may be forward- looking in nature and we request you to refer to the disclaimer in the earnings presentation for further details.
The management will not be taking any specific customer -related questions or confirm or deny any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in your question.
Now, I will hand over the floor to Mr. Kapil Singh, Head of Consumer and Digital Commerce Research, India , and lead auto analyst at Nomura. Kapil, please go ahead.
Kapil Singh : Slide 3:
Good day, everyone. To take us through Q1FY24 results and to answer your questions, we have the entire senior management team of Sona Comstar.
We have Mr. Vivek Vikram Singh, MD and Group CEO, Mr. Kiran Deshmukh Group CTO, Mr. Sat Mohan Gupta, CEO - Mot or Business, Mr. Vikram Verma, CEO - Driveline Business, Mr. Rohit Nanda, Group CFO, Mr . Amit Mishra, Head Investor Relations and Mr. Pratik Sachan DGM Corporate Strategy and Investor Relations. I will hand over the call to Mr. Vivek for his opening remarks followed by the presentation. Over to you, Vivek.

Vivek Vikram Singh: Thank you, Kapil, and welcome everyone to the earnings call of what has once again been the highest -ever quarterly EBITDA.

But first, as is our practice when talking to our shareholders, we let bad news take the elevator while good news takes the stairs. As highlighted in the last earnings call as well, the EV Two -wheeler industry continues to face issues around FAME II subsidy reduction and the related fallout on pricing and demand. This has meant an almo st 25 crore negative impact on our sales this quarter from what would have been. We estimate that for the full year, we should see a 100 to 120 crore negative impact on the budgeted revenue from this category. However, having said that we still expect trac tion motors to be our fastest -growing product segment because this will happen on the back of new programs and new customer additions. EV Two-wheeler motors have relatively lower margins than our other products. So the corresponding impact on EBITDA and profit should be smaller.
Now come to the good news part of it, which is, which far outweighs the bad. In financial terms , we achieved our highest -ever EBITDA in Q1FY24. This is despite marginally lower sequential revenue. We've also begun FY24 with some me aningful new wins in both Motor and Driveline businesses that give us the confidence that we are moving swiftly on a long -term strategy. Three of the new programs, also mark our entry into three distinct new market segments that we had not been address ing before. We have additionally made substantial progress on our technology roadmap by partnering with a road -tested technology partner in Equipmake. And this is to enter the high-voltage motor and inverter space.
The macro view of the markets we serve also remains positive with light vehicle sales in both the U S and Europe growing by double digits on a year -on-year basis in Q1, growth continues to look robust in most of our markets.
The Indian market also did well in passenger cars and was I would say flat tish in CV and off -highway. So overall continues to look positive.
Slide 4:
Now coming to the numbers . On a year -on-year basis, our revenue grew by 24% while EBITDA and net profit increased by 43% and 48% respectively. This happened because the margins have improved due to product mix as well as operating leverage, battery electric vehicle revenue grew by 13% and the BEV revenue share was at 26%. Both these metrics should have been higher, if not for the subsidy reduction impact on the EV Two- wheeler segment, which we believe should ease out going into the next few quarters.
Slide 7:
Now we've moved to an update on the biggest strategic priority which is electrification. Our BEV revenue continues to grow and we continue to build on our EV orderbook. In Q1, 3 programs have go ne into production, two in the motor business and one in driveline. And this takes the number of programs which are active to 23.
We have also added four new EV programs and one new EV customer to the orderbook in the last quarter. One program is for EV differential gears for

a North American customer and the remaining three program wins are substantial enough that we would like to elaborate upon them in the next slide.
Slide 8:
We wanted to emphasize these wins as they are meaningful for the future of both businesses, financially as well as directionally. The first one is a differential assembly program for a class five electric truck for a new North American customer. This customer is a new -age OEM of commercial vehicles. Last quarter if you recall, we had won ou r first-ever order for commercial vehicle differential assemblies, and by following up on that with the second order and that too with a new customer, we can see that the electric truck market, especially in North America is becoming a meaningful addition to our future revenue.
The second one is a large volume traction motor program that we have

won from an established Indian two -wheeler OEM who's an existing customer. This
program is for their upcoming electric scooter model, which is expected to target the more let's say affordable market segment. This program is slated
to become serial production in this financial year itself. And repeat business wins from the same customer are always special because if you win a business again for a new model that a customer is introducing, it proves our merit of being the first choice supplier or the first supplier. And it shows the faith the customer has in the quality and delivery of our product.
The third new EV program win is an interesting one once again, it's a mid-drive traction motor as well as the motor controller for this. And this is for electric tractor application. L ike the second program , this too comes from
an existing customer where we currently supply motors for the electric three-wheelers . And apart fr om the obvious show of faith, this win is also important
as it is the first traction motor order for tractors, and this goes to show our journey and the progress we are making on it.
Slide 9:
So two quarters ago, if you remember in Q3 of last year, we had presented to all of you this slide on what is our approach to electrification and how we
intend to cover both passenger as well as commercial vehicle applications and all the segments of that. It gives us great pride in reporting that only in
six months, we have secured new orders that enable us to address almost all the market segments in the driveline business, only one remains , 40-100 kilowatts in commercials. In the motor business , we continue our steady journey moving up on both the capability access of power as well a s voltage.
When we did our first earnings call nearly two years ago, our drive line business used to cater only to passenger vehicles in the electric vehicle space. Our motor business on the other hand had barely begun in EV and we had a couple of EV programs contributing literally next to zero revenue.

The progress we made in only two years is quite remarkable. I mean, sometimes even to ourselves. And I think this is this mindset and approach, one of continual addition of new products and new market segm ents has been and will remain the reason we grow much faster than our industry.
Slide 10:
This slide I think is a good visual summary of this section and it shows the reach and diversity of our electrification mission. This quarter, as you can see, we
added one new customer in North America while adding two programs each in North America and India.
Slide 12:
This brings us to our net order book with the addition of 13 billion worth of new orders last quarter. At the end of Q1FY24, our net order book had expanded
to 220 billion rupees. Two interesting things, the EV portion of this has now reached 78% , and if you notice the other side of it, which is non-EV, in that
passenger vehicle is only 6%. So if we do believe that commercial vehicles and off -highway , are less, are going to elec trify, let's say later, the business at
risk is very, very low for us in the order book. And of course, in addition, to the four new EV programs that we discussed, we have also added 10 new
programs for non -EV applications, out of which we would like to highlight one new win although it is non -EV.
Slide 13:
So we wanted to emphasize this win, as it is our first differential assembly program for recreational off-highway vehicles. This order is from a new global customer, and apart from signaling entry to get another new market, it is quite material from a revenue perspective as well. But most importantly, from a strategic perspective. This category of vehicles in our humble and limited opinion would be the least and last to be affected by electrification, which makes it a very good business development target for ou

r starter motor
business as well, and that's what we would hope that we would like to target this for that segment and try to get more traction here.
Slide 1 5:
Our fourth KRA is diversification, and on this slide, you can see that the trend

of increasing electrification and decreasing ICE dependence continues
unhindered, and in the last two years, we've seen the ICE-dependent
revenue shrink to only about 11%.
Slide 16:
Geographically the revenue mix is largely similar to the last financial year.
North America remains steady at 43% of our revenue in Q1, which is quite
robust growth because we have increased by 24% and to maintain that in
such a large market means it's a very good time for North America. Second,
after dropping to nearly 11% revenue share in Q1 last year, the European

market has also recovered quite strongly, and it has come back to 23% of
our revenue which suggests a return to I would say normal demand.
Coming to product mix or vehicle segment mix, the most glaring change is
the reduction in revenue share from traction motors for electric two -wheeler
and three -wheeler segment. And this is due to the reasons I've already
covered earlier. The other change would be the exceptional growth in the
differential gears business this quarter and the lack of the similar rate of
growth or relative growth in conventional starter business.
Having said this, we expect the traction motor business to gain relative
revenue share this year and be the fastest-growing product segment f or us,
as there are several new programs that have either already begun or will begin in the next few months.
So, with that, I turn to our Group CTO, Mr. Deshmukh , to update us on
technology over to you, sir.
Kiran Deshmukh: Slide 17:
Thank you, Vivek. Good evening, ladies, and gentlemen .
Slide 18:
This is our technology roadmap that we share with you every quarter. This
quarter, I would like to highlight some important products which are abou t
to move from the white area to the blue zone which is a high -voltage
traction motors and matching liquid cool inverters. We expect to
commercialize these products in year 2025, t hanks to our recently
concluded partnership agreement with Equipmake of the UK.
Slide 19:
Equipmake’s next -generation electric motors differ from the conventional
permanent magnet machines due to their unique and patented spoke architecture. Here, the magnets are arranged like the spokes of a wheel,
allowing the best use of the magnetic flux and achieving the highest torque
density.
You need to use the most powerful magnets to get the most powered dense electric motor. But those magnets don't like getting very hot so they must be
kept cool. With a spoke architecture , we can have the cooling liquid very
close to the base of the magnets, which is impossible in the conventional
internal magnetic machines. As a result of which we can get very highly
effective heat extraction. This efficient cooling system means we can run
spoke motor harder and for longer. These motors are around half the s ize
and about 80% of the mass of the equivalent conventional interior permanent magnetic motors. They are among the best in the world in power
density .
Slide 20:

Equipmake’s very high torque, high power motors, high power density motors
meet the needs of a growing electric bus and commercial vehicle market.
The technology has been tested, proven and Equipmake has delivered these motors to several customers worldwide.
Our agreement with Equipmake covers the EV drive trains consisting of the
inverters and the motor s in the 100 kilowatts and 440 kilowatts , 100 to 440-
kilowatt range for electric passenger cars, buses, commercial vehicles , and
off-highway vehicles including tractors.
We will have the exclusive

rights to sell Equipmake's motors and inverters in
the licensed territory which is India, Thailand , and select South Asian markets.
We will manufacture these products in India and supply them obviously to our customers in licensed territory but also to Equipmake's other markets.
In other words, our partnership with Equipmake will help us add high -voltage
traction motors and inverters to our product offerings.
With that , I hand over to Rohit to cover the financial update.
Rohit Nanda: Slide 21:
Thank you , Mr. Deshmukh, a very good day to you all. It's my pleasure to
share the key highlight s of our first quarter numbers.
Slide 22:
Our revenue during the quarter grew by 24% to 732 crore rupees. Our BEV
revenue grew by 13% to 184 crores . And as Vivek has already mentioned, it
was affected adversely by a loss of sales in India Electric Two- Wheeler and
Three- Wheeler market due to reduction in FAME II subsidy. Non-BEV revenue
grew by a robust 28% to 548 crore rupees. A growth of nearly two times the underlying growth in our key markets of North America, Europe , and India.
During the quarter, EBITDA grew by 43% to the highest -ever number of 203
crores. There was a recovery of about 3.6% in EBITDA margin to 27.8%.
Primarily due to better product mix and operating leverage. Our PAT grew
by 48% to 112 crores reflecting the improvement in our EBITDA margin. PAT
adjusted for exceptional expense on account of ongoing acquisition -
related diligence work grew by 51% to 114 crores. Next one , ple ase.
Slide 23:
Coming on to the key ratios which is the last slide in the presentation. Our
value addition to employee cost was stable at 6.4 times this quarter. Our
return ratios of capital employed and return on equity continued to be
strong with some improvements. RoCE was at 31.4% and RoE was 27.1% due
to high year -on-year growth in the profits. Our net debt to EBITDA continues
to be below zero, as net debt number is negative . The working capital
turnover ratio has further improved to 4.4 times due to higher last 12- month
revenue and fixed asset turnover ratio was slightly lower at 3.8 times primarily due to new capitalization done during the quarter.

With this, we have come to the end of the presentation and I'll now hand the
proceedings back to the Nomura team for Q &A.
Moderator: Thank you very much. Now we are at the Q&A portion of the session. If you
wish to raise a question, please use the raise hand function locat ed at the
bottom right of Webex page. We will unmute your line and prompt you to
speak up or you can submit your question in the Q&A chat box addressing
to all presenters, please be reminded to keep your questions to a minimum of two questions. If you have more questions, please return to the queue.
Thank you.
Okay, so we have a couple of participants who have used the raise hand,
we will start off with Ms. Gunjan. One second, your line is unmute Ms. Gunjan,
please go ahead. Ms. Gunjan Pri thyani. Are you able to spe ak up? Ok. So, if
you can't speak up, you can submit your question in the chat box. We will
now go to the second participant, Mr. Jinesh Gandhi. Please go ahead with
your two questions.
Jinesh Gandhi : Yeah. congrats for a very good set of numbers and a couple of questions
from my side. One is, can you talk about drivers of gross margin improvement, in 1Q, we have seen a very sharp improvement in gross
margin, so, is it just the product mix or there are also additional benefits of
commodity , which came in and similarly, other expenses have gone up quite
substantially on Q oQ basis, so if you can clarify on th ese two P &L item s and
then have one more question on the business.
Rohit Nanda : So, Jinesh on the margin improvement side, there is no commodity benefit
which is there in this q uarter. So it's purely on account of improvement i

n the
product mix and operating leverage. Sorry, what was your second question?
Jinesh Gandhi : Other expenses have gone up on Q oQ basis. So, any one -offs there?
Rohit Nanda: No, there won't be a one -offs a ctually other expenses will also have
manufacturing expenses which is also a function of change in the mix. There

are no exceptional expenses in this quarter. I mean, except for what is
separately disclosed as exceptional expense, which is a small 3 cr.
Jinesh Gandhi : Sure
Vivek Vikram Singh: Just to help Jinesh understand in the driveline business raw material expenses
are relatively lower but manufacturing expenses are much higher because there we start from steel and build everything in -house. In the motor business,
raw material expenses a re higher because there are also a lot of bought -out
items in its assembly. The manufacturing expenses are relatively lower. So as
the product mix shifts between motor and driveline, these numbers change,
but there is nothing exceptional.
Jinesh Gandhi : Right, Right. Ok. Second question pertains to the order book which we have
and as the revenue ramps up over the next 2 to 3 years, as this order book
comes into P&L, what are the factors you're looking from a margin
perspective in terms of push and pull, given that we are already at about

27.5 - 28% margin. How do you see margin evolution based on the orderbook
coming into the P&L over the next two to three years?
Vivek Vikram Singh: So, Jinesh the answer is the same as it has always been. I mean, this is our 9th
earnings call and I think we've answered it nine times. We expect our margins
to remain in the range of 25 to 27% over the medium term and it shouldn't change that much. And if you look at every year, yes, there could be
quarters where it could go very out of this range, b ut on an annual basis, it
always remains in that and that is what we have seen for the last I would say
15 years and that's where we expect it to remain also even going forward.
Jinesh Gandhi : Ok, I got it . A few more questions. I'll come back in queue. Thanks.
Vivek Vikram Singh: Thank you Jinesh.
Moderator: Let's go back to Ms. Gunjan Prithyani. Your line is unmute.
Gunjan Prithyani : Are you able to hear me now?
Moderator : Yes. Very good. Go ahead. Two questions.
Gunjan Prithyani : Ok, sorry about earlier I don't know what happened really. Thanks so much
for taking my question and you know, really impressive wins this quarter.
Good to see the way the portfolio is expanding. I just wanted to get a bit
more color on this Equipmake. You know, because this is an absolutely new
product category. And what I really want to understand is, you know, what
is this arrangement, particularly is it, you know, we going to be
manufacturing for them in India? Is it sort of outsourcing and the business
development that you sort of refer to in the release, that business
development, you know, how big is the opportunity size? Because if I think
about it, E -buses is something which is already seeing huge traction. So is that
something that we can cater to or is my understanding correct on that front ?
So maybe, you know, a little bit of color on that because I haven't heard
much ab out it in terms of the arrangement as well as the economics.
Vivek Vikram Singh: Sure. So Gunjan as usual, you are more right than wrong, you're very close to
the thing. India and Southeast Asia, Thailand these countries, and as you
know, India is the second largest bus market in the world. This is where Sona
Comstar takes the lead and does the business development , selling,
etcetera , and Equipmake is paid a royalty, which is say X percent of the gross
margin . When Equipmake does marketing in Europe, the US, UK and wins a n
order , that's where Sona Comstar's role will be to manufacture those motors
for them.
The two motor catego

ries that were presented, one is very suitable for buses
and that's , where if you saw the power density is almost twice the competing
motors , that is for the bu s category. The other one , which is more I would say
suitable for cars , it is quite good and compares with the best, but it isn't so
much relative outperformance . So, I would say bus is where the primary focus
is if we get any other applications, of course , great, but that's the focus

market. Mr. Deshmukh, Sat, if you can add anything more on the arrangement, it would be nice.

Kiran Deshmukh: So, like I said that the arrangement is exactly what Vivek mentioned , is that we will have the manufacturing facility in India. And s ince our market, India and the Southeast Asia is the largest, which is the licensed territory, so whatever we make here will be to serve that market. But Equipmake gets any business from outside this territory which is Europe, the UK, the US, etcetera, then we wil l be, it will be like subcontracting. So, they will use our facilities. Our facilities will be mainly set up for our market which is India, Thailand and Southeast Asia. So that's the arrangement.

Sat Mohan Gupta : Just to add to Mr. Deshmukh's comments, the APM 200 will a lso be a very good product for the LCV segment in India because that would be catering between 80 kilowatts to 150 kilowatts and it's a very, very light and it's very, very efficient motor design. So, LCV is the segment where we can use APM 200.

Vivek Vikram Singh : Correct. My bad, I forgot that one . Actually, electric CV market, which if you saw that strategic approach is the right next to where we reached this time. We genuinely believe that is a market that should electrify very fast and should electrify completely in India. And if the large LCV players, they seem to be fairly serious also, I think there's a good scope for that motor to succeed. Because compared to the competition that is there in that segment, this motor will perform quite well. And power density upon dollar is what we have to deliver to customers and that's our objective.

Gunjan Prithyani : Anything you would, you can put in terms of, you know, the opportunity size, I mean target I get is small commercial vehicles, e -buses in India. But if I have to think about the opportunity s ize in terms of, you know, what is really, you know, how much let me put it, what is the cost of you know, broad range if you can share and the E -buses that we see, you know, from STU orders, is that something which is also the relevant target market?

Vivek Vikra m Singh: Yes. So the answer in a more prosaic sense is this that if you take the bus market and the LCV market, how much of that will electrify? That's a call you can take and then make that assumption. But the entire electric CV market, and entire electric bus market , and frankly, even the tractor market. Now, what percentage will electrify, let's say by 2030, by 2035 that we leave to you, we don't do that analysis as you know . And I think I explained to you before , if we think the market is large enough, and if we think we have a product that puts us in the best three or four in the world, we go for that market. Because if you have read Clayton Christensen's The Innovator's Dilemma, large companies often fail to address new and emerging markets when they rely too much on TAM and what is the market size. We try not to fail in that trap, whenever we think the market's opportunity is big enough for our scale and is interesting enough to do and we have the right product, we tend to go for it. Assumption on electrification is the only thing that would vary amongst different people who tried to size this market. But it is significant because even if you take 100 buses, right? And you calculate the motor

inverter cost, it is actually a decent enough number for us to stake our clai m there.

Gunjan Prithyani : OK, OK, Got it. I mean, I was trying to understand the value opportunity but maybe I'll, you know, I'll maybe take it later. Just extending this forward on the traction motor . Clearly, this is now, you know, like you called out it will be a big gro wth area. It goes beyond the E two -wheelers and three -wheelers . So, you know, if I have to think about the contribution that can come through from this sub-segment , is that something that you're, you can call out how big can this become in the next like th ree years or so, in terms of the contribution to the revenue?

Vivek Vikram Singh: Not really, no. So that I'll be completely honest, we don't know, we know it will be higher than what it is today. And that is good enough for us to continue. How fast depends on so many factors including government policy, government support, etcetera that we don't want to get into that bit. It's meaningful and it's a high growth rate and that's good enough for us to proceed.

Gunjan Prithyani : OK, just last question on the differential assembly. You know, how does the cost or the value differ from, you know, PV differential assembly to a CV different or truck differential assembly that you have been winning for the last two quarters ?
Vivek Vikram Singh: By a lot
Gunjan Prithyani : Any number?
Vivek Vikram Singh: It depends on the, from customer to customer, class three, class four, class five, class eight. I mean, it's , I can't really give it that straight answer but it is many times I think we gave the range last time that here we're talking about from 150 to 750 dollars per vehicle. So, 150 for the lower class trucks and 750 for the higher I would say class five, class six. So yeah, it's much higher th en.
Gunjan Prithyani : All right . Thank you very much.
Moderator : Thank you. Just a reminder to all participants, please keep your question to 2 maximum, if you have any further questions, you can join back to que ue, appreciate it. We’ll now go to Rishi Vora, your line is unmute please go ahead with two questions.
Rishi Vora : NOVELIC acquisition, I think that acquisition has been delayed, so when should we expect that acquisition to go through? And also, if you could give some business updates about NOVELIC as well, how it has done over the last 1-2 quarters?
Vivek Vikram Singh: Hi Rishi, I thought you were asking about the Novelic transaction. I'll let Rohit answer this one.
Rohit Nanda : So, Rishi, it is indeed delayed. We are expecting to close this next month. That's the answer to yo ur first question. And the second is a performance of

Novelic. Is that the second question? So I would say this year it's been largely in line with the plan that they had shared with us initially. But for us, I mean, the real performance will start kicking in when we start consolidating and that's after closure of the transaction as you know.
Rishi Vora : Thanks for that. And just to follow up on Equipmake, Are we like, or when should we start expecting the company to manufacture this product? Because Equipmake was already going to supply us one order, so when should we expect the manufacturing to start off the products? And have you also started discussing with the domestic OEMs? So any color on the product feedback or whatever you could share at this point in time would be helpful.
Vivek Vikram Singh : Thank you , Rishi. So, I’ll invite Sat to shed more light on that.
Sat Mohan Gupta : So, Rishi, I mean, from the production point of view, we are targeting 2025 to start our commercial production. We are validating these products. These are already used products in t he UK and other territories. So, we are working on to do the validation of these products and the technologies to suit the Indian condition

s and the roads. So, we are targeting to complete that by this year and we will start working with OEMs post those va lidations. So, our plan is to launch sometime in 2025.
Rishi Vora : Understood and just last bit on Equipmake. How should we look at the margins of this product vis -a-vis our business margins, as we will be paying royalty ? Some parts will also be more like we'll just be supplying motors to traction motors to Equipmake. Will it be lower than the business margins or like any sense around that?
Vivek Vikram Singh : Well, it will be lower than 27% for sure, how much lower even we will find out once we start doing it. Yes, there will be a royalty e lement. There will also in the space that we will be doing manufacturing and then some margin will be taken by Equipmake for doing the marketing etcetera there obviously, it will be lower. So, yeah , we expect it to be lower. How much lower, again, we don't know today.
Rishi Vora : Understood. Thank you.
Moderator : Thank you very much. We now move on to the next participant Amy n Pirani. I think he is on mute, the next participant will be Arvind Shyama. The line is mute. We'll go on to the next participant, Basudeb Banerjee.
Basudeb Baner jee: Am I audib le?
Moder ator: Yes, go ahead.
Basudeb Banerjee : Yeah, a couple of questions. One is with respect to the last year those tie -ups

with C -Motive and IRP Nexus, Israel, those news came up. So any update on those tie-ups products when they are getting commercialized or business coming from t hose two tie -ups? That's the first question , sir.

Vivek Vikram Singh : So, Basudeb I will answer that. And I think we mentioned it very clearly even in the earnings call at that time, those were product development partnerships. And if you were to look at the transcript, I think I had written that somebody had asked me what is the probability of success , and I said, between zero and 100 which is what it remains, see Equipmake is a commercial partner for a proven product, those three were to develop products when they do get developed , and product development is the thing that one can't predict from day one that this will happen and then it will happen at a cost that we can sell it at, and then the third, which is how many will we sell? I think that's too early. When, if any of th ose do get developed into commercially viable products, we will certainly inform everyone.

Basudeb Banerjee : Sure. Second thing sir, any update on PLI-related payment, etcetera ?

Vivek Vikram Singh: So, we are moving on our application. It has been and I'll choose my words very carefully. It has been a slow process. It isn't as simple as it appears, I think for the last year from what we know from people in ACMA, etcetera, no auto component company has been approved. So, we are working on our application and yeah, we will let you know when we know more. I mean, even if I feel bad, I wish I knew more but we don't.

Basudeb Banerjee : Sure, last if I can chip in, like in the initial comments, you said around 130 crore revenue was missed because of the FAME subsidy deduction. Am I right sir?

Vivek Vikram Singh : 100 to 120 is our estimate. See this quarter, we lost about 25 crore from what we had budgeted from our electric traction motor customers. So, we did an analysis of what we think will be the whole year 's impact. And 100 is the best case according to us and 1 20 is the worst case. So that's what we are seeing.

Basudeb Banerjee : And that analysis was based on June retails or a more holistic picture because in July, despite that deduction in subsidy, retails have started to improve.

Vivek Vikram Singh : Yeah. So, I mean if it was first week of July , it would be far worse. So no, slightly more realism, after the first 15 days of July.

Basudeb Baner jee: Ok. Understood. Thank you very much.

Moderator

: We'll now go to the next participant.

Vivek Vikram Singh : Basudeb, I get what you're saying, we could be positively surprised but this is what it looked like on 15-16th July and that's where we kept it. Let's see what happens.

Basudeb Banerjee : Sure. Sure

Moderator : Thank you very much. We go to the next participant. Sonal Gupta and your lines are unmute, please go ahead. Hi Sonal, your lines are unmute, are you

able to speak up? Yeah, I think we can't hear you. Would you like to submit your question in the Q and A chat box, please?

Vivek Vikram Singh : Is there a problem at our end or theirs? I mean, three or four people. think they're not being able to speak.

Sonal Gupta : Hi

Vivek Vikram Singh: Hi Sonal, Is that you?

Sonal Gupta : Yes, hi, sorry. I hope I'm clear now.

Vivek Vikram Singh: Yes, you are.

Sonal Gupta: Ok. Great. Thanks. Thanks a lot. Just a couple of questions. One, I mean on the conventional motor side, right, both the mild hybrid as well as the conventional electric starter motors. We are seeing a very lot of quarterly volatility. So just trying to understand what is happening there. Is it because of customer production issues or what is driving this quarterly volatility?

Vivek Vikram Singh: Sorry, I didn't get that.
Sonal Gupta: Sorry, I'll repeat it again. I don't know if you, so just on the conventional motors, I w as just trying to understand there's a lot of quarterly volatility in terms of the revenues. So just trying to understand what is the reason for that. And how do you see this segment? Is this more like a flattish segment or what's happening there?
Vivek Vikram Singh: Yes. So I'll let Sat answer it. But I mean, look, if you were to look at the long term, starter motors as a product would decline to zero , right ? Now is that date in 2032, 2033 or is it 2038? We don't know yet. So, we prepare for the worst case in that scenario. Only s tarter motors for, I would say off -highway , and maybe some segment of commercial vehicles might survive. Commercial vehicle we are not there, off -highway we want to get into but not in the tractor segment , and more construction equipment or recreational vehic le segments, we'll see that. But long term it is going to decline, in the short term, yes, there has been volatility because this business has been focused mostly on North America and Europe, right, very few little bit sales we do in India. And yes, last five or six quarters because of supply chain risk, the Russia -Ukraine situation, there has been a lot of fluctuation in those two markets. Apart from that, nothing exceptional ha s actually happened. And if you look at absolute revenue from three years ago to no w, it might not actually be very different. So, it is a long -term downward trend ing product. It hasn't shown up yet but it will at some point.
Sona l Gupta : Got it. So I know, I understand there's a lot of shift like in Europe, more than 20% BEVs are there. So now, so just trying, I mean, so are we actively seeking new business in these areas or we are sort of completely focusing on the traction motor for EV side?

Vivek Vikram Singh : I'd say both Sonal. So, while it is a market that eventually is going to decline and traction motors is the f uture. If one looks at it, in three years out the traction motors will be a larger business for us than starter motors already. There is still focus on trying to find niches in which starter motors will remain. There is very little focus on trying to maxim ize within segments we know we are not going to be in. So I think I mentioned that recreational vehicle category, similar categories, if we find we will keep trying to make that investment last as long as possible for us.
Sonal Gupta : Got it. and just my second questio

n was on the orderbook size , on the new order wins that we are giving. I mean, like, how do you, is this based on customer projection volumes? How, how does this work? I mean, like, how do you estimate that? I mean, because why I'm asking is that you're sign ing up these new -age OEMs who do not have a very long history, right? So.
Vivek Vikram Singh : Always tricky, always tricky when you deal with the customers who you don't have a history of, you know, their forecast accuracy. So I will let Sat answer it more because, from my sid e, I think just being very conservative, that's just the safest way to do these things. Rest Sat will add.
Sat Mohan Gupta : Yeah, generally, I mean, it's based on what the customer has projected or based on the pricing, agreed with the customers, but we take a little bit of conservative view when we put it in our order book. So, but the data we get is from the customer and on which base we have taken the pricing.
Moderator : Thank you very much. We'll go now to Hitesh Goel, please go ahead with your question.
Hitesh Goel : Yeah. Yeah, hi, thank you. So, my question , first is on the, you know, Europe part, can you give us some sense on the BEV parts / BEV revenue actually, how much is Europe in this right now because, you know, there is, you said that one customer program is ramped up and six is yet to come thr ough. So, I just wanted to get the Europe revenue in the BEV revenues.
Vivek Vikram Singh : Hi Hitesh, this will require some work at our end. I don't think we have that ready because we don't segment it internally also with that many cuts, I mean, when we do it, even internally, we have the geography and then divide it by categories. So India PV, India off -highway , India CV, Europe PV, CV, off-highway , this is how we do it. We don't sub- segment into battery electric or not. So we'll have to kind of get back to you on this.
Hitesh Goel : No p roblem , now because I was asking because it's an important part from

ramp -up phase for the electric programs, right? S o I was just trying to
understand.
Vivek Vikram Singh : So, there is a program that has started and that has picked up quite well actually. So, but I won't k now the exact percentage.
Hitesh Goel: OK. and my second question is on the BEV. Can you give us, what is the e - motor revenue out of that? Just to get a sense. that how ...

Vivek Vikram Si ngh: That we gave 2.5% was this quarter, last quarter it was 4%. So that if you go to the product mix. Yea h. So, in this , we give this one. Yeah, that slide . So, you can see traction motors 2.5%, this used to be 4 %, traction motor is all BEV only.
Hitesh Goel : Ok. Ok. Sorry, sorry, I missed that. Thanks, Vivek , and all the best.
Vivek Vikram Singh : Thank you , Hitesh.
Moderator: Thank you very much. We'll go to Chirag, your lines are unmute, please go ahead.
Chirag Shah: Hello now am I audible?
Vivek Vikram Singh: Yes, you know there is a bit of an echo, but you are audible.
Chirag Shah: There's some issue. Sorry for this, I don't know why this echo. So quickly, two questions. One, can you indicate something on your cross -selling opportunities, so can you talk a little bit about it? And secondly, coming back to Equipmake , what was the driver of this arrangement ? Was it a product gap that you are looking at in your portfolio or something else? And how should we l ook at the further product opportunities?
Vivek Vikram Singh: Sure. So, the second one I'll take up first , and then Mr. Deshmukh can add on it. It was a product/ capability gap because if we look at the bus market, not only is the power much higher, it is also the voltage is also much higher of the system. As you know, we have been progressing quite well organically on our own path, but to get there would have taken a fair bit of time and we would have missed th

e first wave. If you miss the first wave, you only come in the secon d wave as the second supplier, second suppliers traditionally compete only on costs, right? You have to be better cost. So we didn't want to take that role. Hence to accelerate that , that is the biggest driver, but I'll let Sat and Mr. Deshmukh add to that.
Mr. Deshmukh: Yes So, one , of course, is that the electrification we have seen that it's happened first in two -wheelers, three -wheelers . The next electrification is going to happen in buses and commercial vehicles. So that market segment quite clearly needs to be addressed. And we didn't have the technology for these high -voltage applications. And as Vivek just now mentioned, to get there internally would take time and we may miss the bus, right? So that's why we were looking at partners who could offer products in that market.
With Equipmake two distinct advantages. One is that this particular patented design, which is spoke design, makes these motors extremely compact. So, as you have seen, especially for the bus application, they are almost two times in terms of power density, so , much compact and much less weight, so , easy to package. And so therefore, that is a unique thing that we are in a position to offer with these motors.
Second is of course, as I earlier mentioned, it's the high voltage and bus application. These motors have been used. They have been proven, they've

been running for several years now in the UK, in London. So, there is a proof . It's a product which is already proven. So, these were the two things which drove us to get to have this part nership with Equipmake. Sat maybe you want to add something.
Sat Mohan Gupta : No, sir. I think you have covered it pretty well, sir. Thanks.
Vivek Vikram Singh: What was the first question that Chirag you've asked? Chirag, y ou'll have to help us out here.
Chirag Shah : Hello? Am I Aud ible?

Vivek Vikram Singh : Yes
Chirag Shah : Yeah, sorry for this. So, the first question was about cross -sell opportunities. You have been looking at that since last 2 -3 years and now that the basket is widened for you, you had the product basket and hopefully , you had more on that. So, are t here increasing interactions and acceptance, and are you able to leverage your this because when we look at your revenue growth, we are given the strong growth that we are seeing, you have been seeing even in the past, you know, so as an outsider I'm not a ble to figure out whether the growth is driven by single product businesses or more of a cross - sell driven businesses. So where are we on that journey? And just before you answer that , just a clarification on the earlier question, Are you looking at acquir ing Equipment kind of businesses if you get the opportunity or you are, you are happy with this kind of arrangement ? You don't want to go for acquisitions.
Vivek Vikram Singh : Yes. Sure. So, I'll answer the first one. I mean cross -sell, I don't know if it is a word i n our business, every product has to win on its own merit, it doesn't matter, this is one company, so there is no, I mean, I'm not sure what that means. Are there places where we supply motor products as well as driveline products to the same vehicle? Yes, there are actually quite a few of those already. But it doesn't actually matter because when you are speaking to the team of one product who has to select one product or one engineering team, they only care about that. It isn't like, see this would work if you're selling something which is a commodity product or a commodity service in which what you're trying to piggyback is on a relationship that I have a relationship and let me sell more. What we do is highly engineered and customized products which sta nd on their own merit and there isn't like if I'm going to discuss, let's say a final d

rive differential assembly with a customer, they are not going to discuss their traction motor with me in that meeting. So, in the same customer do we have it , yes, but both teams have independence and both teams do their own selling. Growth has been good because of that . Because relati onship-dependent growth will always have a finite shelf life . If your product is better and it offers better economic value, it should be s elected and it should win on its own merit. That's the way we run our business.

On the second one , on Equipmake or acquisitions in general, yes, we would also, I mean, we would be open to acquisitions in general. However, the acquisition threshold for a co mpany to qualify is a far more stringent threshold, than a collaboration. Because not just the company has to be very good technically, for us to have a collaboration , for us to actually acquire it, it has to be not just good technically, it has to be also amazing commercially, which means it can deliver growth while delivering very high returns. That's not usual. And we want both. We don't want just one of two, which is why we are fairly I'd say selective in our acquisitions. I don't know if that's answe red, but that's I am just trying to share how we think about this.
Chirag Shah : No, no, it fairly answers. It very well answers it. So, thank you very much , and all the best.
Vivek Vikram Singh : Thank you , Chirag.
Moderator: Thank you! we'll now go next to the next participa nt Prateek Poddar. Ok, please go ahead.
Prateek Poddar : Hello, am I audible?
Vivek Vikram Singh : Yes.
Prateek Poddar : Yeah, I just wanted to ask about the two new products or three new products which you have added to your basket, right? The liquid cool inverter, high voltage inverter. Maybe you could just talk a bit about the size of opportunities like applications in which they would be implemented.
Vivek Vikram Singh : So, Prateek those products are a result of the Equipmake partnership.
Prateek Poddar : Oh, ok
Vivek Vikram Singh : Yeah. So, this is what we are getting from this partnership is the technological capability to build.
Prateek Poddar : Got it. Thanks, really helpful. Thanks.
Vivek Vikram Singh : Thank you.

Moderator: Thank you so much. We will now go to the next participant, Siddhartha Bera, Sid, please go ahead with your question.
Siddhartha Bera : Thanks for the opportunity. S ir, my first question is basically on this power source neutral segment. If you see in term s of share and even in terms of absolute revenues, I think it has grown quite well. I would assume predominantly maybe because of the gear export business. So, can you just help us understand about what is happening here? How much is in order book or how muc h growth or which customers are driving this?
Vivek Vikram Singh : It's a good question Siddhartha as usual. It is driven by North American customers in general and you're right it's a differential gear segment and North American customers have been driving this more t han any other

geography, but it is literally everyone in North America. If you look at it, everyone, it's quite well spread but it is North American passenger vehicle segment that's driving this growth.
Siddhartha Bera : Ok, any particular I mean a market share, would you have an analysis about how much would you have in that region? And based on the orders I mean, how should we expect that it can go up just to understand the growth potential?
Vivek Vikram Singh : Last we looked at it was in calendar year 22. And I think i f we looked at it because see we do this once a year, right, this market share analysis that we get Ricardo to carry out for us. In 22 I think of North American market, we were early double digits as market share. I think th

ere is a lot of room to grow there, a lot. So yeah, that is one of, I would say one of the tailwinds that we anticipate in the next 2 to 3 years. It should grow quite strong.
Siddhartha Bera : OK, got it, and the value of these products can range between what number like you have said for t he year, can you just guide us about this product, how, what is the value generally it ranges between?
Vivek Vikram Singh : So, Siddhartha the differential gear pricing is so, it depends so much on the size and the vehicle category and the torque that it has to delive r. I think once I mentioned that the lowest price gear we have ever made is 45 rupees and the highest at 4 ,500 rupees. So, there is, that's why I think Gunjan also asked me, what is the value, the thing is, the values are very divergent depending on what siz e of vehicle. Because if you take an 800 cc, small commercial vehicle and you take an 18 wheel truck, it'll be very different and that's why it's very hard. I can give you average, but the average will hide more than it will show. But value in North America in general is higher Siddhartha because it tends towards bigger SUVs and pickup trucks, etcetera, larger the vehicle and the larger the weight of the vehicle and higher the acceleration, the higher would be the torque and hence the higher the value of the differential system.
Siddhartha Bera : Ok, sir. Ok, thanks a lot, sir for that.
Moderator : We will now go to the next participant. Garvit Goel. Garvit please go ahead.
Garvit Goel : Am I audible?
Vivek Vikram Singh : Yes, Garvit you are.
Garvit Goel : Good evening, sir. Congratulatio ns for a good set of numbers . So, my questions have already been answered, but the thing is you mentioned that several programs that are likely to enter into production in the next few months. And in your presentation also two programs likely to commence from a quarter four 24 onwards. So, sir what percentage of order book is likely to be executed in the next 3 to 4 years sir?
Vivek Vikram Singh : Tough one. I again, I don't think we analyze these things that way, but I would say the order book is always heavier to the front and in the middle, than the

back. So, if I were to take the first, let's say, five years, which is what you actually wrote in the Q &A box, how much of it will come in the next five years I would say, and Pratik and Amit help me out here, I'd say 65%. Two- third , one-third ; first half two -third, second half one-third .

Pratik Sachan : So, the first half is close to 60%.
Vivek Vikram Singh : OK. I wasn't that off right. And Pratik is the man who has all the excel sheets and all the data. So, he knows more than me.
Garvit Goel : So, that's all from my side. So, thank you , and congratulations.
Vivek Vikram Singh : Thank you very much Garvit for your question.
Moderator: Thank you very much. We'll go now to Dhaval Shah. Your lines are unmuted . Please go ahead.
Vivek Vikram Singh : Yes, Dhaval we can hear you
Dhaval Shah : Yeah, just one very small question. The PCB assembly project which you've announced? So, was this outsourced before or, is it more of a backward integration strategy for us?
Vivek Vikram Singh : It was outsourced also because we didn't have enough product ion of motor controllers as when motor controller production increases , we want to control every step of the manufacturing. If you've been looking at how we operate, even in both businesses , we like to keep everything in-house . We believe that it gives us far greater control of the technology and the final output. And that's why we want to keep it, it is a fairly integral part of it. I mean, if you're getting into power electronics, the board is important, and we want to do , and more and more of these controlled opportunities are coming. So, we want to have our own assemb

ly line. Sat you want to add to the rationale?
Sat Mohan Gupta : No, I think this is a strategy and we are on the right path.
Dhaval Shah : OK, that was the only question. Thank you, very much and good luck .
Moderator: Now I will hand over to Kapil. Kapil, would you like to go ahead with your question?
Kapil Singh : Yeah. So, Vivek just one question, you know, if you can comment on you know, the customer concentration that you have, you know, where are we today on that? and specifically on EVs, I know you don't comment on customers, but just your general thought on how do you see this, you know, diversifying because we have not seen so much success of a lot of players with products, right? So, in which , at least in which geographie s do you see other players succeeding beyond your top customers?
Vivek Vikram Singh : See It's a fair question. And I think, let me address it because quite often people think the concentration, customer concentration is much higher than it is because we don't comment on it. It is , actually I would say, one of

the best in this industry. There is no customer greater than 20% for us. Not even a single one. Even in EV, I would say the high, biggest customer is, I don't know the exact one, but between 70 to 75% not more. Th at's why, yes, it is true that one person being 75% of EV revenue is very high. But that is for this quarter when a lot of our two-Wheeler revenue went away. Over time, this will start coming down. Our top five, I think I mentioned it in the shareholder le tter this time that this is a constant thing that we keep looking at. I think it's about, it's less than 60% top five, it's fairly healthy. And if you look at it now, let's just do an equivalence. No company can be in a world different from the industry itsel f. Let's look at the automotive industry, let's say Volkswagen, Toyota, Hyundai -Kia, Renault -Nissan , and Stellantis, these five, how much of the world market do the top five automakers control. It will be greater than our of top five customer concentrat ion. The reality is, and we, this is one of the things that I have seen that when you're in a public market, people compare you even to industries that you're not in. And it doesn't really reflect that reality. We are in an industry that is heavily concent rated at the top. The top five automakers are any, I think 60% top 10 or 80%. We are less than 80% for top 10 and you know, less than 60% for top five. So, if you're doing better than your industry, you're ok. Customer consideration is not that big an issue, but yes, we actively monitor this. This is something that is a KPI for us that we always keep looking at. In EV I think there will be a lot more people doing well. One of the things that's not let us proceed on this was also our product offerin gs. As we add more products that can address more market segments, I think this diversification will increase. But yeah, it is not the problem that it is the number of customers. We actually have a lot of

number of customers. What we can't solve for is mak ing or helping our
customers sell more vehicles. That's something they have to do on their own. And that's basically where our limitation lies.
Kapil Singh : Sure. and just one more question just, just so that we understand how you
know, you are positioning the growth for the company you mentioned about
KPI. So I'm just wanting to hear what are the KPIs for the management, you
know, just some broad top 2 -3 sort of things that you are very focused on.
Vivek Vikram Singh : Sure, I think we disclosed them. My contract, by the wa y, can be found on
MCA. We are a very public and transparent company. The first KPI is EBIT for
the company. We look at new order intake very, very seriously because we
are a growth company. To deliver that growth new order intake becomes a
very important metric, a

s important as the current year's profitability or if not
more. Third is EV order intake specifically a nd not just as a subset. So if you
do that, you actually score on two KPIs. Fourth would be around technology
and progress on our technology r oadmap. Every year, we choose a number
that these many products we must deliver. Safety is we are in manufacturing after all, this is one of those KPIs where the target is always zero, you can only
underperform on that KPI but that is important because if we don't put our
people first to make the workplace safe, we fail it, that is our first charge here
as managers, is to ensure that the working environment is safe for our people.
There are others that go once they go below me, there are lots of them on
qual ity, on delivery, on cost. So yeah, I mean I think when we passed the

resolution and Rohit you can help me out here for the ESOP program, we did
put out a lot of the management KPIs right, along with that document?
Rohit Nanda: Yes we did
Vivek Vikram Singh : Yeah, so that
Rohit Nanda: W e have an explanatory statement actually.
Vivek Vikram Singh : Yeah, that may have more exhaustive ones.
Kapil Singh : Ok, thank you so much, the entire team from Sona Comstar, that was the last question we had , and Vivek I'll hand it ov er to you, in case you have any
closing remarks.
Vivek Vikram Singh : Nothing, just thank you. Thank you , everyon e, for coming here. Your
questions obviously make us better at running our business. We hope we have been able to answer all questions. There are some questions we can't
answer because either we don't think that way and hence have never
actually tried to answer those questions or because we don't know. And we
will try to do better if it's a second category. If it's the first category, hopefully ,
we can continue being ourselves and not being driven by external questions
alone. So yeah, that's it. Thank you for attending and have a great day.
Kapil Singh : Thank you everyone for joining this call. Deanna, we can close the call now.
Have a good day.
Moderator: Thank you again to all participants. Thank you for joining today's group
conference call and you may drop off the line. Have a good evening.

Call: Nov 2023

(no extractable text — likely a scanned image PDF)

Call: Jan 2024

Date: 31st January, 2024

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter and nine months ended on 31st December, 2023

Dear Sir / Madam,
P u r s u a n t t o R e g u l a t i o n 3 0 r e a d w i t h S c h e d u l e I I I o f t h e S E B I (L i s t i n g O b l i g a t i o n s a n d Disclosure Requirements) Regulations, 2015, pl ease find enclosed herewith the transcript of the Investor Call held on Tuesday, 23
rd January, 2024 on the financial result of the Company for the quarter and nine months ended on 31st December, 2023.
The transcript will also available on the website of the Company at https://sonacomstar.com/investor/investor-presentations

This is for your information and further dissemination. Thanking you,
For Sona BLW Precision Forgings Limited
Ajay Pratap Singh
Vice President (Legal), Company Secretary and Compliance Officer BSE Ltd.
Regd. Office: Floor - 25,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai-400 001. National Stock Exchange of India Ltd.
Listing Deptt., Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051
BSE Scrip Code: 543300 NSE Scrip: SONACOMS

SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q3 FY24 Earnings Conference Call Transcript
January 23, 2024
The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

https://sonacomstar.com/investor/investor -presentations

Moderator : Welcome everyone. Ladies and gentlemen, good day, and welcome to the Q3 & 9M FY24 earnings group conference call. Please note that all participant lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. We request that you place your lines on mute except when aski ng a question.
Slide 2:
Some of the statements by the management team in today's conference call may be forward -looking in nature, and we request you to refer to the disclaimer in the earnings presentation for further details. The management will also not be taking any specific c ustomer -related questions or confirming or denying any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in your questions.
Now, I'll hand over the floor to Mr. Kapil Singh, Head of Consumer and Digital Commerce Research, India, and Lead Autos Analyst at Nomura . Kapil, please go ahead.
Kapil Singh : G ood day, everyone. To take us through the Q 3 FY24 and to answer your questions, we have the management team of Sona Comstar. Mr. Vivek Vikram Singh, MD & Group CEO; Mr. Kiran Deshmukh, Group CTO; Mr. Sat Mohan Gupta, CEO of Motor Business; Mr. Vikram Verma, CEO of Driveline Business; Mr. Rohit Nanda, Group CFO; Mr. Amit Mishra, Head - Investor Relations; and Mr. Prat ik Sachan, GM - Corporate Strategy and Investor Relations. I will now hand over the call to Vivek for his opening remarks and presentation. Over to you, Vivek.
Vivek Vikram Singh: Thank you, Kapil, on behalf of Sona Comstar. I welcome all of you to the earnings call for what has been our best quarter ever in terms of EBITDA, net profit, BEV revenue, BEV revenue share as well as order book. But first, as is our policy when talking to our owners,

shareholders, we will begin with the
challenges.

So first, off highway market particularly in India has been weak and production declined further in the last quarter. Given our high market share in this segment, this has affected the sales of our differential gears and differential assemblies to this mar ket.
Second, aggressive discounting by a few EV two -wheeler companies has temporarily disrupted the EV two -wheeler market and its market shares, which has affected some of our customers' sales, thereby impacting on the sales of our traction motors in Q3. We expect this to continue for a few months, but we believe it is unsustainable beyond that.
Third, the Red Sea crisis, while the current impact on our operations is negligible. If the crisis continues, we expect adverse effects due to the longer
shipping time, higher freight costs and increased inventories.
Fourth, we lost about ■ 25 crore of revenue in October due to the UAW strike impact in the United States. However, the strike is now over, and this production loss will partly reverse in the current quarter.
The good news, as is usually the case, far outweighs the bad. So, in financial terms, we achieved our highest -ever EBITDA and net profit, despite marginally lower sequential revenue, we have also introduced a new product that should improve electric power trains for EV two -wheelers, and we will cover this in detail later.
As the calendar year has ended, we got new Ricardo estimates and as per them, we have increased our global market share in both differential gears as well as starter motors in 2023.
In terms of markets, the European light vehicle market has strongly recovered this year. 2023 was also positive on a YoY basis for the US market and things continue to look good in both of these markets. The Indian market has been mixed across the three segments that we serve and will likely remain volatile over the next few quarters.
On the ES G front, we continue to make progress on all our sustainability targets. And I'm very happy to report that we reduced the emissions intensity of our operations by 10% over last year.
Q3 of FY 24 was also one of our best quarters for business development. We won five new BEV programs, and we closed the last quarter with an all -time high net order book. T hree of the new BEV programs won are for three innovative and unique powertrain solutions , which, more than anything, reaffirms our position as technology leaders in the products that we make.
Lastly, from where we stand today , and what we see from where we are standing based on customer schedules and a strong order book , we are certain that electrification will continue to drive strong growth for us in the immediate, in the medium as well as the long term.

Vivek Vikram Singh : Slide 5:
Now , coming to the numbers, revenue grew by 13% while EBITDA and net profit increased by 22% and 24%, respectively. This is because our margins improved due to operational efficiencies, better product mix and lower material costs. EBITDA margins have now been higher than our usual long -term range of 25 to 27% for the last five quarters running. So, I guess I must comment on this, and I have to add that we expect this to stay above 28% in the near term. C oming to BEV revenue, it grew by 28% in absolute terms to the highest that we've ever had 222 crore , while the BEV revenue share increased to an all -time high of 30%.
Slide 6:
Coming to the nine -month figures, we have increased our revenue, EBITDA, and PAT by 19%, 32% and 34%, respectively. As I mentioned before, since this is the end of the calendar year 2023, we got our global market shares calculated. Our starter motor market share improved from 4.1% to 4.2% as the Europe and the US market s, where we have higher market shares have grown faster than Asia. Our mar

ket share in differential gears has grown from 7.2%
to 8.1% of the global volume .
Just to add some perspective here, this increases the equivalent of adding around one-third of the entire Indian car market to our market share in just 12
months.
Slide 9:
Now, our first strategic priority, electrification . In this our BEV revenue share has increased from 25% in the first nine months of FY23 to 28% for the first nine months of FY24. Our BEV revenue in rupee terms has grown by 31% to over ■6.1 billion in the nine -month period. The growth in BEV revenue for us has been more than double the growth in non -BEV revenue, with EV traction motors and EV differential assemblies being the fastest growing product segments for us this year.
We continue to build on our EV order book and in Q3, we have added five new EV programs and two new EV customers. There are three new driveline
program additions, two are for existing customers in the North American BEV market which I'll elaborate upon in the next slide and one is for the domestic electric off- highway segment. There are also two new motor programs for us, both for electric two-wheeler makers in India and while one is a new customer, the other is an existing top- five e -Scooter maker.
Slide 10:
So yes, we want to highlight these three new EV events where we'll supply three of our new or recently developed products, which is always one of the

most key criteria for us as we move along in our journey , that how many more branches can we open up into our revenue growth.
So, the first one on your left is the EV order we won from a new customer. It's an Indian legacy OEM of ICE and electric two -wheelers. We have developed a new product, an integrated motor controller for the customer's high - performance electric motorcycles. It's a unique design , and I'm very, very proud of our engineering team for having done that so quickly.
The second one is the spool gear. You may have heard about it in our earlier presentations as well for the electric SUV of a global OEM of electric vehicles. This is an existing customer; we will supply these spool gears for the three motor architectures of the customer ’s most advanced and perhaps the highest -torque SUV. This win has come after a year of joint hard work between our customers and our engineering teams. And it will be one of the highest - torque products ever made for electric SUVs in the world. This program will begin serial production in the current quarter itself. So that's a plus.
The third is the EV order we won from another existing customer, North American New Age OEM of high -end electric cars. Last quarter , if you recall, we won the order to supply a rotor -embedded differential sub- assemblies for this customer. And now we've been awarded the Epicyclic Geartrain and Rotor Shafts as well. This win is kind of proof of how we are growing our content in a car by developing new products in adjacent areas of our focus area .
Now, these three wins also demonstrate our capabilities to offer solutions to customers for all types of BEV powertrains. I mean, if the customer is looking
to innovate and have a product -based differentiation, we are clearly the partner of choice for this, and this is the advantage that I think we've been talking about for a while that a technology led company like ours has over those companies who build to print for standard parts.
Slide 11:
With these new wins, we now have 53 EV programs across 30 unique customers. Exactly about a year ago, I think this number was 41 programs across 25 different customers, which means in the last year , we've added 12 new programs and five new customers.
Slide 1 3:
As I mentioned in my opening statement, Q3 was also one of our best quarters for business development. And on the back of the five new EV programs I
mentioned and the seven new non -E

V programs, the net order book has
increased by 9% over the previous quarter to reach an all -time high of ■ 240 billion. The proportion of EVs in the order book has also grown to 79%.

Slide 15:

With this I come to the fourth KRA, diversification. Now, the strong demand recovery in Europe in the first nine months means that the revenue share from hybrid and micro- hybrid has been higher than in previous years. This trend of increasing electrification and decreasing ICE dependence continues unabated , and this year, we've seen the ICE -dependent revenue shrink to only about 10%.

Slide 1 6:

Coming to geographies, North America remains our largest end market contributing to 39% of revenue. And this is despite the negative impact of the UAW strike that I spoke about earlier, the European market was the fastest - growing market , attributing 25% to our revenue. India remains our second largest market , and its revenue shares remained stable at 29%.

In the product mix, the charts changed a little after the NOVELIC acquisition. We've added a new segment called Sensors and Software, which is small at the moment ; it's just about 1%. But we hope to add to this as we go along in our journey. The fastest growing segments in products for this year have been EV Traction Motors and EV Differential Assemblies , although Differential Assemblies here seem to have come down by a percent. It is more the off- highway differential assembly business that has lagged, not the EV differential assembly. Differential gear, of course, has also grown quite strongly and this reflects in the changes in the product mix where you see that it's gone up from 32% to 33 %.

In the end market or market segment mix. We've added a new segment, Semiconductors and Embedded software. This is to reflect the non -product or the services revenue that we do in N OVELIC . The weakness that I mentioned in the off -highway demand has resulted in the share of non - automotive revenue declining from 12% last year to just 10% in the first nine months of this year.

Having covered this, I turn to our group CTO, Mr. Kiran Deshmukh, to update us on the technology front. Over to you Sir.

Kiran Deshmukh: Thank you, Vivek. Good evening, ladies, and gentlemen.

Slide 18:

We have been making the mid -mount drive motor and low -voltage inverters for two - and three -wheelers . It's two separate products so far. This quarter, we have added a new product to our product portfolio, which is an Integrated Motor Controller. With this development , we have come a step closer to developing an integrated drive unit, the e -Axle, that we show on our technology roadmap .

Slide 19:

The integrated motor controller, distinct from a separate motor control and controller setup, has several key aspects. It offers our customers matchless advantages, and this slide shows some of them.

Number one compact design . The integrated unit combines both motor and controller into a single compact package, leading to a smaller overall footprint.

Two, simplified installation and maintenance . Because with integration, the complexities involved in connecting and configuring separate motor and controller units are significantly reduced. This simplification can lead to easier installation and maintenance since there are fewer connections and components to manage.

Three, improved efficiency and performance. Our integrated system is designed to optimize the interaction between the motor and the controller, leading to higher efficiency and better performance. This is due to the fact that the controller is finely tuned to the specific characteristics of the motor.

Four, reduced wiring and connectivity issues . Since the motor and controller are contained within the same unit, the need for extensive wiring an

d the
potential for connectivity issues is greatly reduced. This also enhances reliability and reduces electromagnetic interference , which is EMI issues.
Five, cost-effectiveness . Due to reduced installation time , lower maintenance cost and improved energy efficiency, the overall cost of ownership of the new product is much lower.
Six, customization and optimization . The integrated unit can be more easily customized and optimized for specific applications. We can design these units for a particular application of the OEM, ensuring that the motor and controller are perfectly matched for the requirement.
Next, aesthetic and space considerations . Our integrated unit has a more streamlined and aesthetically pleasing design. It's particularly advantageous in applications where space is at a premium since it occupies less room than a separate motor and controller.
Eight, thermal management. In our integrated unit, thermal management has been more efficiently addressed since the system is designed to handle the heat generated by both the motor and the controller in a unified manner.
Next, communication and diagnostics . Our integrated unit comes with advanced communication capabilities , allowing for better diagnostics and monitoring. This includes real -time feedback on performance, predictive maintenance, and more sophisticated control strategies.
Finally, ten, functional safety. This new product is a high -integrity system that meets rigorous safety standards and follows best practices in software development processes for the automotive industry. This ensures both

functional safety and quality management in its design and implementation, making it reliable and suitable for critical applications.
So, in conclusion, our new integrated motor controller unit offers a compact, efficient, and easy -to-install solution with improved performance, safety and reduced wiring complexities compared to separate motor and controller systems.
On that note. I hand it over to Rohit to cover the financial update.
Rohit Nanda : Thanks, Mr. Deshmukh. A very good day to you all. It's my pleasure to share our third quarter and nine -month results for FY24 with you.
Slide 21:
In the third quarter of the year, our revenue grew to ■777 crore , which is a year -on-year growth of 13%. Compared to this , the underlying industry growth was 11% in our key markets of North America, India, and Europe.
Our BEV revenue grew by 28% to ■ 222 crore, and it constituted 30% of our overall sales for the quarter. In terms of EBITDA and PAT, it was yet again our best quarter at 227 crores of EBITDA and 133 crores of PAT, showing a growth of 22% and 24%, respectively.
Growth in EBITDA was higher than revenue growth, primarily due to better operational efficiency and lower input costs.
EBITDA adjusted for ESOP cost
under the newly approved ESOP scheme of 2023 comes to ■ 233 crore , and
if we were to look at adjusted EBITDA growth, it was 25% year on year. Similarly adjusted PAT at 137 Crores is higher by 28% year on year, primarily
due to higher EBITDA.
Slide 22:
Coming to the nine -month results on a year -to-date basis, our revenue for nine months grew by 19% to 2 ,300 c rores against 14% growth in our key markets of North America, India, and Europe. Our BEV revenue grew by 31% , and it now constitutes 28% of total sales. Against 19% revenue growth, our EBITDA grew by 32% to 654 crores, and PAT grew by 34% to 369 crores . Growth in EBITDA was higher than revenue growth, primarily due to better product mix, operational efficiency, and lower input costs. EBITDA adjusted for ESOP costs , as I have just spoken about for the quarterly results, it grew by 33% to 661 crores.
Our PAT adjusted ESOP cost and exceptional expenses in the previous quarters grew by 37% to ■380 crore , mainly due to growth in EBITDA margi

n.
The exceptional expenses were on account of the acquisition of NOVELIC .
Slide 23:

Coming on to our key ratios, we have seen an improvement in our return ratios , primarily due to an improvement in our margins. Our working capital turnover ratio has also improved due to better efficiency in the working capital.
Our VA/Employee Cost and net debt to EBITDA ratios are largely similar to the March level. Whereas the fixed asset turnover ratio is slightly lower due to higher capitalization during the last nine months.
Slide 25:
This brings us to the last slide in our presentation, which is on ESG update. So, this is the first time we are providing you with an ESG update. So, we have recently published our second sustainability report , and it's available on our website. I would like to share the key ESG highlights for FY23 with you.
The first one being, we've been rated by Sustainalytics as a low ESG risk category with a score of 14.4, which puts us in the top 9% of more than 15,800 companies rated by them.
On the environment front, as Vivek mentioned earlier in his comments, we have improved our energy intensity per rupee of revenue by 10% and water intensity by 2 %. Our Gurgaon and Manesar plants have won silver medals in the India Green Manufacturing challenge this year.
Coming to the social aspects, we were certified as a Great Place To Work in 2023 for the first time. And in fact, we've been recertified in January of this year again as a great place to work with a higher rating than last year. As part of our social initiatives, we are also incubating startups innovating for sustainability in partnership with IIT Delhi and IIM Ahmedabad. To our other initiatives to provide sanitation and other facilities to school kids , we have positively impacted nearly 5000 student lives.
On the governance side, the highlights include winning the Golden Peacock Award for corporate governance in 2023. In terms of board structure, we are going beyond what's been mandated for us. So, we now have five independent directors and two women directors in an eight -member board.
The promoter of the company holds the office of chairman in a non - executive capacity, which is also not so common in the Indian listed space.
So, these were the key highlights on the ESG side. With this update, we have now come to the end of our Q3 earnings presentation, and I'll now hand the proceedings back to the Nomura team for Q&A.

Moderator: Thank you very much. We are now at the Q&A session. If you wish to raise the question, please use the raise hand function located at the bottom right of your Webex page. We will unmute your line and prompt you to speak or you may submit your questions via Q&A chat box addressing to all panelists.
Please be reminded to keep your question to a maximum of two questions.
If you have more questions, please return to the queue. Thank you. We will

now go on to the first participant, Jay Kale . Your line is unmuted . Please go ahead with your two questions.
Jay Kale : Thanks for the opportunity and congrats for a decent set of margins. My first question was on your integrated motor controller. If you can little speak about how has been the journey in terms of the product approval? How much time does it take to get this kind of product approved? And what is the pathway to you know, you've spoken about this getting adopted in a premium motorcycle. What is the pathway to get adopted in the more of a mass market product going forward? and if you can answer this fi rst question, I'll get back for the second.
Vivek Vikram Singh : Sure. Thank you, Jay. Mr. Deshmukh, I think you'll be best placed to take it.
You or Sat could take this one. I just wanted to add as an aside that almost

30% margins are more than decent.

Jay Kale : No, absolutely. That's frankly excellent margins, it was an understatement, I agree.
Vivek Vikram Singh : Mr. Deshmukh Sir, you are to talk about the product development process and approval.
Kiran Deshmukh: Yeah, so this goes to, I mean in the automotive industry, there is a process of approvals , testing and validation by the customers. Typically, it takes its own time. But in this particular case, and today with the electric vehicles, this cycle time is much shorter, but still, this is a traditional two-wheeler manufacturer in India. So, it did take its own time, and this is a work which has been going on for the last almost three years that we started working on this. So, in terms of timeline, you can say this. But now having developed this product, we can quickly develop products for different applications, because this is a sort of modular design that we have developed. Having said that, to address your second question about the mass manufacturing , again, it depends on the layout and the space constraints that the particular vehicle requires, typically mass produced, two wheelers have hub wheel motors. This particular application is for mid mount motors. So, there are certain differences between , for specifically applying this particular motor for a mass manufacturing . Mass manufactured 2 wheelers, will not be reality because the type of motor which is used there is quite different.
Vivek Vikram Singh : Adding to that, and I think Sat can add further, the same concept can be applied to a hub drive motor also. But you can understand that this has to be led by the customer's requirement and demand because when you're redoing the powertrain of a vehicle, you are in a sense, redesigning the whole vehicle itself. So, you have to start from scratch and then say, what would an ideal electric two-wheeler look like? And that's the stage at which we typically get involved. But Sat you can shed some light on the applicability of integrating motor controllers, not just for mid mount but for hub wheel as well.

Sat Mohan Gupta : Yes, I mean, it opened up a lot of opportunities to read across some of the learning what we have on mid drive and integrated motor controllers on our motor technology. And so, it can be useful for motorcycles as well as scooter operations. And also on the timing, one point is, I mean it also depends how much validation and what's the development stage the OEM is and how much validation they would like to do before they go to SOP and based on our experience, I mean, that time is very, very different between OEMs and the amount of validation each and every OEM does to validate the product and it's not only the validation of the motor controller, it's the complete vehicle validation they do.
Vivek Vikram Singh : Jay, you have a second question as well?
Moderator : Jay, you have your second question? No, I think he is just muted himself. Kapil, Can I go to you, Kapil?
Kapil Singh : Yeah, sure. Thanks. So, I also wanted to check on this margin guidance. You know, we have changed the guidance or increased it to some extent from the earlier range of 25% -27% to 28%. If you could just talk us through the factors, why have we done this?
Vivek Vikram Singh : So as in all things, we go by data, five quarters, if your guidance is not true and if you are doing more than what you said, you should revise it upwards. So that's the real reason. We don't see, so why we said 4 -5 quarters if you go back actually and read our transcript, I think about four quarters or five quarters ago, I said that I think it is going to stay above 27%. So that's kind of held true for four or five quarters. Most of it Kapil , is material price. So, we have seen enough of these cycles to know that when material prices, especially steel, copper, start going up, your revenue grow

s much faster than your profit.
And when the reverse happens, your profit grows much faster than your revenue, which is the natural cycle. So, it's more a percentage thing, and we don't see any indication of steel going up to where it was in 2021 etc. anytime soon, which is why for the near term, we will hold to it. If it changes, of course, we will also change. As they say, when intelligent people are presented with

new data, they change their opinion.
Kapil Singh : Sure. If you could also talk about, you know, the profitability profile of your business, the way things are shaping up. Is that also something that has contributed to this margin view? Because you know, we've heard some concerns that for example, some of the motor business could be less profitable. So, some of your thoughts on this would be helpful.
Vivek Vikram Singh : Yes. So obviously all products are not alike, all customers are not alike, and all markets are not alike. There are low margin products, there are low margin markets and then low margin customers. And it is a mix. As a management team, your job is to balance it and try to solve for absolute profit growth. The percentages frankly are an outcome and that's what eventually at the end of the quarter is what you realize that that's what it is and then you try to explain it. We don't try to s et out to do that, the solution or what we are solving

for in the equation is how can we sustainably grow our absolute profit at a rate that we want while not taking any decision that affects us in the long term, because all of these decisions have a bearing which is very large in the 4 to 5 year period. So th at's the goal because see eventually, if you do discounting of price, you can do growth, you can optimize growth while sacrificing a little bit on margin, you can maximize margin by sacrificing growth. So, it is a balance that you have to play. I think we are fairly versed with it now and we continue to play that, these ups and downs in market segments will happen, they are out of our control. So, let's say like this quarter, I said that there are two weak ones, Electric two-wheeler market is a lower profit segment market and that our customer sales are lagging. So that is also a contributing factor.
Kapil Singh : Sure, and I had one more question on the bus opportunity. We have recently read a lot of news flow that the Indian government is quite keen to increase the EV bus adoption in India and there are, you know, various kinds of orders being discussed as the news flow. As far as y ou are concerned, you have a tie up with Equipmake for bus motors, right? So just in terms of how this opportunity is likely to evolve, what is your view? What kind of discussions are happening with OEM's if at all, just some views on that would be helpful.
Vivek Vikram Singh : Sure, so as you would have seen in our presentations also for the last three years, we've always maintained that the two segments that are likely to electrify fastest in India are electric three wheelers and electric bus. Just because of the way the industry is str uctured, it's an economic asset. And if you run it for more than five or six hours, the payback is far faster in an electric vehicle than an ICE vehicle. So just economically sensible to switch and we believe in that opportunity. Electric three -wheeler , I would say we are moving very fast, and we've done very well. We already have a few orders. In bus, we had partnered with Equipmake to develop, test , validate and launch those products. We are still on that journey. We haven't reached that journey that we can go offer it to customers. Sat, you can add on where we are and when it is likely that we can start seeing some revenue from that segment.
Sat Mohan Gupta : Thanks, Vivek. As far as the bus motor and controllers are concerned, Equipmake design.

We are right now in the validation stage of those motors because we need to tune those motors for Indian conditions. And our launch is in the last quarter of calendar 2025 or the first quarter of calendar 2026. So that's what we are targeting to work on it.
Kapil Singh : Sure, I think there's a follow up question from Jay and then we can take some from the chat box as well.
Moderator : All right. Thank you, Jay. Thank you, Kapil. Jay, we are now going back to your second question.
Jay Kale : Sorry. I wasn't able to unmute earlier. So, my second question is regarding of course, you know, in an inflationary scenario you had mentioned about your top line getting benefited, but that was an empty sale kind of a thing. And

now with the deflationary scenario, you know, we've had a 13% o dd revenue

growth, how much of that would be because of that deflationary scenario.
Or maybe if you can just split between volume and the reversal of that empty
sale?
Vivek Vikram Singh : Oh, that's, that's hard to do. Because we don't do it. It has very little, see all analysis, especially for management, at least, has to have some purpose. If
an analysis does not lead to a specific or actionable output, it is not very
meaningful. The fact that steel prices have gone down has led to, you know,
price that was empty sales as you correctly said, how much we haven't really,
I think, tried to figure out. Rohit you, you may have this answer. I certainly
don't.
Rohit Nanda: For the quarter this impact was around 1% I would say.
Jay Kale : OK, understood. And just on your electric two-wheeler side, you mentioned
about, you know, pricing pressures, sorry, volume pressures for some of your customers in the third quarter because of the pricing actions by many of the
competitors. How should one look at you know, the supplier profitability in
that context going forward. I mean, you did mention about this continuing
for the next few months but then reversing, but is there an incremental
pressure on the pricing of suppliers because of thi s so-called price war? and
in that context, with our cost structures and our efficiencies, does this also provide an opportunity of a little bit of you know, market share gains if at all
or consolidation of the traction motor market with more efficient su ppliers
getting larger share with better cost structures?
Vivek Vikram Singh : The very short answer is no because, Jay I think there's a lot of recency bias
in the way we analyze information. This thing that has happened is only about
one and a half months and at max it will go on for three months. Sat, just told
you about how we develop a product with a new customer, took over three years to develop and launch it. These are longer items and in the automotive
industry, especially if you're doing crit ical items like the motor or any
powertrain or the drivetrain part, you are playing what are essentially long -
term, long -term objectives with other long -term plans. These things don't
happen in haste , no one is coming to us and talking about pricing for motor
etc. I think everybody knows that this is not sustainable, these actions and
they will not be there for too long. Cash burn has never been a great strategy
for the automotive market. I mean, history is replete wit h examples of people
who tried and failed at this. But y es, we will wait and see. So far it has affected
volumes for us but no other impact. Sat, you want to add to it, like what
you've seen or heard? I don't think our customers have even brought this up
to be honest.
Sat Mohan Gupta : No, I mean, it's not a discussion actually, either with our customers or with our
suppliers because I mean, most of us, are in the automotive business for so
long. So, we understand these ups and downs. it's very normal.

Vivek Vikram Singh : Yeah, none of us actually in the industry, talk in quarters, right? We all talk in
years and quite a lot of time is like 7 to 10 years is the conversation you have.
Because let's say you get a source on any project, the model will always run
for 5 to 7 yea rs and then you have to keep spares, etc. to supply the vehicle
park. So, you are entering into almost a 10 to 15 year marriage type of
situation with the customer. Thinking in quarters does not lend itself well to the
way our industry is structured.
Jay Kale : Sure, great. This really helps. Thanks, and all the best.
Vivek Vikram Singh : Thank you, Jay.
Moderator : Yes. So, we're going on to the next participant. Her name is Gunjan P rithyani.
Gunjan, your line is unmuted, please go ahead with two questions.
Gunjan Prithyani: Trying to understand from the next 12 to 18 months perspective, this is there is
this increasing, you know, narrative that EV at least exclu ding China seems to
be slowing down a bit, hybrid seem to be the new, you know, sort of increasing their share within the global, you know, in Europe or US. In that
context, you know, is it something that you can comment a bit on? You know, do you see a similar trend when you are having conversations that some of
these new EV models that we were hoping that would kick start the next 1 -2
years get pushed out, you know, what are we seeing on EV? And then, you

know, hybrid, are we seeing that in the motor part of the business? An d also, if you can cover the India outlook, there's certainly been some moderation. So, I'm just trying to get some color from you across segments. You know, how are we approaching more from the next 1 to 2 years perspective?

Vivek Vikram Singh : Sure, Gunjan, thank you for the question. The EV slowdown seems to be clearly a case of narrative trumping data, but it's OK. I'll answer it. EV sales grew by 31% last year in the calendar, which is not slow. And the similar question I remember, we were asked at that time, we weren't public, so I was asked by my board in 2020 to 2019 was 40% or something, and then the year after that, it went up by 120%. So, in the longest journey, what at least from tracking this for the last eight yea rs, what I've realized is, this is very linked with localized market dynamics of two things. One is government policy and the second is new model launches. So, if you were to look at those two things, one, let's say, first, let's start with the North American market, that's our largest EV market so we study that far more than any other. In that, on these two data points. The first one is the $7 ,500 tax rebate that has come into effect from 1st January itself. And that is our point -of-sale rebate. So, it's not like a tax refund that you claim and get it later, you can get it immediately. So that should be a good push for EV. For plug in hybrid is $3,750 half basic ally of that amount, both should do well. I don't think it is applicable or extended to other forms of hybrid vehicles.

Second, on new model launches, we actually did look at the program launches of 24 and 25 across automakers. The number of EV I don't remember the exact number, but it's 70 to 75% of the new model launches are EV. So

yeah, one, like I said, from where we stand and what we are seeing and what we are listening to our customers and looking at the schedules that we have already received for the next couple of quarters, we are certain that electrification will continue to d rive, for us, the growth in the immediate, in the medium and the long term, for us that's pretty clear.

The second part of your question is actually far more hard to answer, which is the Indian market. It's quite mixed. So, I will take it in three segments, passenger vehicle, commercial vehicle as well as the off highway. So, passenger, I don't know, but it

looks decent, and I'll use Jay’s word, decent.

It is a plus but plus not very much right, commercial vehicles are holding but our past experience and from what we sense, I think it is, it is going to decline in 2024. And then we come to the off highway which has already been weak for the last couple of quarters, and it is weakening further.

So that's the weakest of these segments, commercial vehicles, I mean, Gunjan, you've also been tracking this, election years just before election, it is always a bit of a tough quarter, when government spending etc. is highly linked to especially the bigger, bigger tippers and construction type of thing. So, we will see, India is looking in the three markets that we serve. the weaker of the three, the weakest of the three.

Gunjan Prithyani: What would be the best , North America?

Vivek Vikram Singh : North America is best in terms of value and volume for us. So yeah, that's the best. Europe's done a fair bit of recovery. But that's happened, some of that has played out last year, so Europe would be second and then I would say India.

Gunjan Prithyani: Ok, got it. No, this EV thing is good to hear from you, Because I mean, it's been something that we keep hearing that it's, you know, it's adoption incrementally is slowing down. Honestly, we are like far away from what's happening on the ground. So, you see the production schedules better than us, so good to hear that.

My second question is on the motor, you know, it clearly looks like you know, quite compact design. I'm just trying to understand, was it driven more from the perspective that we need to bring the cost down for the you know, for the electric two wheelers o r this is, you know, is there any, from a performance perspective does it change anything? I'm trying to understand, you know, what led to this, you know, sort of redesigning of the motor powertrain. And if it is a cost reduction, can you share what sort o f cost reduction it is versus

what we were doing earlier on the more high -performance motors.
Vivek Vikram Singh : Yeah, so Gunjan, this is a new customer and a new program for a new vehicle. So, there is no comparator to what other things we are doing. Cost is certainly better because you are packaging, instead of having two separate items, motor and motor controller, you put it in one. Mr Deshmukh covered a lot of advantages, but I would say if this has to be customer led,

right? Because you are changing the way the motor will be placed and changing the way the entire vehicle's powertrain is designed and how it is going to interact with each other. There are many technical advantages. Technically, I would say so, yes, there are commercial advantages, but technically the advantages are far, far greater. The biggest one being thermal management. See if you have both motors and motor controllers, any power electronics item also has a heating issue and all of us have experienced that, right? Any electrical or electronic thing heats up, how quickly you draw out heat from any system is directly proportional to how efficient it is going to be, delta temperature upon delta time is basically how you improve efficiency in electromechanical systems. Now, this does that far more effectively because you have combined the thermal management into just one unit. That's a big one, second communication earlier, you had all these wires connecting a controller to the motor. Now it's in one.
So communication is far more compact, serviceability will be much better, lots of benefits, and in hindsight now that we've done it with our customer,
we realize that why didn't everybody think of it? Actually, this is one of those products that should hav e always been designed like this in one unit that it makes sense. But yeah, I hope other people will also kind of try and do this and at least for the newer models, y

ou can't do it in running models. It's much harder but with newer models, people should lo ok at this.
Gunjan Prithyani: Ok. Got it. Just very last one, I'm slipping in, any update on PLI that you can share?
Vivek Vikram Singh : Our PLI internal champion is Rohit Nanda.
Rohit Nanda: So Gunjan, there is progress but nothing to report as of now. So, like everybody else, we are also in the queue. T he approval process is on, that's all I can share with you right now.
Gunjan Prithyani: OK. Got it. Thank you so much.
Moderator : We will go to the next participant, Sabyasachi Mukherjee. Your line is unmuted, please go ahead with your two questions.
Sabyasachi: Thanks for the opportunity. Am I audible?
Vivek Vikram Singh : Yes Sabyasachi, you are.
Sabyasachi: Hi, So Vivek, first thing I wanted a clarification. I joined a bit late. Did I hear you correctly that there was a 25 c rore revenue loss in October -23 that would get deferred to Q4?
Vivek Vikram Singh : Correct. But I said partially, let me, I think I said some of it shall partially reverse in this quarter.
Sabyasachi: Ok. Got it. Next would be, if I look at the, you know, the order book and the past order wins, many of the programs are scheduled to get, you know, into

production in H2 and some of them in Q4 of FY24. and a large program of electronically locking differential for the electric SUV that we won in third quarter of last financial year that was I think supposed to get operation al in H2. So how are we you know, in terms of readiness, are these on track getting into operation? So, just wanted an update from you.
Vivek Vikram Singh : Thanks, Sabyasachi, well, thank you for following so closely. But yes, all of them are on track. Actually, some of them are slightly ahead of track, which is obviously making Vikram's life a little hard. It is a lot of work. So , when a lot of new programs launches come at the same time, operationally, it becomes a lot of time from engineering teams, production teams. So yeah, we are

running six days, sometimes seven days, very little sleep, etc. But yeah, it's all
good. It's all good. This is a good problem to have. That's good.
Sabyasachi: Great to hear. So probably a good reduction of your reply to that would be we should see a good ramp up in revenues from Q4 onwards. Is it a fair
understanding?
Vivek Vikram Singh : You know, we don't give forward guidance, especially that near term. But
also let me just put a caveat in these things, right, when a product launches
and the ramp starts, if you're making 100 a week or 1000 a week, that 1st 100
or 1st 1000 will take far m ore energy than six months later when you're doing
10,000 a week. So, it has started, all of them are on track and they are on
track as per customer production schedule is all I can say.
Sabyasachi: Got it. And lastly, you know, if I look at your breakup, of the EV programs that
we are currently having 53 programs out of that 10 is fully ramped up, 15 is in
the ramp up stage and, another 28, 5, of course, we have, we have got this
quarter which is yet to be, you know, kind of get into production. So, you
know , out of this, let's say, if I exclude the 10 programs which are already fully
ramped up, we have around 43 programs in the next, let's say, 1 to 2 years. How are you, you know, forese eing how many programs will probably get
into a fully ramped up stage. any, any broad color on that would be helpful?
Vivek Vikram Singh : Yeah, most of them, most of them, very few are actually as long lead as the
one that we won right now. Most of them should in calendar year 24 and 25, yeah, most will ramp up. Pratik, you want to add some better color?
Pratik Sachan : Yeah. Yeah, that's correct. So, most of them will ramp up in 24 and 25 and I think there are one or two programs which will ramp up later, maybe by 26.
S

abyasachi: Got it, that's all from my side and, and all the best. Thank you.
Vivek Vikram Singh : Thank you, Sabyasachi , thank you for attending.
Kapil Singh : So, we have a few questions from the Q&A chat box. I think you referred to
this one, but in case there is anything more to share, can you please talk
about the impact on supplies due to geopolitical tensions around the Red
Sea? Is there anything more to add t o it?

Vivek Vikram Singh : Not really? I mean, it's a little early. We are a management team that is fairly,
fairly watchful and active. So, we have secured some of these things already
because if you don't go on winter break and you're actually in office on 2nd
January it's easier to get containers booked, etc. So, it's not much for now.
But as I said, if it continues and it becomes like a problem for two months or
something, then we can't even guess right now because we saw that
happen in 2021. Because it doesn 't go, there is no linear logic to it. It suddenly
will start shooting up and then availability is not there because of that. If you
add roots, yeah, the working capital costs will go up. Shipping time can even
go up from 10 to 20 to 30 days. It's very unp redictable how it will all play out.
The biggest impact would be our deliveries to Europe. But even for some of
the ones that go into some of the North American, they use that route. So, it's
hard to say it will be negative, which is why we brought it up a nd shared it as
a challenge already if it continues . Right now, it's negligible as an impact.
Kapil Singh : Ok. Then there is one more question if you could share updates on the
NOVELIC business as well as the product development update with
Equipmake. I think Equipmake you already talked about.
Vivek Vikram Singh : Yeah, I think Equipmake we discussed even the timelines and N OVELIC it is
going well. As all of you know, when you have a smaller company integrated into a large public listed company, there are a lot of different systems and
processes and setups, quarterly audits that we are doing. So, we're doing
three things.
One is to ensure that engineering services revenues continue to be stable or
grow.
Third is , pivot this business into starting to make products and any of the
product opportunities that we are chasing could be anywhere between half
of their current annual revenues to 1.5 times annual revenue, even one
project if you win.
So that is an endeavor that's also going on in parallel. And so, these three,
yeah, all three are happening, early days, first quarter . A lot of growing up to

do in a lot of things ; and over time, I believe we will have some positives to share. But just the shear opportunity size is so immense, I mean, the technology is so wonderful that anything you hit, I mean, if you look at the four or five big ones we are chasing, they are transformational at least for NOVELIC . I know in the overall scheme of things with Sona Comstar revenue, it might not be a big thing. But for N OVELIC , it will be a fairly large thing, anything that we will. So, it's all going, it's been four months since we've been doing this, and it is a wonderful learning experience for them also I hope, it has been wonderful for us at least.

Kapil Singh : And then one more question we have is on you know, we updated the vision statement in the recent quarter to valuable mobility companies. We detailed a lot of opportunities including aerospace, etc. Any homework we have

already started? What percentage of revenues will we foresee that will come from this new area in say next 2 to 3 years?

Vivek Vikram Singh : Did we though? I don't think we detailed out, I mean, I have a very decent memory but yeah, we just said that mobility, it could mean anything that moves, the core though

t of it comes from just this simple, simple logic that anything that has motion or pro pulsion would need a motor and a gearbox, which are the two primary things we make. If it is an intelligent motion device, it would have also sensing as well as the intelligence to process it. So, sensors and software will be required. That is the reason and if you refer back and Pratik if you can go to that slide which has a product of market segment revenue, the mix.

So if you look at it, it already has, I mean, automotive traditionally, if you look at how ACMA or SIAM defines itself as passenger vehicle, commercial vehicle, two wheeler and three wheeler. That today is 89% of our revenue, currently, non-automotive , which is industrial, farm equipment, tractors and the services business is about 11% of our revenue. This will continue to grow. How fast, when will it become 20 -30? We can't say, it is an endeavor. We are at a very early stage of it. We just changed it last quarter. As I mentioned before, this is not a company or a business that changes on a quarterly basis.

These are businesses that are run by long term people for long term objectives. So if you say that, oh, we have intention to get into aerospace, unless you're an acquisitive company that just goes and buys another aerospace company or something, it's not going to happen immediately. It's a statement of intent. Anything that we do takes 3 to 4 years minimum. So again, if anybody's expectations are that things will overnight change, they won't, this is slow, deliberate and very, very well thought out plans th at will take years of effort and dedication to execute. We are seeing some early wins but for them to be meaningful enough to match our ambitions, they will always take time.

Kapil Singh : Sure Vivek, and one, just one last question from my side, I wanted, you talked about the outlook for India in terms of various segments, but I specifically wanted to touch upon the electric vehicle outlook for domestic segments like passenger vehicles and three wheelers, you know, what kind of opportunities are coming up in those areas because you know, it's still a very, very small segment and new models we know will be coming up in 2024 and 2025. So how do you see that shaping up from a Sona Comstar point of view?

Vivek Vikram Singh : So, we fundamentally believe that the three -wheel er opportunity is almost absolute, like in four or five years, all of it will become electric and it is a decent value segment for us. We have, I think, three programs already. We want to be a meaningful player in the electric three -wheeler . We also think that in the electric light commercial vehicle segment, anything below four tons we believe should get electrified sooner rather than later. And in the next five years, we'll see a lot of action in it. Almost, most of our existing product R&D efforts in the motor area are directed towards that, because higher voltage and higher kilowatts , both endeavors are on and both of them should find a very good and ready audience. The motor one obviously is a far higher voltage architecture for the bus so that I'll keep separate. But three wheelers' immediate and actionable and it is happening as we speak. So that's urgent.

Passenger car, it's still slow. I hope it takes off, but believe in genuinely that unless something fundamentally changes in battery tech and batteries become far, far less expensive, it is hard to go to double digit penetration anytime soon. Yes, by 2030 economies will scale, designing pure EV platforms will happen. But if you wan t it to happen fast in the next three years or so. Lot has to happen in battery tech. And the good news here is there is a lot happening in battery tech.

So, for those of you who follow battery technologies, I would recommend reading this if you can get your hands on the Berns

tein report on battery

strategy roadmap 2023. And you look at what people are doing in either electrolyte space where gelatinous or solid or lithium metal, LFP everybody knows about , and sodium ion, there is a huge opportunity that we could go even to 60 - 70 dollars per kilowatt. And that, that can change the game. I mean, if you have batteries that go down by 20 -30% which are 40 to 50% of the cost EV suddenly become cheaper than ICE. That tipping point when it will come is hard to predict as it is with any technology but will happen in the next 5 to 6 years.

That's our belief that we've been working on for almost eight years already. There is this thing we had presented, and Tony Siba I had done the study by

Rethink X Institute on how much time it takes for new technologies to overpower dominant technologies. And this study goes back to examples of 200 years ago. So, Anthracite coal versus bituminous coal, digital camera versus film, motor car versus horse. So many examples. Once any penetration of a new technology reaches 10%, it usually takes about 15 years f rom that

point for the dominant technology to get reduced to single digit. Now, that happened for EV, somewhere around 2021 that it crossed 10% for the first time. So, by our calculation, by 2036, EV will be 90% plus of the total market and in which I include , Gunjan's point plug in hybrid , as long as it has a motor and a battery and a charger for us, it is the same thing and the battery will be the biggest change in this. I know I'm taking a long time on this, but this is a subject I'm very passionate about. So, Thomas Edison, I don't know if you

know this Kapil, but in 1908 there were more electric cars in America than ICE cars, right? The electric car actually precedes gasoline or the internal

combustion engine. And Thomas Edison in his notebook had written : motors - easy to solve, running gears – solvable , control systems - can be done. And then he wrote battery and he put a question mark. For a very long time, almost 90 years, we could not figure out battery out, and this smartphone, this is actually the mother of the modern electric car. The lithium -ion battery made it possible for electric cars to be viable again. Now that is not stable , that is not the final form of the battery. We have already seen it come from $200 plus to almost $100 now. The day it goes below 100 and it goes to 70- 80. That's the day this paradigm will completely shift. I think it's near , there are lots

of companies doing interesting research, Q uantum Escape, North Volt, C ATL is doing a lot of good work in this field. So, follow that, again, we are also reading, this is not something we do ourselves. But this is the market we keenly study. At that point is when the Indian market turns because India will be a cost sensitive market in value terms, we are still only about 1% of the world auto market. If you take our passenger vehicle market. For that market to suddenly electrify, the cost has to be solved. It has not been solved yet. It is a

very long -winded answer. But again, this is a subject that I've been studying for nine years, but this is what I do.

Kapil Singh : No, thanks. That was very insightful. Thank you so much to the team from Sona Comstar as usual, it's a pleasure to host you and to the investors we have come to the end of this call. Thank you, so much and good evening .

Do you have any closing remarks Vivek?

Vivek Vikram Singh : No, thank you. Thank you as usual for those of you for making time. I know it's slightly late for some of you to have attended. But yeah, I hope we can continue doing well and thank you for attending.
Kapil Singh : Thanks, everyone. Have a good day. We can close the call.

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company tak

es no responsibility for such errors, although an effort has been made to ensure a high level of accuracy .

Call: May 2024

(no extractable text — likely a scanned image PDF)

Call: Jul 2024

Date: 30th July, 2024

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter ended on
30th June, 2024

Dear Sir / Madam,
P u r s u a n t t o R e g u l a t i o n 3 0 r e a d w i t h S c h e d u l e I I I o f t h e S E B I (L i s t i n g O b l i g a t i o n s a n d
Disclosure Requirements) Regulations, 2015, pl ease find enclosed herewith the transcript
of the Investor Call held on Wednesday, 24
th July, 2024 on the financial result of the
Company for the quarter ended on 30th June, 2024.
The transcript will also available on the website of the Company at https://sonacomstar.com/investor/investor-presentations

This is for your information and further dissemination. Thanking you,
For Sona BLW Precision Forgings Limited
Ajay Pratap Singh
Vice President (Legal), Company Secretary and Compliance Officer
Enclosed as above; BSE Ltd.
Regd. Office: Floor - 25,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai-400 001. National Stock Exchange of India Ltd.
Listing Deptt., Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051
BSE Scrip Code: 543300 NSE Scrip: SONACOMS

SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q1 FY25 Earnings Conference Call Transcript
July 24, 20 24
The webcast recording and the presentation referred to in this transcript are available on the website of the
Company and can be accessed through the following link:

https://sonacomstar.com/investor/investor -presentations

Moderator : Good A fternoon, Ladies and gentlemen . Thank you and welcome to the
Sona Comstar's Q1 FY25 earnings group conference call. Please note that
all participant lines are in the listen -only mode as of now. There will be an
opportunity for you to ask questions after the presentation concludes. Please
note that this call is being recorded. We request that you place your line s on
mute except when asking a question.
Slide 2:
Some of the statements by the management team in today's conference call may be forward -looking in nature, and we request you to refer to the
disclaimer in the earnings presentation for further details. The management will also not be taking any specific c ustomer -related questions or confirming
or denying any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in your questions.
Now, I'll hand over the floor to Mr. Kapil Singh, Head of Consumer and Digital Commerce Research, India, and Lead Autos Analyst at Nomura . Kapil,
please go ahead.
Kapil Singh : Good day, everyone. To take us through the Q 1 FY25 results , we have the
management team of Sona Comstar. We have Mr. Vivek Vikram Singh, MD
& Group CEO; Mr. Kiran Deshmukh, Group CTO; and along with him Mr.
Praveen Chakrapani Rao, who is the CTO designate, Mr. Sat Mohan Gupta,
CEO of Motor Business; Mr. Vikram Verma, CEO of Driveline Business; Mr. Rohit
Nanda, Group CFO; Mr. Amit Mishra, Head - Investor Relations; and Mr. Prat ik
Sachan, GM - Corporate Strategy and Investor Relations. Before I hand over
the call to Vivek, I wish you a very happy birthday. And now I will pass this on
to you for the opening remarks and also the presentation.
Vivek Vikram Singh: So, thank you Kapil for the birthday wishes. Yeah, I turned 45 today . When I

joined Sona, I was 35 years old, knew almost nothing about anything and
now in my 10
th year at Sona, I'm still learning, still trying to get better at doing
my job. So, with that being said, let me move on to doing my job and
welcome all of you to the earnings call of what has once again been our

highest ever quarterly revenue, EBITDA, BEV revenue , and BEV revenue
share. But we'll begin as we always do with the challenges.
First, the off -highway market has been weak and this time, I want to highlight
the US off -highway market which has actually been struggling for the last, I'll
say 8 -9 quarters, straight. Production declined further last quarter and given
our high market share in this space, this has affected the sales of our
differential gears as well as differential assemblies , to this segment.
Second, the Indian EV two- wheeler industry continues to face issues related
to FAME subsidy and the subsequent fallout on demand . Quite frankly in our
entire EV portfolio, the EV two -wheeler market remains the most
disappointing one from a gap in projections and actual sales. On the cost
side, the Red Sea crisis continues, which means that there is a further increase
in freight rates as well as there are challenges on container availability, so this
remains a continuing and ongoing challenge. But as usual, the good news
outweighs the bad in a lot of ways.
In financial terms, we achieved the highest ever revenue and EBITDA. BEV revenue has continued, as I said repeatedly over the last four quarters, that
this is our growth driver, and we grew BEV revenue by a staggering 53% last
quarter year on year and its share in revenue has increased to the highest
level at 33%. We've also begun FY25 with the meaningful new wins in the
electric vehicle segment which we'll talk about later. We w on our first order
for an in- cabin sensing product , ACAM , which gives us the confidence that
we are moving with agility on a long -term strategy of pivoting NOVELIC from
an engineering services led business to a product and semiconductor chip design. This was the hypothesis with which we made this acquisition, and we
are very proud that in such little time we've been able to achieve that hypothesis. We've additionally made substantial progress on our technology
roadmap by winning customer orders for two new products. And we've also
added a further two new produ cts to our development road map. And Mr.
Deshmukh would cover that in a later slide.
Vivek Vikram Singh : Slide 5:
Coming to the numbers , on a YoY basis, our revenue grew by 22% while
EBITDA and net profit increased by 23% and 27% respectively. Our margins
have improved due to operating leverage, that's the core reason for the
growth being higher than revenue growth. Once again, I would highlight that BEV revenue grew by 53% and the BEV revenue share has reached 33%.
Slide 8:
On our biggest strategic priority, electrification, our BEV revenue share has
increased from 26% to 33% and BEV revenue in rupee terms has grown to over
■2.8 billion. For us, the growth in BEV revenue has been five times the growth
in non -BEV revenue and that should give a clear indication of where we are
deriving this much higher than industry growth from.

We continue to build on our EV order book. At the end of Q1, we have 27 EV
programs in production, 12 of which are mature and completely ramped up
and 15 are in various stages of ramping up. The remaining 28 programs are
of course not yet in production and will start during this or the following years
to come. We will elaborate on the new wins in the next slide.
Slide 9:
So, the first one is a Driveline program . This is for a class -5 electric truck for an
existing North American customer. The customer is a new age OEM of
commercial vehicles. Earlier if you recall, we had won the order to supply
differential assemblies to this customer. And now and thanks to Vikram and
his team's persistent efforts and having proven their skills, we have been
awarded three more products within the same vehicle ; the intermediate
gears, the input shafts and a new product for us as a

company - park gear .
This has increased our content value on this truck substantially and increased
the order value by 170% or ■6.8 billion.
The second one, although smaller, but one that gives us great pride. This is
our very first product order in the sensors and software business. The order win
is to supply ACAM or in -cabin sensors for electric passenger vehicles. It has
come from a new cust omer, an Asia based new age OEM of electric
passenger vehicles. As highlighted in the last quarter, I think I mentioned and
spoke about it that we are pivoting NOVELIC from an engineering services
led business to a product business. And this, this is quite special. We have long
prided ourselves as being a company that can make an acquisition and
make that company, whichever we acquire, much bigger, better, newer,
more innovative than it used to be. Our ability to provide the freedom to innovate, our ability to provide the right capital and the right oversight, is
something we take great pride on, and this proves that our NOVELIC
acquisition hypothesis was correct. It gives us confidence that we are on the right strategic path and moving with great momentum.
Slide 10:
This slide is a good visual summary of the reach and diversity of our
electrification mission. This quarter, we've added one new customer and one
new program in Asia. And as you can see, I mean, this literally spans the whole world. Our EV exposure is truly diversified across customers, programs,
products , and geographies. And this is the reason that despite some
customers not doing well, our revenue growth from BEV was 53%.
Slide 12:
Coming to the next priority and our order book; so, our net order book, we have added ■11 billion worth of new orders last quarter and at the end of
Q1FY25, our net order book has expanded to ■233 billion.

The EV portion remains high at 79% of the order book, kind of indicating what
our future would look like.
Slide 14:
On our fourth and a very important KRA for us, diversification , the trend of
increasing electrification and decreasing ICE dependence continues
unabated. And this quarter we have seen for the first time, the ICE dependent
revenue shrink to single digits to merely 9%.
The demand slowdown in Europe has meant that the revenue share from hybrid and micro hybrid has been lower than in the previous year. And
because I invariably get asked this, I thought we'll preempt it; the question
about BEV and hybrid . So here's a reminder that while 33% of our revenue
comes from BEV; 21% is from hybrids and 37% from products that are power source agnostic . So, from a commercial and purely commercial perspective
today, our content value is highest actually in plug -in hybrids, followed by
battery electric vehicles, followed by hybrids, followed by ICE because we
sell our high torque differential assemblies and starter motors both to plug in
hybrids. We also have the opportunity for hybrids to offer traction motor
solutions for that vehicle.
However, when, I answer questions from the analyst community, and I talk
about the future powertrain technology, I try to do it candidly and honestly
as an engineer and as a student of the automotive . It isn't that when I answer,
I only think of what is good for Sona Comstar, I think of what is the right answer and what is the truth that I want to share. So, here's our take on this, that
hybrid solutions in most industries do not last too long. They are bridges to one or the other technology and this is because having two separate power trains
and developing two separate engineering systems and trying to optimize for
them both is by definition - inefficient. And over time, I think people will see
that. Ther e are lessons from many other industries like hybrid of digital and film
cameras that Kodak launched; hybrid of tablets and e- readers; TV, and
personal computers hybrid

; hybrid of analog and smart watches and many many more examples where hybrid products were introduced but faded over time. And this is why we believe that BEV will be the absolute future in
2035 and beyond.
Although again, if I'm just putting on my Sona Comstar hat, if the industry shifts
entirely to plug in hybrids, we will not complain from a purely financial

perspective because like I said, that's where we make the most money.
Slide 15:
Moving on to the other revenue cuts, geographically North America remains our largest end market, contributing 43% of our revenue while India remains the second largest market with a revenue share of 28%. After a very strong, I would say , recovery last year, we are once again seeing a slowdown in demand in Europe. This quarter our fastest growing segments have been EV

differential assemblies and EV traction motors and this, as you can see is reflected in the changes in the product mix. The continued weakness in off-highway demand in the US and India means that non-automotive revenue has declined to just 9% .
That's all from me and with this, I turn over to our Group CTO Mr . Deshmukh to update us on the technology roadmap. Over to you sir.
Kiran Deshmukh: Thank you, Vivek. Good evenin g, everyone.
Slide 1 7:
We share our technology road map during every investor call and most of you are now familiar with how we depict our approach to technology development. We keep bringing new future products in this chart and mark them when they are commercialized. So, this quarter, I'm excited to share significant developments in our product portfolio that underscore our commitment to innovation and leadership in the EV market.
In this quarter, we successfully commercialized two groundbreaking products; the first is the park gear for a class 5 electric commercial vehicle, a product that stands out for its unique safety and reliability features. This product has been developed in collaboration with the new age, North American OEM, specializing in electric commercial vehicles. Our park gear is designed to enhance the safety and reliability of commercial EVs, meeting stringent industry standards and addressing the specific needs of this burgeoning market .
The second product we brought to market is the in -cabin sensor for child presen ce detection, known as ACAM. This innovative solution is tailored for an electric passenger vehicle from an Asian new a ge OEM. The ACAM sensor is a critical safety feature designed to detect the presence of a child in the vehicle, preventing tragic accidents and ensuring peace of mind for car owners. Utilizing advanced radar technology, this system offers precise and reliable detection even under challenging conditions such as when a child is asleep, covered by a blanket or is in the seat well. This product aligns with our vision of integrating advanced safety features into modern electric vehicles.
Looking ahead, we have added two promising products to our technology roadmap. The first is an integrated motor controller for hub motors. This integrated motor controller will offer superior performance and efficiency. As the demand for efficient and compact motor solutions grows. Combining the controller and motor into one unit can reduce weight, minimize wiring complexity and enhance overall system reliability. This may exist ideal for various EV applications, particularly in compact and lightweight elec tric vehicles.
The second future product is an integrated motor controller for high voltage systems. This product is designed to meet high voltage electric vehicles,

increasing power and performance demands, providing enhanced control and efficiency; integrated controllers for high voltage systems streamline the powertrain architecture leading to improve thermal management and

reduce energy losses which translates to better vehicle range and performance.
These additions to our technology roadmap reflect our strategic focus on expanding our product portfolio and driving innovation in electric, personalized, intelligent and connected vehicles. We are confident that these developments will strengthen our market position and deliver

substantial value to our customers and stakeholders.
Thank you for your attention and I now hand it over to Rohit to cover the
financial update.
Rohit Nanda : Thank you, Mr. Deshmukh. A very good day to you all. It's my pleasure to
share our first quarter results for the financial year 2025.
Slide 19:
Our revenue for the first quarter was ■ 893 crores. It has grown by 22% year on
year, while the underlying light vehicle market in our three largest markets of North America, India, and Europe grew only by 3%. Our BEV revenue has
grown by 53% to ■ 283 crores, and it is now constituting 33% of our total
revenue. Our reported EBITDA, grew by 23% year on year, while EBITDA adjusted for ease of cost grew by 27% to ■259 crores; adjusted EBITDA margin
expanded by around 1.2% over the same quarter last year due to o perating
leverage and lower input costs. Our profit after tax adjusted for ESOP cost
grew by 29% to ■148 crores, primarily due to higher operating profits.
Slide 20:
This brings us to the final slide on our key ratios. There are not many big
changes here from March, our value addition to employee cost, the return
on capital employed and return on equity ratios continue to remain strong.
There is some improvement on the working capital turnover ratio, which has improved to 5.1 times and fixed asset turnover ratio which has improved to
3.8 times.
With this, we have come to the end of our first quarter's earnings presentation,
and I'll now hand the proceedings back to the Nomura team for Q&A.
Moderator: Okay , ladies and gentlemen, now we are at the Q&A portion of the
presentation. A gentle reminder, if you have any questions, you can use the
raise hand function. We will unmute your line or submit the question in the
Q&A chat box.
Kapil Singh : Hi Vivek, by the time the question queue is building, there is a development
of where the company has taken approval for fundraise. So, I would request
you to also articulate what are the reasons for the same?

Vivek Vikram Singh : Sure. Yes, so first thing, it's an enabling resolution. It allows us to raise up to
■2400 crores. So, I first wanted to put that out. Why, obviously it is fairly well
known that for our usual organic expansion, we don't really need much
external capital. So, this is because we are evaluating a few potential
acquisitions as well as some strategic opportunities like JV ’s collaboration, et
cetera. And I mean, we've been working on many of these opportunities for,
I would say the past 6 -7 months. And if most of these transactions and
opportunities were to fructify, we would definitely need external capital.
Given this scenario, we presented this, and the board has reviewed and
approved the proposal to raise funds. I think the board has also constituted
a board committee for this purpose. And like I said before, this approval is an
enabling one which allows us to determine the equity and or any other
permissible, I would say equity convertible, securities /instruments to fund
these transactions when necessary. We cannot, frankly at this point, share
any more details because as you would know, any of these transactions
would have, you know, a fairly high degree of conf identiality attached to it.
I just want to assure everyone that we will stay absolutely true to our vision as
we have for all our lives and for three years, at least the public markets have
seen us and whatever our targets are, they would be within the mobility
space, and they would be in and

around our theme of EPIC mobility.
Kapil Singh : So, Vivek, can I also ask that since you are evaluating these opportunities,
what will be the principle based on which these acquisitions will be done? So,
for example, are you looking at, these would be more smaller tech kind of
companies, or these are companies which are more like turnaround
candidates? So just, you know, some thoughts on when you look at acquisition candidates, what is it that fits in your framework? What is the
framework if you could just help us understand that.
Vivek Vikram Singh : We've done two acquisitions in the last decade; one is Comstar, and one is
NOVELIC , that's pretty much it. In both cases, it was a buy versus build . We
look at if we were to do it organically, most times, we are almost trying to do

that thing and we either realize that this is way beyond our current set of capabilities or it would take far too long and hence, it is much better to buy. We try to build as much as possible, but we buy in these cases . We are not turnaround people. We are humble enough to know that if someone's been running the business for decades, we are not some geniuses who would come and figure out how to run it better than them, we do not have the hubr is to think of us like that . Most likely because we come in, we end up putting a lot more compliances, a lot more structure. We would tend to decrease margins initially and reposition for the long term. What we have been able to do both in Comstar and NOVELIC . And I think that would be the attempt with anything we acquire , that make it greater or better or faster than what it used to be. We can, Comstar is a great company but a great starter motor company, which we have been able to pivot into a far more future looking traction motor, suspension motor, inverter, controller, a lot more technology focused . Technology is the axis on which we tend to play. And that's, that's what we bring to the table I feel that we can get them access

to the right capital, deploy capital well, we can get the focus back on technology we can take focus of that management team away from short term things, meeting targets. Because a lot of time top management gets bound by myopic KPI meeting objectives - this quarter, this year, what not, what do you need to do to bonus? Can you free them and give them enough capital and say the risk of failure, also, we will take. If you fail, it is our failure. If you succeed, it is your credit and then give them that kind of capital and freedom to fail . Give them the R&D budget, that's what we are good at and that's what we will continue to be good at. I don't think we can change so quickly. I mean, like I said, this is my 10th year, Mr . Deshmukh’s fourth or fifth decade, Vikram's third or fourth decade . We've been here for a while. We have developed a culture. We have developed our value system. I don't think we can deviate from those things. So yeah, that's, I don't know if I answered it, but it is a very philosophical question. And unless we talk about each acquisition opportunity, it would be hard to give a specific general one. All of them will have something unique about it. And yeah, so small and big is not how we look at it traditionally.

Kapil Singh : Sure, thank you. That's helpful. Yeah, Deanna, I think we have the queue now. So please go ahead.

Moderator : Ok, thank you. The first question goes to Aditya, your line is unmuted, please go ahead with your two questions.

Aditya Jhawar : Thanks! Hi Vivek, can you hear me now? Thank you for the opportunity and congratulations on a good set of numbers. My first question is on PLI. So have we started accruing the PLI benefits? And since now we have a couple of products where we have certified, you know, certified for PLI and, what it appear s that our customers are also, you know, certified for their end product. So I just wanted to understand what is the thought process here, that what quantum a supplier can claim and what quantum the customer can claim the PLI benefit.

Vivek Vikram Singh : Sure. So I'll let Rohit answer that. He knows far more than I do. In general, he knows far more than I do. But this subject he knows much, much more than I do. But we, we are a conservative company. We will not recognize revenue till it has come to us. We have made that clear, I think many times, that unless we receive the money, we have no idea what the quantum will be. We have been approved for four products already. The remaining products that are in the queue are also progressing. W e will see when that happens. I don't think anybody is going to receive money this year, this financial year. So, it is next year that this question of revenue recognition and how will come up. But Rohit can elaborate.

Rohit Nanda : I think you have broadly answered the question. So yeah, so we're not recognizing it as of now. And the intention is that we recognize it from next year and the revenue certainty is there. So there are two parts to the revenue certainty. One is there are thresholds to be met in terms of capita l investments, etc. And second is what's the quantum of benefit that we will

end up getting because that is the subject matter of the total claims under
the policy. So it would be prudent to start recognizing it from the next financial
year only.
Aditya Jhawar : That's helpful. Second question is on NOVELIC , congratulations on the order
win, the first order win in NOVELIC . So looking ahead in the next 2 to 3 years,
so clearly, you will see a lot of OEM in India, you know, launch the product which you know would have a requirement of radar based sensor. So, in your
discussions with OEM, are you sensing that you are at an advanced stage and you know, certain discussions and OEMs are comfortable, you know, with
our product proposition. And in case you know, you can give a number that
you know from a percentage of revenue contribution. How do you think that
will shape up in the next 3 to 4 years?
Vivek Vikram Singh : So, I'll take the second part first. Yeah, no numbers. You know, when I said
that when we come in and acquire the company, this is the freedom we give
them. The freedom from pressure of short -term targets and numbers. If you
take that pressure off, you can do things in a much better way and do what you really intend to. I would say the first set of customers are likely to be more
in Europe and US, India will be a little later. We want to do this, I mean, India;
one, there is a high degr ee of cost sensitivity. Second, the more advanced
use cases, let's say any technology like radar sensor may have seven or eight
use cases that can be deployed. European or more high -end car makers
would like you to do all of those 7 -8 while someone who wants to pay less
and is more cost conscious would only want two or three use cases. So, you
don't learn how to deploy all of them, and you want to learn the full range of
your capabilities of your product. So, we are going to focus on Europe, Asia
and the US before India, outside India. But no short -term targets, Aditya,
because I think the potential, I think Jinesh had asked last to last time and I
said it's so huge that each contract, even this one that you win is multiple
times the annual revenue. One, every single one is like that; in these scenarios,
instead of trying to be greedy or trying to figure out how much more, it is more
important to make the product better and do as many things as possible. So,
we'll continue on that path. But it is, it is very exciting. I mean, every opportunity that we're talking about is fairly large compared to what the
business is, the size of the business.
Aditya Jhawar : Yeah, perfect. Final question, you know, your

commentary on Europe was
slightly subdued and we're also hearing that there is some production
disruption in OEMs because of excess rains and floods. So, are you seeing that
OEMs looking for, you know, production cut? You know, as we progress in this coming quarter.
Vivek Vikram Singh : I think we've maintained this for the entire period that we have been listed
that we would like to give bad news first; bad news, take the elevator and
Europe, we've been flagging it for a while. Yeah, it's again slowing down so
that you are right. There a re many things but the ones you talked about are
more micro. I think it is in general, if it achieved a flat, it would be a good
outcome.

Aditya Jhawar : Ok. Yeah, that's it from my side. All the best.
Vivek Vikram Singh : Thanks, Aditya.
Moderator : Thanks, Aditya. The next question goes to Jinesh Gandhi. Hi, your line is
unmute.
Jinesh Gandhi : Hi, am I audible?
Vivek Vikram Singh : Yeah Jinesh, long life , I just mentioned you in the last comment.
Jinesh Gandhi : Yeah. Thanks. Hi Vivek, so a couple of questions, one is on the acquisition side and otherwise also, how do we think about the non-automotive space in
terms of the opportunity and what we can do there? What are your thoughts on that?
Vivek Vikram Singh : As long as it's within mobility, and I have, when we changed our definition and our vision to mobility, I had explained mobility, but I'll do it again. Any
device that moves passengers or goods from point A to point B for us is
mobility. So, if it's a bicycle, it's a drone, it's a train, it's a bus, it's a tractor, car,
two-wheeler , all of them are in mobility. We will not go outside our vision. Our
vision says mobility technology, so we will remain within mobility. So yeah, as
long as that, I mean that fits into non -automotive , actually, automotive also

people define slightly differently. A lot of analysts think automotive is only
passenger car, even a n off highway vehicle like a tractor or an ATV will not
be considered. So that's why we said mobility, that's the definition. That's the
scope. We won't just pitch up and start making, you know, like smartphone
parts or start an NBFC or something. So that's not going to happen. I mean,
we're not random people, we are engineers, we are good at manufacturing. Our vision is fairly defined. It will be within moving.
Jinesh Gandhi : Ok. I mean, what I was trying to understand is railways, obviously you
mentioned it will be but something on defense, on that side probably may
not be a part of it.
Vivek Vikram Singh : No. Defense, no, not, not at all. I mean, that's a slightly ethical thing also. We do not want to make things, whose explicit purpose is to harm human beings.
So, defense is kind of out, especially making weapons, that's not what we
were put on the planet for.
Jinesh Gandhi : Right. Right. And the second question again on the PLI side. So, while
obviously we will only account for it when we get the cash. But based on our current revenues, say Q1 revenues, what percentage of revenues would be
eligible because some of the revenue is going to OEMs who also have PLI
incentives , we won 't be eligible for that. So, would it be possible to say what
percentage of revenues will be eligible for PLI today.
Vivek Vikram Singh : What is this about if it 's going to customer , we will not be eligible or whatever.

Jinesh Gandhi : In the sense that a customer claiming PLI, so for example, say, someone like
TVS who also is a PLI beneficiary and if your motors are used there, then you
can't claim, if they claim, if they don't claim, then you can claim on that. So
that's what the PLI document talks about. So that's and hence that question.
Vivek Vikram Singh : Here, I don't think it works exactly like that. If you're not makin

g something,
you can't claim PLI for it. Anyway Rohit, you can answer as to the percentage.
Rohit Nanda : Sure, so as of now the products that are approved are all in the two -wheeler ,
three -wheeler EV motor side. So, for now, that's the revenue that you should
track on which the eligibility is there. So, there are still like a couple of more
products to be approved in that segment. But largely as of now that's where
the approval is and so that's the revenue on which will be eligible.
Jinesh Gandhi : Ok. And the large chunk will come from the differential assemblies which we
export because that's also sensible, a bigger proportion of revenue today. Is
that a fair statement?
Rohit Nanda : Whatever is approved is also sizable. And right now, I'm not talking about the
products where we don't have the approval so far. So, the question is, I mean,
I'm just trying to answer as it stands today. That's, that's a position as of today.
Jinesh Gandhi : Perfect. I got it. Great. Thanks, and all the best.
Moderator : Thank you so much. We move on to the next participant Gunjan Prithyani.
Your line is unmute. Please go ahead.
Gunjan Prithyani : Yeah, thanks. Thanks for taking my question. Just two questions from my side.
I'm just trying to get a better handle on how to think about growth, particularly
from the comments that you made on the, on India, as well as Europe. That
Europe is seeing some softness. India, also from a tractor and CV perspective,
there is not much growth right now. So how should you know, if you can give
a little bit of color, either geography wise or product wise, how to think about growth? And I'm not looking quarter to quarter more from the next 12 -18
months perspective. And you know, in just an extension to that on your order
book, are we seeing any delays in the programs? Just because either the
demand has been softer than what people were anticipating at the
beginning of the year or because of, you know, some push out of EV
programs that we continue to rea d in the press.
Vivek Vikram Singh : Yeah. So always be careful to apply your own wisdom to what you read in
the press in general I would say that's true for almost everything you read. But
let's start from the top, which is how to think about growth. If we were
dependent only on underlying industry growth, we would have grown about
20% in the last three years. We have grown more than 100% , right? As I think
we mentioned quite a few times, we grow because we add new programs,
we add new customers, we add new products. It is not going to be aligned
with the underlying industry. Every quarter, I start with the challenges, right?

Every quarter, I say at least two or three segments which are no t growing. I

mean by that logic, we should have been negative growth for the last 10 quarters, but we are not right because that is not how it works. Industry growth is something if it happens, it adds to whatever percentage you grow by. But if you keep adding new prod ucts, if you keep adding new customers within existing customers, if you keep increasing your share of wallet, you can continue to grow. I mean, automotive in 2019 was a 96 or 2018 was it 96 to 97 million vehicles were sold, 2018. We have not even crossed 90 after that in five years. Even in that scenario, if I look at our five-year growth we are like three times. So yes, it's a great perspective to have if you're tracking the industry. But if you're looking at individual companies, their growth will not be lockstep with those things. As far as I remember in the last three years, Eur ope passenger vehicle has been soft, in growth, off highway has been soft barring one year, which was, I think FY21 off highway has been soft. Commercial vehicles have not gone b ack to 2018 level. So again, I don't think there is a direct correlation and EV growth rate. I know last qua

rter also Gunjan, you asked me, oh, EV has slowed down last to last quarter, also you asked me last to last to last quarter asked me.

Gunjan Prithyani : No Vivek, I'm not getting to EV slow down. My question was actually on order book conversion. Honestly, I mean, I understand the business drivers well that you all have been delivering on content value, you all have been delivering on market share. So absolutely no question around that. What I was jus t trying to understand is there a delay in the order book conversion is all, is the simple thing that I'm trying to get a handle at.

Vivek Vikram Singh : Well, that was the second part. Second part is order book conversion which also, I answered two quarters back. Not really, we're not seeing any program delays to be honest, in the launches, the, there aren't that many happening around this time anywhere, which is the truth. But the reason we have grown 53% over last year is because some happened. So no, we're not seeing much delays, what we try and do each quarter, we let our numbers give the answers. And if something is growing by 53% then we are seeing, we are not seeing a slowdown. I mean, you should give the benefit of the doubt to the actual numbers rather than, what is read in the press. Also, I think we have a lot of local bias that if you read press in India, it will automatically talk more about India Automotive. India's automobile as the percentage of world EV is so small as to not matter, but we read a lot about it and hence our perceptions form, and they take far more weight than they should. And I think that that could be the root cause of that, I would say the difference. We are seeing some launch delays. As I mentioned in my opening comment, in the EV two -wheelers space, which as I said has been fairly disappointing for th e last two years. It is one of those sectors that has never truly taken off. And now and this is one of the things I've been thinking about a lot , at this price point , I mean, most of them have come very close to ICE, two -wheeler price point, even at this price point if we are not seeing that much demand , I think it's a demand issue and which means for us, we need to focus far more on three - wheeler electric, light commercial vehicles, electric buses, other electric vehicles for, at least for India. Outside India, I think it's fairly business as usual.

Gunjan Prithyani : Ok, got it. My second question is on the two new products that, you know, you spoke about p ark gear and you know, integrated motor controller for the high powered vehicles. Now, on p ark gear , I mean, pardon me for the ignorance, but this is not, this is neutral to the power train, right? And what is the, you know, potential that we see from this segment? This is something which we've added in this quarter. So, if you can share a little bit more color around, you know, can this be cross sold to existing cust omers, anything that you can share on the potential or addressable market? And this integrated motor controller, has it got something to do with the Equipmake alliance that we had done, or this is completely different because I thought that was the arrangement for the high powered vehicles, right?

Vivek Vikram Singh : So good question. I'll invite Vikram to speak about the p ark gear and Sat to speak about the integrated motor controller separately because they're both separate products. But just before they speak, I think when we did that integrated dry motor controller, we realized that it's a great idea from a thermal management pa ckaging, light weighting , cost - all perspectives. So why not replicate it in every type of motor? So why not in Hub wheel and also why not in high voltage, it doesn't ha ve much to do with Equipmake. But let Sat speak about that, but Vikram first

Vikram Verma : Regarding the park gear , it is only u

sed in the EV drive train. So, it's not like power source neutral or in ICE transmission , it is not used.

Vivek Vikram Singh : Vikram a question that we forgot for the customer.

Vikram Verma : What is that?

Vivek Vikram Singh : Can we sell to other customers?

Vikram Verma : Yeah , it is as I said, it is used in all the drive trains in the EV. So, this product can be sold to any, all the other EV players.

Gunjan Prithyani : And what would be the cost of this product, if that's possible to share a broad range?

Vikram Verma : No, again, it is different sizes applied at different points of the drive system. So, it will vary quite dramatically how it is applied.

Vivek Vikram Singh : So Gunjan, It's different. If a class A truck has that, it will be like very, very high value. If a small electric car has it, it will be very low value. I think I tried to explain to someone else that our bevel gas for example, range in price from X rupees to 100X rupees actually. And the average will not give you any meaning because the range is very wide. It's the size of the drive train and the torque. So, it's going to be a very wide range. Sat do you want to answer the integrated motor controller a lso?

Sat Mohan Gupta : Sure, sure Vivek, Thanks. Gunjan, the integrated motor controller, as Vivek said, I mean, we are looking at to incorporate the technology which we have already developed for the drive motors into the hub motors and take it further

from our existing range, which is till 96 volts to 350 volts which would be good for three -wheeler applications , and the light commercial vehicles which is, in 1-to-1.5-ton capacity. As Mr. Deshmukh said, it gives a lot of benefit in terms of efficiencies and the performance. So, we are working in house on in house technology for smaller motors which could be in the range of 40 to 50 kilowatt from 96 volts to 350 volts. As far as the Equipmake is concerned, I mean, Equipmake is for the high kilowatt bigger motors and the voltage is about 350 volts. So, we are having that agreement to support the bigger applications. And I saw the question on when there was a question on, on the development st atus. Equipmake products ' development is as per the plan, we, we are going ahead, and we will start approaching customers. So, there is no delay or there are no issues on the development plan for Equipmake. Hope I answered your question, Gunjan.

Moderator : We now move on to the next investor Nitij Mangal. Hi Nitij , your line is unmute. Please go ahead.

Nitij Mangal: Yes. Thank you. Good evening. And thanks for taking my question. Vivek, can you talk a little bit more about NOVELIC . How do you see that company, let's say over the next 3 to 5 years. What are the key competitive advantages there? And let's say even when you talk about this in -cabin sensor order they've got, I mean, is that because the technology is different? Is it be cause I don't know, maybe they can do it at a better cost. So how, how are you trying to position NOVELIC over the next 3 -5 years? And what is the kind of play area for them?

Vivek Vikram Singh : Thanks, Nitij. Good question. So, I'll start with what we desire or what we hope . We want to make NOVELIC one of the world's most respected and valued sensing companies. So, for now, the focus may be only on millimeter wave radar sensing, but we want to do much more than that. We want to integrate radar with camera to provide a truly integrated solution . ACAM is one of our first areas because in- cabin is a new need in Europe. The NCAP thing has been delayed by a year. So, it's a little slower than it would have been, but it will come in every vehicle. And it is not , Nitij, as I keep saying, whenever we meet that in our industry, it is not just good enough to be better as a product, you have to be better and more economic, you h

ave to do both, which is
what we're trying to solve. That if you can put one radar sensor, let's say
behind the mirror and that replaces four or five weight sensors that measure detection or if someone sat down or not, it takes away wire harnesses, it takes
away the need for other sensors that detect if people are there or not. So , it
should act ually be net positive for the OEM. That's, that's one of the ways to
sell that you not only provide more application cases, but you also provide it
at a much better cost than what it used to be. We are looking at adding more use cases like intrusion alert, proximity alert to the same sens or. So that's
on the ACAM side. Second, it is also that we're trying to make it a truly mobility
company, which would mean even in industrial areas where there are robots ,
for safety reasons , for lifts, anything that moves. If it has some intelligence, it
needs to sense its environment, it needs to sense objects around it and we
have a place and we want to be able, I mean, the reason we gave them so

much, why are we doing primary funding is this , that make the best talent
available to them that they can explore many, many more use cases to take
their great technology and make something out of it.
The third area is on the semiconductor chip design which is currently only a small business. It's only about 20% of the revenue of NOVELIC , it's a in a
separate, it's housed in a separate subsidiary. We want to make it much bigger, I think a lot more and it is with your background. You would know,
although you would have been happier if you'd stayed on with Nvidia, don't
you think now ? But a lot is moving on to the software from the chip. So the
chip used to do the heavy lifting, most of the circuits did the heavy lifting of the logic. Now, a lot of it is actually shifting on to the software enabled that
chip. And that's where I think a lot of people like NOVELIC and NOVELIC 's
origin by the way from IC. It's a Novel IC, novel integrated circuit, that's how the name came into being. We see a lot of potential there. We are investing
in it. We are adding a lot of talent. Let's see. Hopefully we'll have something,
something to report from that segment too.
Nitij Mangal: Ok, great. Thanks for that. Fairly detailed answer. I have one follow up on that.
So, I mean, I would imagine I mean, NOVELIC , will not be doing chip
manufacturing, of course, right? So, at some stage, do you, I mean, is there
a competition, let's say, if I assume you'll still get chip manufacture d from the
likes of Infineon and all, right, and those are the companies which are also some of the largest automotive chip suppliers, right? And they would want to
also offer such solutions, I think Infineon used NOVELIC design based solutions
earlier. So, is there a competition for NOVELIC from who, from companies
NOVELIC will be buying chips? Just one more on that, three years, five years
old, how much, how big can you think NOVELIC can be as a part of Sona's
revenues? Thank you so much.
Vivek Vikram Singh : I would clarify that, I don't think we'll be in competition. I think you know, we don't name customers, but all our chip customers will come to lean upon us
far more as the weight shifts from chip fabrication to the software part. And
we want to be that tr usted supplier. This industry is very fast evolving, this is a
new kind of supply that wasn't really required earlier. The chip makers had all
of it and these guys were very small. I think out of the total value of the chip,
there will be a far more share of specialist software and chip design people.
I think that industry is yet to come into its own fully , but it will They have even
like a jigsaw puzzle, that they take broken chips, not like full wafers and try to
use them as if it's one chip, thanks to the overarching software architecture.
So there is a lot

more that's happening these days , and I don't think it's
competition. I think it's a collaboration. There will be more, I think it's
happening in the EV sector also. A lot of people who used to be competitors
are customers slash competitors slash suppliers, a lot of these lines I think are
merging. So, we will see what percentage we don't know. We hope it is a
significant one. We know it will be, we are confident that in five years, we
won't be talking in percentages, we will be talking about how many times
have we grown by and hopefully that will, that will then see you know how

we have been able to execute on this hypothesis. Let's see, but it is an exciting part for business.
Nitij Mangal: Ok. Thanks Vivek, all the best.
Moderator : Thank you very much. We will go to Arvind Sha rma. Arvind, please go ahead.
Arvind Sharma : Hi. Good evening. Thank you for taking my question. On the domestic e -Two Wheelers part, we see two things , e-two-wheeler is going smaller and yet the volume is not catching up. So where do you think the industry is heading on? And also, how does that impact your revenue slash profitability?
Vivek Vikram Singh : Profitability will increase. But I mean, they are not the most profitable segment of our revenue, to be honest. It is a great industry, from which we learn t a lot because there is volume, you get to do many iterations of your motors, but it isn't the most profitable one. You can ask any supplier who supplies to Two-Wheeler people that's not a profit making segment. Revenue, it is 7% of our revenue. We will keep adding customers and share of wallet so we will keep growing it, but it isn't at least from what we see today. It doesn't look like it's going to be as big as I would have answered two years ago. Two years ago, I thought the EV two -wheeler space is going to be truly huge in this country. Although if you remember Arvind, when we presented on this in one of our earnings calls . And we said that we think e -three -wheeler followed by e -buses followed by EV two -wheeler followed by EV passenger car is the order we see electrification happening in India. The order remains the same but EV two-wheeler percentage I think should be revised downwards because it isn't growing and we are not also seeing much policy support, although you guys track this far more than I do. It is 7% of our revenues, so is obviously not where we spend most of our energies as a percentage of profit, it will be much lower. So there, there is that, like I sa id, we've learned a lot in the three years, we started with low power, low voltage, we have kept going up. And as Sat mentioned, we are now working on, 350 volt, 40 kilowatt types of solution. We will keep trying to get higher and higher on both voltage an d power and try to get to the larger value segments for ourselves.
Arvind Sharma : Got it. Thank s, Vikram, for this. One more question on that again, domestic EV space in the passenger vehicle segment, like you said for you , PHEVs then BEVs, then hybrids. But now what we also see a lot, at least currently, the models are essentially very similar to their ICE counterparts when we shift to Born electric vehicles in India. Do you see content per vehicle increasing again?
Vivek Vikram Singh : Yeah, that's a short answer. Yes, with increasing torque, our value goes up. That's a very straight -line correlation.
Arvind Sharma : Got it, Thank you so much. Thanks!
Vivek Vikram Singh : Thanks, Arvind.

Kapil Singh : So, we have a question in the chat box. This is regarding your EBITDA sequentially being more flattish, but sequentially if you look at the PAT , it is down. So, if you could just explain that.
Vivek Vikram Singh : Yeah, Rohit, this is for you.
Rohit Nanda : Sure, so typically, in the four

th quarter of the year, we have, you know, certain tax adjustments because of which tax was lower last quarter. You will see this trend in most of the earlier years. So last quarter, there are tax adjustments towards the end of the year. So last quarter tax was exceptionally lower actually.
Kapil Singh : Ok. So, tax rate, average tax rate for the year should be around 24 to 25%.
Rohit Nanda : Yeah, it should be between 24 to 25%.
Kapil Singh : Sure. Deanna that’s all from the chatbox.
Moderator : Thank you very much, there are no other questions at the moment.
Kapil Singh : Great. So, we can conclude this call. On behalf of Nomura, I thank the management team of Sona Comstar for taking out time for this call and also all the investors for joining this call. Unless there are any closing comments from anyone, we can close the call.

Vivek Vikram Singh : No, thank you so much for everyone for attending, taking out your precious time and attending our call. Thank you!
Moderator : Thank you everyone for joining today's call. You may drop off the line. Good evening !

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy .

Call: Oct 2024

Dat
e: 30th October, 2024
Subject: - T ranscript of Investor Call pertaining to Financial Results for quarter and half
year ended on 30th September, 2024
Dear Sir / Madam,
Pursuant to Regulat ion 30 read with Schedule III of the SEBI (Listing Obligati ons an d
Disclosure Requirements) Regulations, 2015, pl ease find enclosed herewith the transcript
of the Investor Call held on Wednesday, 23rd October, 2024 on the financial result of the
Company for the quarter and half year ended on 30th September, 2024.
The transcript w ill also available on the website of the Company at
https://sonacomstar.com/investor/investor-presentations
This is for your information and further dissemination.
Thanking you,
For Sona BLW Precision Forgings Limited
Ajay Pratap Singh
Group General Counsel, Company Secretary and Compliance Officer
Enclosed as above; BSE Ltd.
Regd. Office: Floor - 25,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai-400 001. National Stock Exchange of India Ltd. Listing Deptt., Exchange Plaza,
Bandra Kurla Complex, Bandra (East), Mumbai - 400 051
BSE Scrip Code: 543300 NSE Scrip: SONACOMS

SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q2 FY25 Earnings Conference Call Transcript
October 23, 2024
The webcast recording and the presentation referred to in this transcript are available on the website of the
Company and can be accessed through the following link:

https://sonacomstar.com/investor/investor -presentations

Moderator : Good afternoon , Ladies and gentlemen . Thank you, and welcome to Sona
Comstar's Q2 FY25 earnings group conference call. Please note that all
participant lines are in the listen -only mode as of now. There will be an
opportunity for you to ask questions after the presentation concludes. Please
note that this call is being recorded. We request that you place your lines on
mute except when aski ng a question.
Slide 2:
Some of the statements by the management team in today's conference
call may be forward- looking in nature, and we request you to refer to the
disclaimer in the earnings presentation for further details. The management will also not be taking any specific customer
-related questions or confirming
or denying any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in
your questions.
Now, I'll hand over the floor to Mr. Kapil Singh, Head of Consumer and Digital Commerce Research, India, and Lead Autos
Analyst at Nomura . Kapil,
please go ahead.
Kapil Singh : Good day, everyone. To take us through the Q 2 FY25 results and to answer
your questions , we have the management team of Sona Comstar with us . I
will just introduce them quickly. We have Mr. Vivek Vikram Singh, MD & Group
CEO; Mr. Kiran Deshmukh, Group CTO; Mr. Praveen Chakrapani Rao, Group
CTO designate, Mr. Sat Mohan Gupta, CEO of Motor Business; Mr. Vikram
Verma, CEO of Driveline Business; Mr. Rohit Nanda, Group CFO; Mr. Amit
Mishra, Head - Investor Relations; and Mr. Prat ik Sachan, GM - Corporate
Strategy and Investor Relations. Now , I hand over the call to Vivek for the
opening remarks and the presentation , over to you.
Vivek Vikram Singh: Thank you, Kapil , and welcome everyone, to the earnings call of what is
once again the highest -ever quarterly revenue, EBITDA, BEV revenue and
BEV revenue share. But before we discuss the quarterly performance in detail, we have an important strategic announcement
to share .
Slide 5:

As we continue to grow as a company and to keep expanding the canvas in which we paint, we need to look at different opportunities , and we need to expand our focus beyond the automotive sector to broader mobility areas if we are to achieve a long -term growth ambition and continue the growth momentum that we displayed for the entirety of our 25- year -old journey. And with this thought in mind, if you remember , about a year back or 12 months back, we had updated our vision statement to reflect this shift, and we had taken out auto and inserted mobility. And since then, in the last 12 months, we've been exploring various areas of mobility . While doing that , and as some of you may already know, we said this on multiple occasions, we have a few filters that we put in, regardless of whether it's an organic opportunity or an inorganic opportunity that we put in to evaluate.

The first is the products, are they expected to exist for at least the next 15 years or not? In this case, we are confident trains will have brakes for perhaps much longer than 15 years.

Second, we aim at sectors that are not only sizable but also fast-growing, because I think Bob Iger, it was said that do not be a trombone oil salesman because even if you are the best at it and the market leader in it, there is only a very small amount of trombone oil that so the market has to be large enough as well as fast-growing and whatever we acquire should have the ability to take market leadership in its product category. Escorts Kubota Limited Railway division is already the market leader in railw ay brakes in India

and we believe with the right investment and the right focus, it has the capability to become one of the market leaders globally as well.

Third, it should further our long -standing strategic priority of diversification, whether it be in a market segment, in our customer mix or a product offering, which this obviously does.

Fourth and obviously very important from a shareholder's perspective, it should be a good financial investment. In the current case, we expect that

this acquisition would be earnings accretive from year one itself.

And lastly, but at least to the management team as a group, very importantly, it should be good for the world we live in and hence the

opportunities we explore must be in the cleaner part of the mobility. Now, railways is the most environmentally friendly mode of motorized transport available today. With this acquisition, Sona Comstar reaffirms our commitment to promoting green and clean mobility solutions.

Slide 6:

So, this is in a way some elements are repeated here, but I 'd say that more than repeated is reemphasizing that the acquisition of the railway equipment division of EKL checks all our filters to screen new growth opportunities. The railway industry , and we will cover it a little bit, presents long -term growth opportunities. And with the railway equipment division business, we see

significant potential to broaden our product range by doing what we as a company have done best so far, which is incorporating advanced technology and engineering products.

Slide 7:

Now taking these things point by point Indian railways as some of you may already know, have the second largest railway network in Asia and the fourth largest, globally, the railway component market in India offers a significant opportunity to do various I'd say a long term growth factor and considerable and I will want to restate it to mark the emphasis into considerable entry barriers, especially in critical products like brakes. Why , if you look at the second half of this slide, this potential, if you look at the increasing investments and expanding the railway network and the various modernization initiatives of the railway, the total investment has grown at an an

nual growth rate of

17% over the last 10 years. This is one of the highest investment catego ries that is there in India today. And despite it being a 200 -year -old industry, even after all these years, it is amongst the most economical and environmentally friendly modes of transportation for a large population. We expect trains with brakes to exis t for the next several decades if not more.

Slide 8:

Again, to reiterate that point, Indian railways have a fairly hard barrier to entry
for component suppliers due to a very strict vendor approval process. And ,
this is especially true for critical components like brake systems. Escorts Kubota's Railway Equipment Division , or RED, has over 60 years of experience
in the railway component industry and has been a long -term partner of
Indian railways and major private railway OEMs. I think the revenue split is 50 -
50 broadly , and I would say it easily has one of t he most extensive product
portfolios among railway component suppliers in India. RED is a market leader
in brake systems for various types of rolling stock. It is also one of the top
suppliers of couplers, suspension systems and friction products. I think as we
look at it even more importantly, it also has a robust pipeline of new products. This is where Sona Comstar ownership can make the greatest delta , and with
the significant potential of growth, this business already has. I think if we
accelerate new p roducts to the R&D process, we can go the distance on this
acquisition.
Slide 9:
Coming to the financials, RED has a fairly strong record of financial performance across all the three key areas that we consider important:
revenue growth, profitability and return ratios.
Last year, the business reported revenue of approximately 950 crores with an
EBIT of 179 crores. Over the past five years, the company has had a CAGR of
19% in revenue and 18% in EBIT while consistently maintaining return ratios above 35%.

Slide 10:
This, of course, as I said , is very important to us because, as a management
team, we believe that any product we make must benefit society and the
world. This acquisition aligns with our goal of promoting clean mobility. I
mean, if you live in Delhi NCR or anywhere in North India, you will understand
and appreciat e the criticality of this goal as most of the management team
of this company lives here, this is an important thing. Railways are among the most green and clean modes of motorized transport today . And if you look
at the bottom half of this chart. It includes Metrorail, electric buses, national rail, electric cars and plug -in hybrid vehicles. As you know, we offer multiple
products for electric cars in both BEVs as well PHEVs. And we are also devel oping powertrains for electric buses. By acquiring RED, we are entering
the railways as well and this rapidly growing railway component market should help us contribute more to greener mobility solutions.
Slide 11:
And coming to the terms, we will acquire the RED business at an enterprise
value of INR 16 billion or 1600 crore. After closing, we expect the transition to
be EPS accretive for us from the first year itself. Our strategy for this business
will be similar to the approach we have taken with the Comstar acquisition
in 2019 and N OVELIC acquisition in 2023. We believe very deeply in
empowering the management of the businesses we acquire, we actually spend a lot of time evaluating the management of the business we acquire
and only if they are capable, do we take that leap and by empowering them
and providing them with the capital to invest in growth and R &D as well as
fostering a culture where they have the f reedom to take risk and learn from
failure and I think that's the kind of M&A that we do. With Comstar, I mean, if you take it as an example, it was a 100% starter motor business focused on
ICE, but

the same team under Sat's leadership and Pravin's been a large part
of it, it has pivoted to a large EV motor and inverter business as well. We are
doing something very similar to transformation and development where we're trying to shift from a service -led business model to a product -driven . We
intend to do som ething very similar from a strategy perspective with RED.
Empower the management team to invest in R &D and develop more and
more innovative products for our customers because what this opportunity gives us is also a channel into expanding an existing business with an Indian
railway or the private OEM supplying to India. Yes, it is an asset purchase and
not a share purchase. And that I think there will be more to that we can take
up in Q & A.
Slide 1 3:

Now coming to the well, at least for this quarter, slightly more mundane aspect. The regular performance update on our business.
In financial terms, as I said, we achieved the highest -ever revenue and
EBITDA. Our revenue grew by 17% on a year -on-year basis. While EBITDA and

net profit increased by 14 and 16% respectively, net profit would have also been our highest ever . However, it was adversely impacted by exceptional expenses of about 83 million or 8.3 crore related to acquisition -related expenses, which Rohit will explain later. And also, in a lighter way, I wanted to add that 12 months into the EV slowdown narrative, our overall growth continues to be driven by BEV revenue. It has grown a staggering 53% last quarter and its share and revenue has increased to the highest e ver at 36% , which goes to show that sometimes narrative does str ike data, but numbers are numbers, and they should be given precedence , at least in our opinion.
Slide 14:
First half, we continue to do well on all the three financial indicators. Our revenue, EBITDA and PAT are up 19%, 19% and 21% respectively. We have had a decline in return on equity and RoCE that is due to the recent capital raise of 2,400 crores to the QIP that we did last month. We expect the return ratio s to improve as we deploy and invest the cash to various growth initiatives of the company.
Slide 17:
Now, moving to the update on our strategic priorities that we do every quarter. The first one, most importantly, electrification ; our BEV revenue share
has increased from 27% in H1 last year to 35%, and BEV revenue in rupee terms has grown by 53% to 6 billion rupees. For us, the growth in BEV revenue has, in fact, been seven times the growth in non -BEV revenue. The order book we continue to build on our EV order book . We now have 56 EV programs across 32 customers. 27 of them are in production currently . 13 are mature or completely ramped up at peak volume, and 14 are still in the ramp- up phase. The remaining 29 programs are still not in production and should start during this or the following year.
Slide 19:
Which brings me to our net order book. We have consumed 14 billion last quarter which is the reason why we have grown so much in the last quarter. We also have won business worth 12 billion and added that as an addition. So, at the end of Q2FY25 , the net order book stands at ■231 billion rupees,
with the EV portion remaining quite high and 78% of the net order book. Quite interestingly, this is the first quarter in which we also won some CNG starter
business and this I just wanted to mention because we do get questions on alternative fuel sometimes. So, the answer is this : irrespective if it is either way the motor or the engine, whatever powers it, it won’t matter ; that business will still come. So just re -emphasizing that alternate, or hybrid powertrains do not really have any impact on our business.
Slide 21:

Diversification, which has always been an important KRA, increasing electrificatio

n and decreasing ICE dependence continues unabated. In the first half, we saw BEV revenue share increase to 35 and ICE -dependent revenue shrink to only 9%. The Europe demand slowdown has meant that the revenue share from hybrid and micro -hybrid vehicles has been lower than the previous year.
Slide 22:
Now, moving to the other revenue cuts. If you look at it geographically, North America remains our largest end market, contributing 44% and, frankly, the
most stable from a demand perspective as well. While India remains the second largest market with a revenue share of 28%. I mean, after a strong
recovery last year, we have seen a slowdown in demand in Europe. That is why the 26% has shrunk to 22%. By product , if I come to our fastest growing

product segments, have been EV differential assemblies and EV traction motors; this you can see reflected in the product mix as well. Another thing which is notable is the weakness in commercial vehicle demand, especially in India, although it is everywhere, but it is even more acute in India, which has resulted in a share of revenue from the segment going from 14% to 10% in the first half. This is quite a decline. Now, the non -automot ive revenue, as you can see on the screen, has also declined; first half of H1 last year, this was 12%, and this year, it's 9%. This is due to the weakness in the off -highway segment once again in both the U.S. and India. With this, I turn to our group CTO Mr. Deshmukh to update this and update us on the technology section for his last time. Over to You Sir!

Kiran Deshmukh: Thank you. Vivek! Good evening, everyone. On an earnings call, this is my last address as the company's group CTO. After nearly five decades in the automotive industry and four decades with the Sona Group, I will retire on October 31st. As I conclude my journey, I'm filled with nostalgia and gratitude. I joined Dr Su rinder Kapoor 38 years ago to help build a fledgling steering systems company. We have since grown into one of India's top automotive technology firms supplying critical systems to leading OEMs worldwide. This journey required us to unlearn traditions, embrace innovation, experiment even with failures and cultivate passionate individuals. Together, we overcame challenges and celebrated milestones all driven by our commitment to innovation. This farewell marks not just my retirement but a celebration of our collective success. I'm pleased to pass the baton to my successor, Pravin Chakrapani Rao. With over 30 years of experience, he has held leadership positions across diverse functions, contributed to global product development and played a crucial role in expanding our R&D team. I'm confident we will continue our legacy of innovation and leadership. Given that Pravin will now lead our technology march, it is most appropriate for him to explain this slide. Over to you Pravin!

Praveen Rao: Thank you! Mr. Deshmukh, I'm happy to present the technology update this quarter.

Slide 24:

Thank you! Mr. Deshmukh, I'm happy to present the technology update this quarter. Sona Comstar has achieved a significant milestone with ASPICE level -2 certification being awarded for its advanced active suspension system product. This affirms our commitment to delivering high -quality, reliable and innovative systems and software solutions to the mobility space. ASPICE framework is globally recognized as a standard for assessing software development processes. Efficiently implementing ASPICE leads to better process and product quality. The standard helps to improve cooperation among complex supply chains and between globally distributed development and engineering centres . This capability strengthens our current position in the market and opens up additional opportunities for business w ith global OEMs. I now hand over to Rohit to cover the financial update. Thank you.

Rohit Nanda : Thank you! Pravin, a very good day to you all. It's my pleasure to share our second quarter and first -half results for FY25 with you all.

Slide 26:

First, we start with the second quarter results. We've had a good quarter with a year -on-year revenue growth of 17% to 925 crore rupees. In comparison to our growth, the underlying light vehicle market in North America, Europe and India , being the largest 3 markets for us, declined by actually 2%. Our BEV revenue grew by 53% to 317 crores and now it constitutes 36% of our revenue in this quarter. Our EBITDA grew by 14% to 255 crore rupees. However, adjusted for the higher ease of cost in this quarter, the a ctual growth was 18%. Adjusted EBITDA margin improved by about 20 basis points on a year -on-year basis. Our profit after tax had an adjustment for exceptional expenses on account of certain potential inorganic opportunities. Compared like to like adjusted for these expenses , our PAT grew by 23% to 158 crore rupees compared to 129 crore last year. On the positive side, net finance income helped our adjusted PAT margin by about 80 basis points.

Slide 27:

We move to the first half financials then. During the first half, our revenue grew by 19% to 1818 crores. As compared to the underlying growth of 3% in our key markets of North America, Europe and India. Our BEV revenue grew by 53% to 600 crores being 35% of our total sales. Our EBITDA for the first half adjusted for higher ESOP cost grew by 22% to 523 crore rupees. Adjusted EBITDA margin expanded by 0.6% on account of operating leverage and lower material costs. Our PAT adjusted for exceptional expenses gr ew by 26% to 307 crore rupees, adjusted PAT margin was higher by about 80 basis points, mainly due to improved EBITDA margin and net finance costs.

Slide 28:

This brings us to the cash flow for the first half. We've generated 467 crore rupees of cash from operations against an EBITDA of 506 crores in the first half. Our Capex spend was 224 crore rupees , and therefore, our free cash flow was 243 crores. Besides operations this quarter, we also had a net cash inflow of 2370 crores from the QIP done during September month. Temporary deployment of QIP proceeds besides surplus operating cash flow led to an increase in inves tments by 1890 crores, net loan repayments of 224 crores, dividend payout of 88 crores and there was an increase in the closing cash by about 385 crore rupees.

Slide 29:

This brings us to the last slide in the presentation, which is on the key ratios. The key highlights of this slide include further improvements in the working capital and fixed asset turnover ratios. Now close to five and four times respectively. Our net debt to EBITDA is further negative due to the repayment of borrowings out of the QIP proceeds. Our return ratios have seen a dip in this quarter consequent to the QIP fundraise that we did last quarter. With this, we've come to the end of our second quarter and first-half earnings presentation, and I'll now hand the proceedings back to the Nomura team for Q&A.

Moderator: Thank you very much. Now we are at the Q&A session, we would like to open the floor for Q&A and if you wish to raise a question, please use the raise hand function located at the bottom right of the Webex page. We will unmute your line and prompt you to speak, or you can submit your questions via the Q&A chat box addressing to all panelists. Please be reminded to keep your question to a maximum of two questions. If you have more questions, you may return to the queue. Thank you. The first question we will open the line for Gunjan. Your line is unmute. Please go ahead with your two questions.

Gunjan Prithyani : Yeah. Hi. Thanks, team, for taking my questions. Congratulations for the closure of this deal. Good to see the business diversification continue. I have two qu

estions. Firstly, on this acquisition. I just wanted to hear a little bit more from you, you know, in terms of what happens to the management team. Is it the entire team coming along when you're buying this business? And more from your perspective, you know, what is the, I have heard that businesses that you pursue typically should have a right to win, right? So I'm just trying to understand when you look at this business. What is the biggest right to win here? And what does the competitive landscape sort of look like? positioning, I know they are the leader, but how are the business dynamics? is it about the product? Is it about cost? What is the edge that, this business has?

Vivek Vikram Singh : Thanks , Gunjan. I am very happy to get a non -EV question! Frankly, management is very, very important to us. That's one of the first things . The first question we ask ourselves is, see buying things, looking at financial metrics, we are not traders; we are a permanent group. It's easy, you can

buy something. It may look good on finances. How will you run it? And then how will you grow it to become an institution on its own? You would need capable people. We don't believe we are some superhumans who can come into any business and, you know, make it great. We rely on people who have capability and drive and have had some constraints, maybe it is constraints on capital, maybe it's constraints on focus. Like in this case, it is a

great company that is part of, for that company , it is not a core business and
hence, it may not have got the attention that if it got, it might prosper more.
That's the thing. All the management team of the current railway equipment
division of EKL is coming along and we would like to add more to the t eam,
but everybody will be coming along.
The second part, the right to win , I think that question usually you know that
line, I said that maybe before - 'pratyaksh ko pramaan ki avashyakta nahi
hoti'. It means what is primal does not usually need evidence. If you have
been the largest market share in any product category for decades, you
would usually have something. But if you've been a market leader in a
product category for some time, along with h igher margins, kind of like the
last point, there will 100% be some reason for that. It is a three -player market.
So, Gunjan , brakes is a very critical thing. So, there are big global companies,
one big European company, one big American company and this one
Indian company; three of them compete. The product validation process is
super strict, and the entry barriers are very high. So, these three compete amongst each other. Sometimes cost, sometimes technology, depends on
which generation of product you're in. Like in automotive, because if it's a
product that's been seen for 20 years, then you have to be much better at process quality cost. If it's a product that is new then technology and how
much better you make it for the customer that comes in also, cost will always
run. There is no, I don't think there is a single customer purchase decision in
any category of any product where the price is no value, maybe apart from
Giffen goods that we studied in economics. Everything else does have that
thing. Did I miss any part or no?
Gunjan Prithyani : I think this is useful. I mean, the message that I get is still a very concentrated
market , and it's basically just the validation from the government agencies,
which is relationship over a period of time also matters a lot.
OK, the second question that I had was on the order book. Now, we continue
to sort of see the ramp -up in the programs coming through on the full ramp-
up line; typically, you've had these 29 -28 programs which have won but not
really translating into revenue. So, I just wanted to hear again from you , given
that the entire set -up in autos with the slowdown is that,

should we continue
to still sort of work with the assumption that this book will translate into revenue
three years out? Does that still, sort of h old true? Or should there be some
change to the timelines there?
Vivek Vikram Singh : See, there isn't much that gives me any ground to change my view ; there is,
there are two programs that are delayed: one, a European program that's delayed by a year, and there is one Indian EV Two -Wheeler program that's

already been delayed for six months. Apart from those two, I don't have any
instances to say one way or the other and that , frankly, also could happen . I
don't know if it's a powertrain link. Model launches getting delayed happens.
It is more a factor of , I would say, overall economic situation or customer
readiness levels. I don't know which one it is.
Gunjan Prithyani : But fair to say 231 billion or 230 billion over a span of 3 to 4 years should
translate into revenues. You don't see a major risk ?
Vivek Vikram Singh : So, I can tell you this : I don't think there is a single program there, and Pratik,
you do confirm, started later than 2020, like at least the start of the session,
fully ramped up or not, I don't know. I think there are some in there which are beginning FY27 calendar at 28 I doubt I would, you know.
Pratik Sachan : Yeah, yeah. So that's completely right. M ost of the programs will start by FY27 .
Vivek Vikram Singh : Correct, because Gunjan as you know, 24 months and beyond that is really,
it will be exceptionally unusual.
Moderator : Thank you. We go to the second investor, Prat eek Sen. Your line is unmute,
please go ahead with your two question s.
Prateek Sen : Thank you for the opportunity. Sir, can you help me understand the domestic EV traction motors and controllers market? And how is this market evolving?
And what's our market share?
Vivek Vikram Singh : So, it has been our fastest -growing product category, I think, for the last three
years. But that is because the waste was incredibly small, and this industry
was growing quite fast till the first shock came when the first duty withdrawal

happened. if you remember May last year, then I think now again, we are where it's coming to a stable thing and all our growth comes from new programs starti ng. Actually, that's been true for most of the industries we operate. If you look at the underlying, Rohit does a good job each time each quarter he talks about that industry, un derlying growth was like 2% -3% whatever and our growth was this much, we have always grown faster than that because we grow on the order of new orders, basically means either wallet share with an existing customer or you get more customers that increase ma rkets. That is how we have grown. Right now , I don't think the EV two-wheeler industry is growing very fast now at this stage.
Market share is very complicated because what is the denominator, EV two - wheeler plus EV three -wheeler plus EV four -wheeler or just EV two -wheeler so that it varies. And also, by the way, the complication is that it also varies from month to month; if you notice the EV two -wheeler sales number, the fluctuations are quite wide and depending on which OEM is doing better or worse. Our market share also fluctuates a lot every month but, Sat maybe you can answer this. We can do the denominator. How many wou ld we be selling per month?

Sat Mohan Gupta : Right now, we are selling around 20k per month.
Vivek Vikram Singh : Correct, So, on an average , Prateek, 20k per month. So, if you take and most of it is EV two -wheeler . So, if you take a two -wheeler market, I don't know exactly how many vehicles are for every month. But use that as the denominator because each one will have exactly one motor, none of them have two, you will get our marke

t share or get close to it. Did that help Prateek?
Prateek Sen : Yes, sir. That's very helpful. Thank you.
Moderator : We go to the next investor with a question. Rosen Lewis, your line is unmute. Please go ahead with your two questions.
Ralson Lewis : With regards to your recent purchase of EKL ’s RED , right? So , I just wanted to understand, what is the kind of revenue that you anticipate it adding on to the overall the company's performance in the upcoming years. And secondly, what are the kind of competitors that you anticipate to be competing with alongside EKL in the braking system and the other businesses that EKL is involved in? That's all.
Vivek Vikram Singh : So, I will let Rohit or Amit Mishra to answer this. Also, in tribute to their role in this transaction. These two gentlemen led and closed the entire transaction. I did very light lifting. So, I'll let these two answer the question.
Rohit Nanda : Amit, are you taking this one? Ok. So, I think the last year revenue from this business was about 900 odd crores and their EBITDA margin is about 18%. So, that's where this business is currently.
Vivek Vikram Singh : So, is it EBIT or EBITDA?
Rohit Nanda : Yeah, sorry EBIT. And that's what they report. So correct. So that's where they are. That's the size of the business correctly.
Vivek Vikram Singh : We don't give future guidance for our business, neither will we give it for this business after acquiring it. So, we can only give historical numbers.
Rohit Nanda : Is there a follow -up question on this?
Moderator : Hey, Kapil, would you like to go ahead Kapil?
Kapil Singh : I just wanted to check if there is any follow -up question on this, or can I take questions from here?
Prateek Sen : Yeah, I just wanted to understand the flavo ur on the competition alongside EKL for the railway business in the business that EKL is involved in . Any competition that is involved against which you all would be working towards?
Vivek Vikram Singh : I think I did mention there are two other big competitors . One is the large US origin brake maker, and one is a large European brake maker. You know, we

don't take names of other companies in our presentation. But it is a very clear market. In that case, the brake category that is. There are other products in which there are competitors, but that's on the slide. And second, listen, just to help and maybe w e can go to that slide. Pratik, can you take us to the

financials slide , which would be no. 6 or 7 of the acquisition part and why we
don’t want to guide it?
So, if you look at it, this is a very, very high growth rate, right? Because this is
the FY21 of 479 crores with this and now 950. Every year it won't be like this,
there will be some years which will be not so fast. Like this year, there has been
an election year. So it will not be the fastest. That's FY25 mig ht have been
most likely be flat. But by the time we get in, which will be by the time we'll
take some time to close also. The fact that we don't know exactly when?
Only then does the journey begin for us to grow. The past? And what growth
has been in the past is not necessarily a great guide for the future, but it does
indicate that if investments into the railway sector, investments into building
new tracks and new locomotives continue, the growth rate can be expected
to be fairly high, how much that will be like I said, we don't guide because of
the very simple reason. I don't think any of us, all of us exult in trying to find certainty in a world which is inherently uncertain in the future that is inherently
unknown. There is no way for us to know nine m onths later whenever the
railway budget comes, what exactly will we respond to? So instead of trying
to do that, we focus on trying to do what is in our control, trying to do the
right things, trying to develop new prod

ucts, win new contracts, win new
businesses, work on cost, work on R&D and we will continue to do that as we
have for the last 3.5 years that we've been public, you've been seeing us. That's exactly what we will do with this business. That's exactly what we do
with business. We will continue to do those things in that nature, guessing
what will happen and trying to predict that and then share it with the world.
I don't think that is something we have done, or we'll do.
Kapil Singh : I’ll take a couple of questions from the chat box. So these questions are from Ayush. The first question is if the team can explain large with respect to
addition of orders through our order book also, are we seeing any delays in
execution of others, especially concerning European geography?
Vivek Vikram Singh : I didn't quite understand the first part, but I can answer the second part. We have one ; I actually did answer that there is one European EV -related new
order whose SOP is delayed; apart from that, we have not seen any other
delays outside India and one India EV 2-wheeler . I think I already answered
that. The rest is a demand thing. Europe PV, India CV, US off highway - these
three segments are seeing a fairly bad slowdown ; the good thing with
diversified revenue streams like ours is th at even in this environment, we can
do good things. Yes, there will be quarters where the headwinds would be so
high that you can't win. But these are the three that , for now, I can say are
the most of them; the rest are flat, mostly flat. But was that the question? I
didn't get the lag order.

Kapil Singh : I mean, I've just read from the chat box so I'm not really sure what is being
asked here. Maybe Ayush you can raise your hand or reach out directly.
Vivek Vikram Singh : Correct. Write down again in the box. And what is the meaning? Because
see, you get a purchase order from purchase order to SOP bill always take
between 18 to 24 months. Sometimes , it's faster if it's a running product and
you're replacing someone, but that's not always usual, especially if you're a going to spec or black box type of company like we design the product. So
design process has a longer time or if it's a very new type of product, then sometimes it goes even beyond 24 months. That's the thing.
Kapil Singh : Ok. One more question was there from Ayush, the fairly new plant set up in
Mexico. Can you talk about the capacity utilization of that plant? And how
are the synergies which we are aiming to achieve in America market coming
along since this acquisition?
Vivek Vikram Singh : Sorry, which acquisition?
Kapil Singh : I don't know, I think maybe this is just related to the plant in Mexico only
Vivek Vikram Singh : Ok. So, we have not acquired. So, capacity utilization, we have to put up the
equipment first. Well, Vikram. When do we expect it to start production?
Vikram Verma : Q2 or Q3 of next year . So, October timeframe.
Vivek Vikram Singh : October 2025 and only a quarter after that would a capacity utilization
number have any meaning.
Kapil Singh : And then one question is there from Mike . The EBITDA margin of the railway

business you are acquiring is lower than the company average. So should we expect it to converge up to the current company average over time?
Vivek Vikram Singh : I'll let Rohit answer that, but one we don't know the EBITDA margin because it's never been reported. But no, I doubt that I doubt it will converge up to the current company.
Rohit Nanda : Sorry. Kapil , could you please repeat the question?
Kapil Singh : Yeah, sure. So the question is EBITDA margin of the railway business you're acquiring is lower than the company average. So should we expect it to converge up to the current company average over time?
Rohit Nanda : I think this would be too premature, let's assume the current EBITDA m

argin
continues for now. Ok. But having said that , the PAT margin would be largely lying with our current PAT level, so at a PAT level, it should have a similar margin.
Kapil Singh : Ok. and then one question is there from the Narottam. I want to understand the rationale for Escorts to sell the business and were there other potential acquirers?

Rohit Nanda : So, I guess that's for the Escorts to answer and not for us to answer. I guess their board meeting is coming up shortly. If Narottam can reserve this question for that meeting.
Vivek Vikram Singh : But all jokes aside, I think it would be there in the schedule. So, I'm pretty sure they would have put up on the exchanges this decision themselves. When there are two listed companies involved communication would be there. But I would say, or you know th at Escorts Kubota Limited is owned majority by
Kubota Japan, which is one of the largest farm equipment manufacturers in the world. For them, if you look at this railway equipment division as a
percentage of the global revenue, not jus t as a part of Escorts Kubota Limited, even as a part of Escorts Kubota Limited, I don't know, it's like 13 -14% of the revenue. But if you look at it in a global thing, it would be a very small part, maybe a percent, maybe less. It isn't their focus; it is something that is not aligned with the rest of their business. I think that's the reason. Anything more than that seriously also, not in a lighter way, I think you should address to Escorts Kubota Limited.

We estimate it to be between 18 to 20% EBIT right now; let's just do last year. So that's 179 upon 950, right? So that's 18.8%. So yeah, 20- 21% should be there. And those are the numbers Escort Kubota Limited has been reporting the railway division number as a segmental revenue, the revenue and EBIT and all of thos e numbers are there in the public disclosures every quarter part of the investor presentation. So, all of them can be easily found in the public domain.
Kapil Singh : OK. Vivek, I have actually one question for Mr. Deshmukh if he's there since it's the last time we are interacting with him, sir, on this public platform. So, I
would like to know, in terms of you're leaving behind a legacy, right? So we just want to under stand what, what do you think is the strength of Sona as far as the R&D process is concerned? the approach to R&D and what kind of processes have you built? So, that we or the company doesn't miss your presence as you move out.
Kiran Deshmukh: Firstly, I think one of the strengths of Sona Comstar has been R&D, it's a company built on technology, if you see the kind of financials that you're
seeing purely because of the technology that it has and it owns. So this company doesn't depend on externa l help for technology. It is completely owned by itself and developed by itself. And this has happened over the last 25 years. So the processes for R&D, processes for developing new technology. And when we talk about R&D, it is not just about products but also about the processes. So both processes and products R&D go hand in hand , and the processes for developing the processes and processes for
developing the products are extremely well defined, and the company follows TQM practices. As I think everybody knows, in TQM practices, you
have a process. It is a process- driven approach. So everything is, it doesn't depend upon the individual; it depends on what systems you have in place. So already very strong systems are in place. And therefore, when I leave, I

leave with the sense of satisfaction. And I have full confidence that the team

under Vivek and Vikram and Sat and Darko will take this company to the next level.
Moderator : The next one, we will go to Mukesh Saraf. Mukesh, your line is

unmute. Please
go ahead with your two questions.
Mukesh Saraf : My question is firstly on the acquisition, just trying to understand the, one of the key strengths, is it? So, my question is, is pricing one of the key strengths of the Escorts Kubota braking systems? The reason I'm asking is that this is obviously competing with large European giants who have products and technologies throughout the world. And when I look at the margins of , say, one of those companies, it is upwards of 35% in India. So , I'm just trying to understand if pricing is basically localizing some of those technologies here and being able to supply it at a lower price. Is that one of the key strengths here for this braking business?
Rohit Nanda : So, Mukesh, the thing is that, based on our understanding of the market and their positioning, Vivek already mentioned that this is a market which is and especially if we look at brakes, which is their largest product. It's a market which has three players , and they have a large market share. So, it is both price and quality because eventually , all these orders, railway orders, are run through a tendering process. So , price cannot be the only criterion . And as you can imagine, brakes are a saf ety product. So this is, this is something on which railways or any company would not compromise just for cost reasons. So it has to be both, it has to be quality as well as cost.
Vivek Vikram Singh : In the general. I don't think there is any category anywhere in which you can be the largest market share by being cost alone. You have to be good and have a good cost. We've been in the auto business for long enough to do that. It is never price alone. You have to do two out of three, either best, cheapest or most convenient. You have to be at least two. If you are all three, you are god, but at least 2 out of 3.
Mukesh Saraf : Absolutely, Vivek. So the reason I asked this question is, are there cases where you have, you've probably seen in the past , that EKL's braking business has kind of brought in new technology, maybe even ahead of the European competitors? So that's the reason I asked the question. So have you also been, have this, has this also been technology?
Vivek Vikram Singh : True. True, true. So, Mukesh, yes, the answer to that is yes, we can't talk too much about it. As you know, it is an announcement with an intent to acquire till it's closed. We don't actually own the asset, right? So there are some things we can't disclose, but the answer to that is yes. However, there is a very, bizarre thing in railway, in the private space if you are first with the technology, actually, or first mover advantage that you get a lot of market and in railway actually becaus e they always have to have multiple suppliers for each product, you have to actually wait for others to also come up with the technology only then. So it's slightly different from our area. but , the short answer is, have they been able to do it in the past? Yes, and can we do it in

the other product categories also ? The answer to that is also yes, and third, an unanswered part of your question is that when there are big global people. We love that and that is what we love doing. What do we do in differentials? We compete against big, big global companies. Motors, we compete against big global companies in lif e in general if you're an ambitious person who wants to achieve and create something of significance. Find people above you and compare yourself to people bigger and better. Do not just compare yourself to the lowest of the low and be happy and satisfied fighting for that. Let's compete with better people. That's what we've done in every single business that we do. That's what we intend to do in this one.
Mukesh Saraf : Got it, got it. Thank you for that. And secondly, my question on the fo rging bu

siness is if there is any colour you can provide on one aspect that I was
looking at, which is your nonferrous forging. So, you have mentioned that now
for the last few quarters as future products. So , are there any updates that
you can provide anything at all on non -ferrous? And the reason I'm also
asking this is obviously now with the new business of railways, how is the top
management's focus going to be shared across these business lines? So,
yeah, this question.
Vivek Vikram Singh : So, the first part is easy. I won't even bother, because if there was an update we would have shared, you know, when an update has to be, that we have
won a purchase until then all updates are in a way meaningless to at least
the shareholder community because we internally and I mean, you know, we
track it on the entire technology readiness level. Each product from TRL1 to
TRL7 is the progress that is all in -house . The TRL8 is when you get a customer
order only then does the disclosure make sense. So when that happens, we
will. Effort is relentless, result you know, sometimes even with best intention
doesn't come. But when it does, of course, we will share. The second part
which is top management bandwidth. I think I partially answered this question
to Gunjan, which is why we like buying or acquiring businesses where there is
already good management, we don't intend to do much. I mean, you look
at our history, NOVELIC, you know, the entire team is there, right? I probably
go there once every four or five months . Rohi t spends some time with them,
but mostly, we do it on phone calls. if it does require a very heavy involvement
in us going and firefighting, we'd probably not do it. We hold management
bandwidth and available time to be very sacred. In fact, we will even go to
the extent of taking our most valuable, and we don't waste them lightly. So,
we like getting businesses with great management teams and good leaders.
I mean, look that business has gone from about 450 to 950 in 4 years. The guys
are doing something right that this is a good team already. If it was a bad
team, they wouldn't be able to grow it so fast and so well; they have added
new products, they've introduced and are working on a new future pipeline.
It's a good team.
Mukesh Saraf : Sure, understood. Thanks a lot for that.

Moderator : Thank you very much. We shall move on to Nikhil, Nikhil your line is unmute,
please go ahead with your question.

Nikhil Kale : Congrats to the team on the acquisition. Just had one question on some of
these new products that you've spoken about for the railway business. Can
you just throw some light on them? And I also wanted to understand in terms
of, would you have to go through the entire approval cycle for these new
products or would it be like a sh orter gestation period to that extent, a quicker
kind of commercialization?
Vivek Vikram Singh : Nikhil, short, I don't know, shorter than it would be if we were complete
outsiders , but you still have to go through the process. Actually, you know, we
tried looking at this organically as well before obviously acquiring because that's the first thing we do anything acquisition related - do make vs buy, and
say, can you make it? What you realize is the approval process if you want to
go in as a non -empanelled is so long; it's like 5 to 6 years. So, if you're already
empanelled and doing safety -critical products, the time is short, but it still will
require the whole process and steps to be completed. So, it's relatively short.
Moderator : Hi, Nikhil. Do you have any follow -up questions ?
Nikhil Kale : Yeah, thanks. Thanks for that . I just want to understand. So, for all the new
products that you're kind of looking at HVAC and some of these other products that you kind of showed on the slide. The plan is to kind of do all the
entire manufacturing

in -house or kind of show some of these components
and maybe become like a system supplier, or how are you looking at that?
Vivek Vikram Singh : That will depend from product to product , and frankly, it's likely early to be
talking about future projects on the day of what, but it will depend again; these are obviously operational decisions , but let me just boil it down for you.
This is by the way in our regular business, whenever you get the purchase
order for something even before that you would have submitted your entire
costing to the customer, et cetera, in doing that you would have alr eady
developed and found a supplier, yo u would have already figured out what

you will produce and at what process times, etcetera. So it is different for everything. And you take that decision, what is the best for the end customer? From both a cost and quality perspective. Of course, if there is something that is strategic and can increase value in the long term, for example, software, we give an update on ASPICE like this time at level- 2. Why do we think software is so core that we keep most of it in -house and we have a dedicated team? And if you do find ASPICE level- 2 means we are actually getting certified for automotive software. I mean, four years ago, we didn't even have automotive, we are now competing with those companies in that domain because we think it's critical. So like that , there will be parts, even in hardware, where we say it is too critical to outsource, and there will be things we will outsource. Forget parts ; sometimes, it's also processes for the same part; there are multiple processes; some you keep in -house, and some you

will outsource. Depends. I know it depends, is the least helpful answer. It genuinely is the answer. It depends .

Moderator : Thank you, Nikhil. Thank you so much. Thank you so much. We are now going down the list. Rohit Gupta, go ahead your lines are unmute. Please go ahead with your questions. Hi Rohit, are you able to speak up? Seems like he is having some challenges. We shall go on to the next investor, Nitij Mangal. He has dropped. Let's go back and try Rohit. Are you able to speak up? Perhaps you can type your question in the chat box? Yeah. Ok. We move on to the next investor , Pradeep Jain. Pradeep, your line is unmute. Please go ahead.

Pradeep Jain : So, Vivek , I want to know about the CV traction motor factory. What is the status of that?

Vivek Vikram Singh : Thank you. So sorry, sorry, you have to repeat that.

Pradeep Jain : Yeah, CV traction Motors. We are establishing the works now. CV, traction motors.

Vivek Vikram Singh : So we currently don't have any CV, traction motors. Oh bus motors? Sat, you can update on the bus traction motor.

Sat Mohan Gupta : Pradeep. We are on track, I mean as we have promised in the previous investor calls also. we are on target , and we are just in the first calendar year, the first quarter of the calendar year 26. We are going ahead with the plan, so it's on track right now.

Pradeep Jai n: Yeah. Ok. Thank you.

Kapil Singh : There are no further questions in the queue. I'll hand it back to the management in case there are any closing remarks .

Vivek Vikram Singh : Perfect, thank you Kapil. No, closing remarks. Yeah. Thank you, everyone for being here. Thank you for listening. Thank you for asking questions. Please ask us good questions. Makes us better. Keeps us on our toes. And wish everyone a great holiday season, Happy Diwali. See you next quarter. Bye.

Kapil Singh : Ladies and gentlemen, on behalf of Nomura, we thank you for joining this call and wishing you all a Happy Diwali as well. Deanna, we can close the call now.

Moderator : Thank you very much. Thank you everyone for joining today's call. Have a good evening. You may drop the line now.

Call: Jan 2025

Date: 29th January , 2025

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter and nine months ended on 31st December, 2024
Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor Call held on Thurs day, 23
rd January , 2024 on the financial result s of the
Company for the quarter and nine months ended on 3 1st December, 2024.

The transcript will also available on the website of the Company at
https://sona comstar.com/investor/investor -presentations

This is for your information and further dissemination.

Thanking you,
For Sona BLW Precision Forgings Limited

Ajay Pratap Singh
Group General Counsel , Company Secretary and Compliance Officer

Enclosed as above; BSE Ltd.
Regd. Office: Floor - 25,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai -400 001. National Stock Exchange of India Ltd.
Listing Deptt., Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051
BSE Scrip Code: 543300 NSE Scrip : SONACOMS

SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q3 FY2 5 Earnings Conference Call Transcript
January 23, 2025
The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

https://sonacomstar.com/investor/investor-presentations

Moderator : Good afternoon , ladies and gentlemen . Thank you , and welcome to Sona Comstar's Q3 FY25 earnings group conference call. Please note that all participant lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. We request that you place your lines on mute except when aski ng a question.
Slide 2:
Some of the statements by the management team in today's conference call may be forward -looking in nature, and we request you to refer to the disclaimer in the earnings presentation for further details. The management will also not be taking any specific customer -related questions or confirming or denying any customer names or relatio nships due to confidentiality reasons. Please refrain from naming any customer in your questions.
Now, I'll hand over the floor to Mr. Kapil Singh, Head of Consumer and Digital Commerce Research, India, and Lead Autos Analyst at Nomura . Kapil, please go ahead.
Kapil Singh : Thanks, Linda. Good day, everyone . To take us through the Q3 FY25 results and to answer your questions, we have the management team of Sona Comstar with us . I will just introduce them quickly. We have Mr. Vivek Vikram

Singh, MD & Group CEO; Mr. Praveen Chakrapani Rao, Group CTO; Mr. Sat Mohan Gupta, CEO of Motor Business; Mr. Vikram Verma, CEO of Driveline Business; Mr. Rohit Nanda, Group CFO; Mr. Amit Mishra, Head - Investor Relations; and Mr. Prat ik Sachan, GM - Corporate Strategy and Investor Relations. Now , I hand over the call to Vivek for the opening remarks and the presentation , over to you.

Vivek Vikram Singh: Thank you, Kapil , and welcome everyone to the earnings call for Q3, which was a decent quarter despite us achieving our highest -ever net profit, highest -ever EV revenue and highest -ever EV revenue share. So as has always been our policy when talking to our owners - our shareholders, we will let the bad news take the escalator so we will begin with the challenges.

First, demand in Europe continues to remain weak , and we do not anticipate any imminent reversal of these trends. Second, both the off- highway market in the US and the commercial vehicle market in India also continued to show weakness, resulting in a production decline last quarter; given our significant market share in both of these segments, sales of our differential gears and differential assemblies have been negatively impacted. We hope this trend at least can reverse in the coming quarters. Third, there was an inventory buildup in Nor th America at the customers' end during the first half of the year for multiple reasons, which has been followed by a fairly sharp reduction in inventory in the last couple of months and that has affected our performance this quarter.

Apart from these macro factors, one of our largest customers is transitioning a major model to an upgraded and redesigned version. Now , this change, although positive in the medium term, is expected to adversely affect our supplies to this customer in January and February. This is due to the typical cycle of reducing inventory of the outgoing model before gradually increasing production s harply for the new model. So, while we expect the supply schedules to normalize by March; 4 th quarter will likely be weak because of these disruptions in the first two months.

But the good news is that the factors affecting our current sales performance are temporary in nature. And as I said to our team, if you are not losing share of wallet with our customers and our customers are not losing market share, there is absolutely no reason to worry. And in fact, it is an opportunity for improving product design or increasing our share of wallet with that customer. We expect to regain the lost revenues of January and February within the next two quarters itself. We also continue strong progress on our strategic priority of electrification, achieving our highest -ever EV revenue and EV revenue share during this quarter.

Additionally, we won a new program to supply differential assemblies for one of our existing customers, new and first look fairly exciting EV models in India.

We also received a second product order in the sensors and software vertical and successfully com mercialized a new product - Zone Monitoring Sensors. We've also made a significant technological breakthrough by developing a 180 -degree field of view device using short -range radar sensors. Which Praveen will talk about later. But in short, our journey of pivoting N OVELIC from a radar services business to a diversified sensor product company is going quite well.

We are pleased to announce that our board has approved an investment in ClearMotion Incorporated. This is a company that is truly revolutionizing the in-cabin experience for passenger vehicles with its fully active suspension technology this is a game changer as we see it. This investment will further strengthen our partnership with ClearMotion benefiting us both as an investor and as a supplier. We also continue to grow a share of business with existing customers and are adding new customers and new produc ts and we are

very happy to report that we have further increased our global market share in both differential gears as well as starter motors in 2024.

Slide 5:

Now , coming to the numbers of the quarter, revenue grew by 12%, while EBITDA and net profit increased by 3% and 14%, respectively. Our margins declined compared to last year due to adverse product and geographic mix while still staying in a range of 27%. And amidst

what I'd call an inordinate
amount of media coverage and noise about an EV slowdown, our BEV revenue grew by an incredible 48% in absolute terms to the highest ever 329 crores, and our BEV revenue share has increased to an all -time high of 39%.
Sli

de 6:
Coming to the nine -month figures, we've increased our revenue, EBITDA and
PAT by 17%, 13% and 19% respectively. And since this is the end of the calendar year, we got our global market shares calculated. Our starter market share has improved from 4.2% to 4.4%. As Europe and the US markets ,
where we have higher market shares , have grown faster than Asia. And
coming to the bigger one, it is a matter of great pride, and I congratulate Vikram and his team that our global market share in differential gears has grown from 8.1% last year to 8.8% now. As some of you may remember , at
the end of 2019, this market share was 4.5% and despite most automotive volume growth coming out of China, where we have a negligible share, well
as of now, and several new competitors have emerged from India and China. Despite all this, we have nearly doubled our market share in these five years, and we intend to keep going from strength to strength and keep expanding this ma rket share all over the world.
Slide 9:
Coming to electrification, our BEV revenue has increased from 28% in the first nine months of FY24 to 36% for nine months FY25. In revenue terms, this has grown by 52% to ■9.3 billion. This growth, I mean, if you compare it with the
non-BEV revenue growth is 10 times is the BEV growth. This is because our EV
traction motors and EV differential assemblies both have been the fastest growing segments for us this year. We also c ontinue to build on our EV
orderbook and in Q3, we've added one new EV program.
Slide 10:
So, this is a new EV order from an existing customer, an Indian legacy OEM ,
and we will be supplying the differential assemblies for their upcoming electric car models, which we feel should do well in the Indian market.
Slide 12:

With this new win and the other new non- EV orders, our net order book has
increased slightly over the previous quarter to 232 billion and the proportion
of EVs in the order book stands at 76% at the end of Q3.
Slide 14:
With this, we come to our fourth KRA, diversification. The weak demand in Europe in the first nine months means that the revenue share from hybrid and micro -hybrid has been lower than in the previous year. The trend of increasing electrification and decreasing ice dependence continues unabated for us ,
and this year, we've seen the ice- dependent revenue shrink to less than 10%.
Slide 15:
Geographically, North America continues to be our largest end market at 43% and this is despite the negative impact of inventory reduction that I spoke about earlier. The European market has been impacted by weak demand and our revenue from this region has declined from 26% to 23%.
India remains our second largest market, and the revenue share also remains stable at 28%. In the market mix, it's fairly visible the weakness in commercial
vehicle demand, which has resulted in our share of revenue declining from 14% to 10%, which is quite a shift in the first nine months. In the product mix,
the fastest growing segments for us this year, as I already mentioned, have been EV traction motors and EV differential assemblies, followed by differential gears, which is reflected in the change in the product mix. We
also made a small but exciting beginning with our advanced suspension motors starting serial production and becoming 0.2% of our nine -month
revenue. Three years from now, we expect this product to be one of our
leading revenue contributors.
Slide 1 7:
So, before this video is played, I want to say that there are only a few times in a career that one comes across truly game -changing technologies in
companies that are run by passionate people and when we met ClearMotion four years ago, we knew this was one such company and we must work together to bring this product to the world. We must do everything we can to do this and get it done . And four years of engineering and
development

work later, we are further cementing our relationship in them with us investing $4 million in this current fundraising round.
Pratik, if you could play the video, so people can get an idea of the product.
So, as you can see, the front car is the one that has the ClearMotion active
suspension installed, while the second car does not. And you can see what happens to those Jenga blocks inside that vehicle. So, this is a technology that makes the in -cabin exper ience almost as if you were in a private jet. This

is because of the active valve that you can see on the lower left -hand side
to which we are a significant contributor. So, in ClearMotion's current

fundraising round, we are investing 4 million . Their fully active suspension technology , which is controlled by a BLDC motor and controller -based actuator, has a latency that is five times lower than any other currently available alternative in the suspension board, which to the non- technical ones means it is a five times faster response rate. This active suspension system is built on the software -centric electrohydraulic core, which is that Activalve, which includes controlled software, a processor and an electric motor, all of which is supplied by Sona Comstar. This technology has been successfully commercialized and is already in production in China and is being supplied to the Nio ET9. Init ially, the deployment is expected to be in the premium car segment, specifically the E segment and above, which represents, I would say, a total addressable market of nearly $14 billion. We anticipate that this technology will progressively be deployed in higher and higher volume segments and as both a supplier and an investor in ClearMotion, we are fairly well positioned to benefit from t his change and development. So with this, I hand over the reins to our Group CTO, Praveen, to update us on our technology updates. Over to you, Praveen.

Praveen Rao : Thank you, Vivek. Good evening, ladies and gentlemen. I'm happy to take you through the third -quarter technology updates.

Slide 18:

What you see here is our technology roadmap. As mentioned by Vivek, we commercialized one product and added two new products, future products to our technology roadmap. If you look at the top right corner, the zone monitoring sensor, it is truly a revolutionary product that gets us firmly into the industrial segment. These sensors whose purpose is to alert and protect people operating in potentially unsafe or hazardous work environments. This could also be used in factory floors where people work in proximi ty with robots and AGVs. This product opens opportunities in the industrial domain where several use cases exist today. The use of this product will enhance existing safety measures like barriers or , in some cases, even replace them. The second product that I'm going to talk about is the limited -slip differential , which you see on the left side, or LSD for short. LSD has significant use cases in low traction surfaces, cornering and high torque situations. This product brings together our deep expertise in differential assembly while newly developed capabilities in clutches to offer the next -generation product to our customers . The third product is the gearbox for EVTOLs or Electric Vertical Takeoff and Landing. The market for EVTOLs is evolving globally and India is playing a very important role in building them with indigenous technologies and using the local ecosystem. Given that the EVTOLs transport people, the safety and reliability of every subsystem are critical. Therefore, EVTOLs are designed and tested in the most stringent conditions and certified by DGCA. Sona Comstar started working on the design and development of gearbox for EVTOLs with our expertise in gear technology, material science, thermal management and structural engineering. This product will enable Sona Comstar t

o play an active role in the future EVTOLs and drone space.

Slide 19:

The next one is the point about the new product that is a 180-degree field of view short range sensors. NOVELIC acquisition brought us capability in the millimeter wave radar sensors, and we are proud to announce another major breakthrough with this product, the 180 -degree field of view short rate sensors. The diagram indicates the use case where a typical passenger car would use four ultrasonic sensors when you do a reverse parking, this unique sensor, just one sensor will replace that, you don't need to drill holes in the bumper and you know, it performs much better function. It also has additional capabilities li ke kick-sensing tailgate or door protection. Additional use cases are parking support and collision warning , which opens up use cases in affordable PVs as well as two -wheelers .

With this I hand over to Rohit for the financial portions. Thank you.

Rohit Nanda : Thank you, Praveen. A good day to you all. It's my pleasure to share our third quarter and nine -month results for FY25 with you.

Slide 21:

We'll start with the Q3 performance. D uring the quarter gone by, our aggregate revenue has grown by 12% to 868 crores ; in comparison with this, the underlying light vehicle market in North America, Europe and India, which are the three largest markets for us, grew only

by 1%. Our BEV revenue
continued to show solid growth; in this quarter, the growth was 48% in BEV revenue. It grew to 329 crores and constituted 39% of our Q3 sales. Our EBITDA adjusted for ESOP cost grew by 3% to 240 crores. EBITDA margin was
lower by 2.3% compared to the same quarter last year and that's largely attributable to the change in product mix. A profit after tax should be seen after adjusting for exceptional expenses which were incurred on diligence work for certain inor ganic opportu nities. Compared like to like , our PAT grew
by 17%, to 160 crores. The margin was higher by 60 basis points, thanks to the net finance income generated from investment of QIP proceeds.
Slide 22:
Moving on to the nine months performance, during the nine -month period,
our revenue growth was 17%. The revenue number was 2,686 crores, compared to the underlying growth of only 2% in the key markets of North America, Europe and India . The BEV revenue growth for nine-month period
was 52 % and the number was 929 crores, and it was 36% of our total sales.
EBITDA adjusted for the higher ESOP cost, grew by 15% to 763 crores. Our
adjusted EBITDA margin is lower by 30 basis points compared to the nine -
month period last year. And that's mainly on account of product mix, despite
having a favorable operating leverage and lower input cost. Our profit after tax adjusted for exceptional expenses grew by 23% to 467 crores. Adjusted PAT margin was higher by about 70 basis points and that's mainly due to

higher net finance income. The adjustment to profit after tax represents the
cost incurred in relation to the diligence work for various acquisitions.
Slide 23:
This brings us to the last slide which is on the key ratios. I'll just talk about the key highlights here. So, on the improvement side of working capital and fixed
asset turnovers have improved to 5.1 and 3.8 times respectively. Net Debt to EBITDA went further negative due to QIP fundraise in the earlier quarter and
cash is needed for the quarter. Our return on capital employed and return on equity have seen a dip consequent to the QIP funds raised during the quarter but is expected to start improving once the funds are deployed and
the new acquisition grows over the next few years. With this, we've come to the end of our Q3 earnings presentation, and I'll now hand the proceedings
back to the N omura team for Q&A.
Moderator: We will now open the floor for

the Q&A session. If you wish to raise the question, please use the raise hand function located at the bottom right of the Webex page. We will unmute your line and prompt you to up or you may also submit a question via Q&A chat box addressing to all panelists. Please be reminded to keep your questions for a maximum of two questions. If you have more questions, please return to the queue. Thank you.
Ok. We have the first question from Jay Kale . Hi Jay, your line is open. Please
go ahead with your question.
Jay Kale : Congratulations for your investment in your technological advance customer
like Clearmotion. My first question is basically, you know, Vivek, you mentioned that your BEV revenue growth of course, has been strong, but you also mentioned about inventory correction at your customer end. So are you seeing a case of a few BEV models of your customers are actually faring lower than even your customer's expectations and hence the transition of your stated order book to revenues could be lower than expected going fo rward.
And in the current context, do you still believe your revenues to double in a three years' time frame which historically has been your track record, of
course X of any acquisitions and the railway acquisition. How do you see that? That's my first question. I have a couple of more here. Oh, Vivek. your voice is not audible. Is it only me or for everyone?
Vivek Vikram Singh: Sorry, I was on mute. I said, yeah, that was many questions in one. So let me take them point by point. So yes, you're right that we have doubled every three years so far. But that does include inorganic. It doesn't, it's not exclusive because if you look at the history when we became Sona Comstar, we did acquire Comstar part of the business and that's how also some part of the growth comes from there as well. On your orderbook question, we don't see any major challenges because like I said, this is why the construct that we
have is a net orderbook of 10 years. So even if a program gets delayed out, let's say by 6 months to nine months or even a year, the size of the orderbook does not change, the shape may change. And it is significant from a

shareholder perspective that how soon does it translate into revenue but not
the total quantum. To your point about BEV sales slowing, actually, that is one
of the things that I found fairly puzzling. I think people are familiar with that
line, I quote tha t line 'pratyaksh ko praman ki avashyakta nahi hoti', but this
is one of those cases for five quarters where I have seen that "Pratyaksh hone
ke bawajud praman ki avashyakta padti hai". Even after 52% growth, EV is

the part that gets the most questions. I think if you look at the data of EV sales
even in India, by the way, or overall, it is far, far, far faster growing than the ice part. Actually, if I were to look at this quarter and say how much our EV
revenue has grown and if I take out the EV growth, ac tually, we would have
declined year on year because the ice part of it is actually what is under
challenge. So, we don't, still don't see that much challenge. Yes, there are
program delays, but they don't change the overall orderbook size. You had
another couple of questions in there which I might not have answered. So
which ones did I miss?
Jay Kale : No, I think largely you've, you've covered most of them. I just had one or two more. I just so you also did mention that of course, you're not supplying to
Chinese as much till now, right. So, if you could just, you know, elaborate on
how you plan to diversify your customer base going forward. And also, you know, if I have to just pick up a, speak on the Chinese part, you know, it, it is
an interesting market, but at the same time, it's a very fragmented market
and as management, when you choose OEMs within the Chinese OEMs,
what is your kind of criteria or filtration? Because we'v

e seen many large OEMs also, there has been news flow of largely group backed OEMs coming under
pressure or under trouble. So what is your criteria so that your orderbook, you
know, is foolproof?
Vivek Vikram Singh : Sure. So first of all, I would like to humbly make this submission that we do not
choose our customers. We are servants of our customers; our customers
choose us. So we have no criteria for selecting our customers. We try to work
with all customers who we think are wanting our products and see value in
our product, that's how we look at the world. As suppliers, one should never
get so arrogant to believe that we are in a position to choose customers.
Customer is king in any business, and we never let ourselves forget that. Your
point about the China market is actually very true, that not, it is immense, it is the largest car market in the world, right? Well, it is not that simple a market,
it has challenges in pockets, it has challenges in terms of fragmentation, in terms of supply chain distribution, it has geographic location challenges. So,
it is not a simple market. But then, you know, if we think of ourselves and
hopefully, we are a good management team, we are entrusted to do the
things that are difficult. So, we are actively looking at how to get into China,
but anything that I can say will be premature at this stage. Let us have
something concrete, and of course, the moment we do, we will share with
everyone. We would, only thing I can share is, of course, we would like to be
electric first as we are in every other market. And in China, it makes sense. If
you look at, even our past strategy, we shut down our starter motor line 1.5
years ago in China to focus only on suspension motor s, right? Because we

realize that, that market to have an ice product makes no sense. So that will
be our playbook that EV makers will be of course, the one that we would
desire more but open and happy to work with anybody who gives us the
opportunity to work with them.
Jay Kale : Great, thanks. Thanks, and all the best. And I'll fall back on the queue.
Moderator : Thank you. And the next question comes from Jinesh Gandhi. Hi, Jinesh, your line is open, please go ahead.
Jinesh Gandhi : Yeah, so question on the same lines on China. So obviously that's the biggest
market. But what are we doing to get a presence in that market and what it
will take for us to win in that market?
Vivek Vikram Singh: So, same answer as I gave to Jay. A little premature because we have 6% of our revenue that comes from Asia, right now, it's quite small. We will, of course
it is on our radar. We are doing some things but let them come to fruition. No point talking premat urely.
The plan would be as you know, we have a motor plant there, from where we supply suspension motor products. The driveline product is where it's low
penetration, part of it is because of duties. There is a duty barrier between us
and China, that China impos es import duties on our HS code, I think between
8 to 10%. For which some bits if you have to do, you have to do lowkey, so we
have to figure that puzzle out, it's still not done, but it is on our radar. And
whenever we have something that is concrete, we will announce it.
Jinesh Gandhi : Got it. And the second question pertains to our exposure to the US and the
upcoming Mexico plant, given the changes which are happening in the US
regime and the potential threat of tariffs. How are we seeing this risk in terms of 40% of our revenues are fr om the US and

the upcoming Mexico plant. Is
there any rethink on the Mexico plant itself?
Vivek Vikram Singh: Yeah, I actually was surprised by this question from somebody else also
recently. I don't think the auto component sector is as much at risk. I think if you look beyond the headlines and which we should right? Before making a
blanket assumption, the imp

ort duty on auto compon ents imported from US
and India is between 10 to 15% depending on which HS code. India duty to
the US is about 2.5% . So, the entire difference, even if reciprocating tariffs
were to be put, is between 5 to 10% depending on which category one is
talking abo ut. Second and this is a far more logical one. If I believe that the
president and his current administration view is to put America first and benefit America. The US automotive industry is fairly large and fairly important
to the US economy. If they said that we will put duties on auto component
imports from Mexico, China and India, I have no idea how they will make cars or then they'll live with cars that are, you know, 15 to 20% more expensive than they are. I frankly think that we are misreading the sit uation, it could be
a great opportunity for India that with the dollar rupee decline currently, with the 5% drop recently, if you have to source, where would you source this

from? Because making these parts in the US is not going to be possible. It will
take far too long, and it will be far, far more expensive even with the duty
thing. So, I think it's a far smaller risk for auto components. I think where all of
this is stemmi ng from is the differential in duties between cars in India and US,
that India imposes a 100% import duty on Auto, it is not the same for auto
components. There is not that much of a duty difference. So that's my take
on it. We don't think it's as big a ri sk as it's been made out. Mexico plant is
starting with Mexico -to-Mexico sales to begin with. So, there is no rethink
because though that's a local country to country thing which has no custom
duty impact, etc.
Jinesh Gandhi : Got it, got it. And the last question pertains to our orderbook. So, what
percentage of our orderbook would be from Europe in terms of European
OEMs or sales to Europe?
Vivek Vikram Singh : Good question Jinesh. Yeah, because actually I know people ask us about the US, you know because Mr. Trump is in the headlines. Europe is the one
that should be asked more, relatively small portion. I don't have the exact
number, but a relatively small por tion is from Europe because as you might
have noticed European OEMs have also not been giving out many new RFQ or purchase orders.
Jinesh Gandhi : Right. Right. And sorry, last clarification is, what is the stake in ClearMotion for
this $4 million investment?
Vivek Vikram Singh : So good question. And frankly, I should, we should have put it in our
presentation itself. It will be when fully converted between 1.5 to 2%
somewhere in that range. Rohit, would you like to clarify on this one?
Rohit Nanda : 1.6% .
Vivek Vikram Singh : Oh, Rohit obviously, as usual, is far more accurate than I am. 1.6%.
Moderator : Thank you. And the next question is from Gunj an. Hi Gunj an, your line is open.
Please go ahead.
Gunjan Prithyani: Yeah, thanks team for taking my questions. I had two questions. Firstly, on the
you know, on the outlook that you shared for Q4 that there'll be destocking
in Jan and Feb, if I were to just like look beyond, fiscal 25 now, because you
know, this is a desto cking, you know, leading to a refresh of cycle with the
customer. How would you think about fiscal 26? And I'm presently looking to
get your insights on, you know, on two parts one, the confidence on the
conversion of programs that you s ee happening in fiscal 26. And secondly,
you know what, you know, what does this refresh mean? Does it mean a substantial pick up in business from that customer going into fiscal 26, a bit
more color on 26 revenue outlook.
Vivek Vikram Singh : Good question. Actually, in a way, it would mean some revenue shifting from
Q4 FY25 to FY26, right? We, if we follow customer guidance, there should be

increase in sales, bu

t for our purposes or budgeting purposes, we are
assuming even if it is flat because of this quarter change and our financial
year being different from calendar year, we should see higher revenue
regardless even if sales remain the sam e of the refresh model, we should see
increase.
Gunjan Prithyani: And anything on the conversions, Vivek, on the orderbook? What do you
see? How is it shaping up?
Vivek Vikram Singh : Not ba d. We're seeing some good convergence. Actually, some have
started this quarter or are starting in March etc. A couple of larg ish EV orders
which are in the motor side, both the two large ones are both in India that are starting. There is one in North America that is starting, I would say at the end, near the end of the calendar year and one in driveline, which is also
starting at t he end of the calendar year. Apart from one, Gunjun, I think I
spoke about it in a couple of quarter s ago earnings call that one European
EV OEM, whose order was supposed to convert in FY26, seems that it will
convert now in FY27 to serial production, apart from that one instance, and
there is one instance that I spoke about again, three quarters back, t hat was
a Indian EV two wheeler, apart from those two particular orders, I don't know of anything else that has been delayed.
Gunjan Prithyani : Ok, got it. And I think, Vivek, you also referred to that suspension system
getting into serial production, right? I mean, this was, if I recall, this was, you know, I think at least two years back when this was added to the orderbook,
can you just refresh us, what is the potential annualized revenue that you
know, that you're now looking at from this product line and have there been any progress in terms of, you know, new wins or, you know, how do you see
that this product line shaping u p going ahead?
Vivek Vikram Singh: So, good you brought that up, Gunj an. I think we put it in Q3 FY22, so it's been
almost three years and it's a good thing that you asked and good also that shows how long our development cycles usually are. So, when we talk about
something and when we talk about the future, we actually talk about a far
longer term than a lot of other industries. So, it has started, I think at that time
because it was three years out nobody gave it much importance, but for us, we have been working on it for t hree years, right? And now that it has started,
we would not like to commit to annualized revenue right now because like I
said, it just started with one model of one car maker, which I kind of have
named. So, as it spreads to other customers, it could be very large. And I don't
want to create false optimism by giving a number because the number, if
you think about it, it’s just like it is very, very big. So that's why I don't want to quote that number. I told you the total addressable market for ClearMotio n
itself is about $14 billion, right? I won't go into our product costing, but we are
a significant part of this BOM . And if we are a significant part of this BOM , a
significant part of this number is our total revenue potential. How soon do we
get to that? Of course, it will depend on how early people adopt it. I can
share that, there has been one more OEM who has now nominated gear
motion and they have a second c ustomer and the pipeline as we know, and

that's one of the advantages of being an investor. The pipeline has many,
many more OEM conversations going on. It will be two again premature for
me to talk about in the short term, that, what will it be in revenue in 2- 3 years?
But I know that it will be a large part of our revenue in four or five years.
Gunjan Prithyani: Ok. All right. Just, if you can offer us an update on, you know, the railway transaction and I'll join back in the queue.
Vivek Vikram Singh: That, I will hand it over to my colleague, Rohit.
Rohit Nanda : So, that's progres

sing well. We had earlier indicated a timeline of September end. It's still under discussion if all works out well, we may actually be able to
close it sooner. But it's not a done deal yet. But, yeah, so we are progressing
well, I would s ay.
Before we take up the next question, I would like to correct myself on the CMI
question. There was a pre money post money issue. So, our equity stake will be about 1.5% and not 1.6%
Vivek Vikram Singh: Thanks Rohit.
Moderator : Next question is from Amyn Pirani , Am yn, your line is open. Please go ahead.
Amyn Pirani : Most of my questions have been answered, just a few clarifications. This, inventory stocking and d e-stocking at one of your customers. Was it
something unanticipated or is it generally how, you know, it normally works in your business or, or was it something which happened, you know, in a time

frame which you were not expecting?
Vivek Vikram Singh: So, I think one difference when I talked about inventory reductions in North America, that was a general comment for US carmakers and not particular customers. For the particular customer, it's not an inventory issue, so they're doing a model refresh. So, if you launch a new model, you will have to shut down making the old model, right? So, there is a two month, three month transition phase whenever a new model launch happens, which is major. Of course, this is a regular practice in auto, but the thing is w e've not been listed long enough for it to have happened to us while being public because model launches are 5 to 7 years, you refresh.
So it hasn't really happened since 21 -22. So this is the first one. Second, it happens but if it happens to a customer who's a small part of your revenue, it is virtually negligible and not worth mentioning. But yeah, this happens to be a fairly large cust omer, which is why it is a smaller, sorry which is a bigger thing, sorry.
Amit Hiranandani: OK. Secondly, on the, you know, the US angle and the tariffs thing, thanks for the perspective that you gave on the difference between the fully built car and components on the tariff side. Coming back to the Mexico angle, you said that, you know, your sal es are Mexico to Mexico, and you just forgive me for belaboring on that point, but your customer to whom you are supplying

and with whom you will most likely ramp up. Is that customer mainly setting up their capacity for supplying to the US or is it also within Mexico?
Vivek Vikram Singh: So their factory is in Mexico. So if they export from there to all over Americas, but again, they, I don't think they can make any decision now, from that perspective. And again, I'm also, I know we have heard that the saber rattling, let it get implemented, you know, there is a, we have seen the same administration last time also and a lot of noise was made and it didn't get done really. So let's see, let's wait for it to happen before speculating. We are not very heavy capex people in general, as you know, we and I explain to you beforeh and, for at least land and equipment, we always lease. It is machines which are fairly fungible to our production processes and can be shifted if that is what happens. So, although a relevant point, it does get taken up in our risk management committee as a proportion of our total investment and what is at risk? It is a fairly small proportion.
Amit Hiranandani: Ok. And just lastly, on the Chinese OEMs aspect, now obviously one aspect is going to China and supplying to Chinese OEMs from there, but Chinese OEMs, it looks like they are looking to become big in Europe and other parts of Asia as well. So is there an ang le that you know, that your Europe revenue or you know, business can also be through these Chinese OEMs or do you think that you will have to start supplying to them in China to become relevant in other parts of the world?
Vivek Vikram

Singh : So excellent question, Amit, I mean, and this is something that internally also we have actually discussed, that which one comes first. So let's first take the problem in two separate ways. If not for this duty barrier, we would have had market share, fair ly decent market share even in the Chinese market. But because of that, we have very little right. It's hard to come at a 10% price difference if you're not willing to sacrifice your own margins.
However, outside China, if you look at EV customers of ours, we are fairly competitive and almost always win against our Chinese peers for like-to-like products. This should mean, in just pure theory, similar, if the OEM was Chinese or European, if you're setting up a factory in Europe and sourcing locally, then the same thing should apply. But practically relationships and familiarity matters. And if yo u're doing a copy paste of your plant from China into Europe, maybe you want to replicate the same supply chain and not reinvent the wheel. So that's what I think is the point. It will not just be Europe, actually there are plants of Chinese OEMs coming up all over the place in Southeast Asia, South America. And we are seeing that the same kind of pattern is emerging, some OEMs do not go to a geography and figure out what is the best way to manufacture there. They are in a way replicating the Chinese plant and hence it may be or actually we think it may be a better strategy to get into China, get that familiarity and to then travel with them outside might be an easier way than to make your inroad through a foreign subsidiary of

the Chinese OEM. But yeah, I m ean, we don't know if we're absolutely right or wrong on this one, but this is what we are seeing and we are trying both

approaches. But I think the latter approach has a higher probability of success.

Amit Hiranandani: Ok, fair enough. Thanks for your thoughts!

Vivek Vikram Singh : But great question I have to add, that is a, I mean, this is something we've been deflecting now for a couple of years.

Moderator : Thank you and the next question is from Shruti. Shr uti, your line is open. Please go ahead. Hi, Shruti? Your line is open, do you have questions for the management?

Shruti: My question was answered, thank you!

Kapil Singh : Linda, I'll take some questions from the question queue. So, one question, this is from Raghu, on the BEV traction motors, can you talk about the status of produc t readiness for 4 -whe elers , and possible timelines for commercialization?

Vivek Vikram Singh : Sat, do you want to comment? I would say premature right now, is what I would say, but Sat, do you want to add?

Sat Mohan Gupta: I agree with you, Vivek. It's premature right now and we are still working on some of the designs and validations.

Kapil Singh : Then one question is, how do you see EV growth for CY 25 in major markets?

Vivek Vikram Singh : Oh, that's a very broad question. And I have to be a forecaster. Actually Kapil. I mean this, I thought analyst had to answer this, not people in the industry, we know our orderbook, we don't know industry, everybody. But I think this, so my guess is as go od as anybody else's. But I think China will continue to electrify very strongly. The Chinese EV guys may just sweep and a lot of the legacy OEMs who are foreign, I think they will struggle a lot in China, especially the European OEMs. I think US, we don't expect a lot of EV volume growth. Europe, there should be EV penetration growth but then the total market also has to grow, hopefully that, there is some recovery. India should actually interestingly be one of the fastest growing EV m arkets in our view, one low base, two just the amazing range of new models that are being launched through this calendar year. I think there is going to be a very high EV uptake in India. Actually, the more and

more and this is obviously completely anecdot al, the more and more people I talk to, the, there is a strong preference to buy EVs and I think a lot of our OEMs in India have done a fantastic job of launching affordable electric vehicle models in the car space. Two wheeler space is doing fairly well. Three wheeler is coming to a stage where they don't even need any subsidy and they might just go 100% electric like very, very soon. Buses, light commercial vehicles, ditto the same logic. It's just becoming economically a better option. So India, China, A sia, in particular to electrify much faster, the US to be slow. Europe depends on the overall market, but penetration should continue to deepen.

Kapil Singh : One more question is there, update on PLI.

Vivek Vikram Singh : Oh, ok, Rohit, can take that but we've got all the approvals on all our motor models. It is a more of accounting question, I think. Rohit?

Rohit Nanda : So, PLI, we've actually last time also updated, essentially the approvals and all are in place and the PLI disbursement for the current year will happen in the next financial year. So, so far it's not there in the PnL. We'll decide as to how we want to acc ount for it depending upon the milestones and all. So yeah, so this is where we are. I don't think there is any major change from last time. Because now approvals and all are all out there in the public, you can actually find those approvals on the government website.

Kapil Singh : Will you consider accrual basis accounting, or this will be based on the cash?

Rohit Nanda : We are evaluating it. So, I mean, it's not a decided thing as yet, but this is something we are seriously evaluating. So we'll inform you know once the final decision on this is taken.

Vivek Vikram Singh : Yeah. So once again, Kapil, a good question and obviously, we know from

people such as yourself that there are companies in our industry, especially OEMs, who already started accounting for it, frankly from Q1 itself. We weren't
sure and we have that debat e, that one is accounting for accuracy. So that
can only be achieved when 100% disbursal has happened and you receive money, right? But the second is to avoiding the lumpiness and giving,
uncertainty and this quarter to quarter imbalance because it will on ly come
once in every year. So we are debating, there are obviously pros and cons to both approaches. So we are discussing, we'll also have to discuss with our
auditors on how because it is a new thing. I know a couple of people have
been, I would say conservative, a couple of people have been not so
conservative. So there are different approaches to how to recognize PLI
revenue. But from the approval side, from the regulatory requirement side, from what we need to do in order to get it, all of that has been done, but that I thought was already public domain knowledge.
Kapil Singh : So, do we have a follow up Linda, can you check?
Vivek Vikram Singh : While you're doing follow up, there is a question in the Q&A queue from Asha
about the software that goes into the component. I think we shared a while
back that there are about 2 million lines of code that go into this on what we
make for ClearMotion and it is in house. We have a software team, we have in Chennai, that is where it is done and we do not outsource anything core,
there are repeatable things that you outsource to E R&D companies, but
those are non-core and non-critical parts, but very little most of it we develop
in house because it is application software, it controls the hardware that we
make and hence we are the best place to write the controlling software for it. Yeah. So that was one question.

Moderator : Hi, we have another question for Prateek Pod dar. Hi Prateek, your line is open,
please go ahead.
Prateek Po

ddar : Yeah, hi, thanks for the opportunity. So just two questions. One is while I
understand you talked about model refresh and inventory destocking,
typically at the production level that shouldn't happen. Right? I understand
at the retail level. That was quest ion number one. The second question was
just to add on Jay’s question.
Vivek Vikram Singh : Sorry, Prateek, I will answer this, otherwise I'll forget what your next question is.
No, it will have a production thing, right? So let's say you are launching a new
refresh model, won't you stop the production of the old model completely? It isn't a reta il thing. It is actually far more from the production side. You have
to stop the line of the running model and only start building the old one. But
for that, in the selling side, you have to get rid of whatever is the existing inventor y, and do not produce any of the old ones. While the new ones you
introduce first in smaller quantities and then you ramp up, right. That's why that word ramp up of new model. That is, literally every time that is how it
happens, actually, production has f ar more of that impact because you go
to zero, you don't even like, go down, you go to zero for a limited period of time, let's say 45 days or something. And then you start building the new
vehicle again.
Prateek Poddar : Fair enough to understand that this catch up of loss of production of 45 days should be covered in the next calendar. That's a fair understanding then?
Vivek Vikram Singh : Yeah, yeah, Prateek. I actually said that. In the first two quarters we should
get it back, now exact month to month, you know, it gets harder . And we are
trying to get this news , because it's negative, out before, otherwise this is just
like it's just started so we don't even know when it goes, the curve goes back. But we have the schedules, as I said for March, so it is already coming back
to normal in March. Now, how, so let's say it goes to zero, then it builds up to
20-40, then it will be months in which instead of doing 100% you will be doing
120 - 130%. But, from quarter, I can't.
Prateek Poddar : Surely. No, no, I'm not looking for that. The second question was just on Jay’s follow up. I think you still are saying that with inorganic acquisitions, doubling
of revenue in three years is possible despite, you know, we, I mean, there is a bleak outlook, at least on the, on the car industry side, right? So, that's a fair understanding?
Vivek Vikram Singh : It is, but you have to say not each point to point, but yeah, we finished our
first one in FY24, first three years, so FY24 to FY27. Yes, obviously there can be
5% up down but that much, even we don't have, you know, foresight, but
you know, far more than car everybody focuses because a car is the cooler

thing to talk about also in our industry. People should notice this commercial vehicle off highway is far more concerning actually right now.

Moderator : Thank you and then the next question for S achee . Sac hee, your line is open, please go ahead.

Sachee : Hi, can you hear me? Ok, great. I'm so sorry to belabor this point on the demand for EV but just a couple of data points like the US has cut down some of these on EVs and in Europe, Chinese EV makers are eating European EV makers for lunch. In that context, why should we not expect some of the EV plants to basically shut down? Both from US OEMs and European OEMs. And why would that not be a risk to the orderbook?

Vivek Vikram Singh : Sorry, whose plants are shutting down?

Sachee : So given that in the US, the EV subsidies have now been basically, you know, removed. So some of the traditional OEMs that were, you know, that did have EV plants and EV programs in the US and in the European context, European OEMs are completely unable to compete with the pricing and features of Chinese OEMs. So why should we not expect some of these EV programs to shut down in the medium term?

Vivek Vikram Singh : Yeah. I don't know whose EV programs are shutting down or not because, you know, again, I have very limited ability to read the future. But what I can tell you is what we are seeing and hearing from customers. We fortunately do not supply much to European EV makers in China. So yes, that is happening, but we don't have any exposure there. In the US and this is again completely speculative because we don't know what is actually going to happen. I think the pure EV makers will actually do quite well. However, the legacy guys who were starting new EV programs will probably suffer or get challenged. We are in most of the pure EV makers in the US, if not all. Anybody significant, we would be a part of and in the orderbook, there is not that m any from legacy OEMs new programs to actually affect the overall trajectory. Yes, there could be a risk but it's not that major and Chinese OEMs like I said, we right now have no exposure. It is, I would at least like to look at it as an opportunity to gain some market share to lose is not much because I know what you're talking about. But those European EV makers who are struggling in China or in Europe, we don't have that much share there. So not that much to lose.

Sachee : Understood. Have you , I mean, this probably, you know, illustrates my ignorance more than anything else but given that you have found a spot on the table with some of the legacy OEMs in the US or European OEMs have you been able to or is there a possibility to convert some of those relationships to supply to the ICE side as well?

Vivek Vikram Singh : So, Sachee, a good question, but actually, we were already there as supplies to the ICE models. So in fact, and I don't want to sound callous, but in a world where the legacy guys continue to make and sell a lot of ICE and the EV guys continue to make EV, that litera lly is the best possible outcome that I can hope for. Because in the ICE model, we have a much, much larger market share of the legacy guys. You know, our starter business is basically North America oriented, supplying to ICE models and hybrid models. So if they do

well in that, we benefit a lot and let pure EV guys, we only supply EV products. They do well in EV, that's a great outcome. I don't know if this will play out exactly like it is. But if it does, we actually will, that is the best possible outcome of this entire debate.

Sachee : OK. And just one final point on Chinese OEMs where you have nothing to lose. But you know, you, there's an opportunity to gain market share. Are you outside of the duties because you mentioned there's a 10% that is a 10% differential, but you would be trying to gain market share there like, you know, or you would be trying to gain a new OEM or new EV OEM, if you see what I mean. Would you try to displace somebody from existing EV OEM or join hands with a new OEM? Where do you see that opportunity?

Vivek Vikram Singh : Without tipping our hands too much because you know, transcripts are read by all people, including our competitors. Of course, we as an ambitious company which likes and lives for growth, we'll try to get market share from everywhere we can. That includes China and that includes all the major carmakers in China. We will of course want it, how well can we execute on it? Time will tell, and like I said, it's a little premature but we have to, it is just too large an opportunity to ignore. And we've been trying, let's see. So and that, that's about China. But if you also notice I think, you know, as well, we have not focused on the East at all right. In the last 10 years, which is the first decade of my stint here in this company, we have g rown by focusing almost exclusively on the West and India. That's it. We did not actually even increase or do too many products apa

rt from if you can call it EV two wheeler, three wheeler, traction motor that was specifically made for India. We have not been making products also which is towards the east, Japan, Korea, China. So Chinese, Japanese, Korean, all these 3 OEMs also we must target because we are getting down to that point. See when we started, we were at 2% -3% market share in each category. Even just by trying to focus on West, you can get it to a significant number. Today, we are 8.8% of the world. If we want to take it to 20% we can't do it by saying half the world we will not service. So yeah, there is a s trategic shift in our focus that we will now not solely focus on West. We will do East plus West, we will focus on all of transport, which means India does come back into play as a fairly important market for us. The railways move was also part of this shi ft in thinking that if we have to grow and fulfill our ambitions, we cannot leave half the world unserviced. We need to continue to build there too, so a slightly long winded answer. But I hope I can share how we are thinking.
Sachee : Yeah, this is very good and I think it's a great note, like 20% market share, if that's where your eyes are set, then I obviously wish you all the very best.
Kapil Singh : Vivek, I'll take the last question for the day. This is on the suspension motor that we have just about started building. If you could give some details about the IPR that we have developed for the suspension motor, as a layman, if you could explain what, what is the difficult part here. And then secondly, what would be our share of business when we supply to ClearMotion and can the

order come faster? Because the first product always seems to take longer for the R&D.
Vivek Vikram Singh : So the third part, I'll answer, which is the more commercial part, of course, you need the first launch to happen as in any other industry when people see the product on the road. Like today, I could show you a video, right, that made life so much easier, in 2021 when I was trying to explain to the world what the product is, it was so hard. We had to actually make a wire frame animation to even illustrate and even that was lost. Most people thought it was something comparable to what Ge rman luxury carmakers had. And it is so different only when you see them side by side can you actually know that five times latency and what it means? So, yes, of course. Now the snowball effect starts and that's why I said three years is what we think it will take because whoever, now starts engaging the typical 32-month development cycle will follow. So, 3 -4 years that’s a good time frame and there are of course confidentiality issues so we can't share too much about commercials and pricing and these things. But as I can say, we are a large proportion of the bomb here. You saw the product, you saw what we make, I mean, physically you can see it is a large part of it, right? Sat can though, I don't want to steal the limelight from Sat and Praveen, if they should talk about how difficult it was because not just is the part new, the equipment to make it also, in some cases didn't exist, we had to make the equipment also for making the part. So Sat and Praveen , have got this done. So let them talk about it.
Sat Mohan Gupta: So Kapil, I mean, from the product perspective, I mean, it is AUTOSAR compliant, which is the highest in the auto industry. It is FuSa SLC compliant. The response time for this motor is less than a millisecond which Vivek talked about the latency. It's a very, very compact motor. I mean, with the copper content is very, very high in a very, very small size but was available to us to develop this motor. It's an integrated motor and controller. So you have one motor with a controller and inv erter sitting on it. And as Vivek said, I mean, it's more than 2 million software lines there an

d to make it AUTOSAR compliant, you need to be very, very sure that, I mean, both from the machine design, hardware design and software design, you have those provisions in, in the design itself to create a backup for any failures. It's a combination of a motor and the hydraulic module. So we haven't done as a group, we haven't done

this product and it's a very, very compact, very, very high, highly efficient,
suitable for connected vehicles, electric vehicles. I mean, the current
product is going on the electric vehicle and it's, you can use it for ICE
vehicles, for hybrid vehicles and electric vehicles. So that's the advantage you have. I mean, it's you can use for any applications whether it's a four -
wheeler , whether it's a sedan or whether it's SUV or M UV. So very, very
compact and very highly efficient motor design, we have. Praveen, anything
you would like to add.
Praveen Rao : I think you have covered all of the points. The few additional emphasis would
be on being a very small package motor, the ability to handle high temperature, high pressure is all the more important and high vibration

because the whole purpose of this product is to contract the vibration from
the road. So the ability for this motor to sustain that high level, the vibration. So all of the IP relates to the a lot of development work, as Vivek said in the last many years. Of course, packaging it in a very tiny box to put it under the
wheel, so that is the biggest challenge we had.
Kapil Singh: And on the share of business Vivek, can you comment on the share of ClearMotion?
Vivek Vikram Singh: Currently it's only us. It's, we developed it together. So yeah, as things grow and ClearMotion hopefully becomes a massive company. Who knows? But right now, it's just us.
Kapil Singh: Thank you all. It was the last question of the day. Thanks for joining this call and Vivek, I will pass it back to you in case you have some closing comments.
Vivek Vikram Singh: No, no. Thank you so much everyone for attending. I mean, as you know, we are a company that culturally puts bad news first and tries to get that. If it's good news, sometimes we go super conservative and keep it to ourselves till it's all done. But I hope we build a business that is also remembered for how
we communicate, how transparently we act and how honest we are with our shareholders. So that is all. And yeah, thank you so much. See you next quarter.
Kapil Singh: Thanks to the team of Sona Comstar for joining this call. And Linda we can close the call.
Moderator : Thank you very much. Thank you everyone for joining today's call. Have a good evening. You may drop the line now.

Call: May 2025

Date: 6th May, 2025

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter financial year ended on 31st March, 2025

Dear Sir / Madam,
P u r s u a n t t o R e g u l a t i o n 3 0 r e a d w i t h S c h e d u l e I I I o f t h e S E B I (L i s t i n g O b l i g a t i o n s a n d Disclosure Requirements) Regulations, 2015, pl ease find enclosed herewith the transcript of the Investor Call held on Wednesday, 30
th April, 2025 on the financial result of the Company for the quarter and financial year ended on 31st March, 2025.
The transcript will also available on the website of the Company at https://sonacomstar.com/investor/investor-presentations

This is for your information and further dissemination. Thanking you,
For Sona BLW Precision Forgings Limited
Ajay Pratap Singh
Group General Counsel, Company Secretary and Compliance Officer
Enclosed as above; BSE Ltd.
Regd. Office: Floor - 25,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai-400 001. National Stock Exchange of India Ltd.
Listing Deptt., Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051
BSE Scrip Code: 543300 NSE Scrip: SONACOMS

SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q4 FY25 Earnings Conference Call Transcript
April 30, 2025
The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

https://sonacomstar.com/investor/investor -presentations

Moderator : Good afternoon , ladies and gentlemen . Thank you , and welcome to Sona Comstar's Q4 FY25 earnings group conference call. Please note that all participant lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. We request that you place your lines on mute except when aski ng a question.
Slide 2:
Some of the statements by the management team in today's conference call may be forward- looking in nature, and we request you to refer to the disclaimer in the earnings presentation for further details. The management will also not be taking any specific customer -related questions or confirming or denying any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in your questions.
Now, I'll hand over the floor to Mr. Kapil Singh, Head of Consumer and Digital Commerce Research, India, and Lead Autos Analyst at Nomura . Kapil,
please go ahead.
Kapil Singh : Thanks , Linda. Good day, everyone . To take us through the Q4 FY25 results and to answer your questions , we have the management team of Sona Comstar with us . I will just introduce them quickly. We have Mr. Vivek Vikram Singh, MD & Group CEO; Mr. Vikram Verma, CEO of Driveline Business; Mr. Sat Mohan Gupta, CEO of Motor Business; Mr. Praveen Chakrapani Rao, Group CTO; Mr. Rohit Nanda, Group CFO; Mr. Amit Mishra, Head - Investor Relations; and Mr. Prat ik Sachan, from Corporate Strategy and Investor Relations Team. Now , I hand over the call to Vivek for the opening remarks and the presentation . Over to you , Vivek .
Vivek Vikram Singh: Thank you, Kapil , and welcome, everyone, to the earnings call for Q4, in

which we once again achieved our highest ever net profit, and this is despite
the weakness in revenue. As we highlighted in the last call, one of our large
customers transitioned a major model into an upgraded version in the last quarter. This change affected our supplies to this customer in Q4, and it did

impact our revenue, particularly BEV revenue. The good news is that the new
model production has been ramping up since March.
But now, as is always our policy when talking to our shareholders, we'll begin
with the challenges.
So first, what's on top of mind for everyone, the tariffs announced by the U.S.
administration, including on automobile and auto component imports, the
details of which are obviously changing fairly dynamically. In our opinion,
they will adversely impact t he demand for cars and light trucks. Although we
believe our competitive positioning will improve further if tariffs persist,
because as a supplier to automakers globally, we may not be, we in fact are
not immune to the demand and supply disruptions, but if you can look
beyond the short term, I think there is also a lot of opportunity.
Second, global automotive production, and in this I include every market,
may see disruptions due to supply chain complexities and high dependence
on China, especially for rare earth materials.
In India, while we are working with the industry and the government and the
Chinese Embassy to speed up the process of importing magnets from China,
we're also evaluating alternate materials , including Ferrite, different grades
of magnets, different technologies, as well as different supply sources. So to
sum up, in a fairly confusing and uncertain time, we believe this trade war to
be disruptive and adverse in the short term for the entire global auto industry.
However, in the medium to long term, we expect many opportunities to
emerge from this chaos. We firmly believe that many weaker players may
not survive this disruption. This should lead to further consolidation in the
hands of companies with strong technol ogy moats . Indian companies like
ours that can provide world -class product performance and quality , and
have robust margins and healthy cash balances , should emerge from this
period much stronger than before. We've had this kind of disruption in COVID
time s also, and we enjoyed a period of very high growth and a lot of order
book additions even in that time. And there is this ability , I think we have as
a company , that when Brownian motion or random motion increases, we
tend to benefit far more than our peers.
Now, as usual, we also have some good news. We ended this year with a
few large order wins, which have taken our net order book to its highest ever.
And in the last week of March after the announcement of proposed auto tariffs, we received a large order for an upcoming new electric car in the
U.S. We also commercialized the new product, the steering bevel box which
leverages on our strengths in forging and precision machining to develop
the solution for a new application outside our traditional area of driveline .
We're also planning to enter a new area, which at this stage may be where
EV was in 2016. So , as AI, 3D perception , and control technologies advance
and compute costs keep going down, we expect a rapid adoption of

humanoid robots over the next decade. These robots have potential
applications in a lot of industries, services, as well as households , like all other
mobility segments, motors, drives, gears, and reducers constitute more than 50% of the bill of materials for humanoids. So , we'll be leveraging our core
capabilities to develop components for humanoid robots, which Praveen will explain later in more detail.
Slide 5:
Now, coming to the numbers, as we had explained last quarter, this was
expected to be a weak quarter, and our revenue and EBITDA have declined
by 2% and 5% respectively, because of that model transition at one of our
larger customers that I spoke about. However, we did well on net profit, which
increased 10% to our highest ever level of 164 Crores. Our BEV revenue,
despite th is drop in r

evenue from a large EV customer , grew by 8% in absolute
terms, and the BEV revenue share for this quarter was 35%.

Slide 6:
For the full year, like every year, we'd like to report our performance scorecard as managers to you on our 5 KRAs - financials , electrification, business development, diversification, and new product development.
So I'll start with the financials. Our revenue, EBITDA , and PAT are up by 12%, 8%, and 16%, respectively, despite a lot of challenges this year. ROCE and ROE were around 18%, which is obviously lower than last year, but this is due to the capital raise or QIP that we did in September -24.
And on a side note, before we move forward. And please forgive me for a moment of self -indulgence, but I recently, in early April, completed 10 years at Sona. When I joined Sona BLW , standalone revenue for FY15 and its net profit were around 346 crores and 29 crores, respectively. So , in my first decade here, we've seen the company grow 10 times in revenue and over 20 times in profit, which is only and only due to the great work done by Vikram, Sat, Rohit, Balaji, Vaithy, and, you know, thousands of people who work in our team. I just want to express my deep gratitude to them for helping me have a fulfilling first 10 years, and as we look to 2035, I'm confident they'll help me deliver an even more amazing and transformative next decade.
Slide 9:
So strategic priorities, as you know, have been constant for the last 10 years, and you would have also seen us report on these 4 priorities each quarter.
The first one of them is electrification. I'd say we remain as convinced as ever in its inevitability. There have been recent breakthroughs which may have been missed in all the noise around EVs. So , a couple of things worth noting are that the average battery charging speed has nearly doubled. And the fastest speeds have actually tripled in the last 5 years. If you look at BYD Super E platform, which has a charging speed of 1,000 kilowatt. It is possible to

charge a battery for 400 kilometers of range in less than 5 minutes. These advancements in charging speed solve 3 critical challenges for EV adoption : affordability, range anxiety, and long charging times. At the same time, in a concurrent manner, battery pack prices have also been declining due to innovations in both battery chemistry as well as the economies of scale in manufacturing.
The global average battery pack price has decreased by 35% in the last 5 years and is expected to fall by a further 30% in the next 5 years. What that means is that faster charging times will allow the OEMs to use smaller battery packs in the cars. There i s an example, the new S late that is being talked about. This is very similar to the trend seen in ICE cars in the 1970s and 1980s, when smaller engines and fuel tanks came about, and that actually increased the size of the car market by a lot. Now this trend, if you combine it with the decline in battery pack prices, what it eventually means is battery electric vehicles should achieve price parity in all the key markets, China, Europe and the US by 2030.
Slide 10:
Coming to our electrification performance, our BEV revenue has increased from 29% in FY 24 to 36% at the end of last year, and BEV revenue in rupee terms has grown by 38% to over 12.2 billion rupees in FY25. For us, the growth in BEV revenue is actually more than 25 times the growth in non -BEV rev enue.
We continue to build on our EV order book also. In Q4, we added a new EV program to supply driveline components to an existing customer in North America. Overall, we added 4 new EV programs and 2 new EV customers during the year.
At the end of FY25, we have 31 EV programs in production, of which 15 are mature and completely ramped up, while 16 are in the ramp- up phase. The remaining 27 programs are not yet in production and will start during this or the following years.
Slide 11:
We got a new EV order from an existing customer , like I mentioned. It's a North American OEM of EVs. We will supply the rotor -embedded differential sub-assembly as well as the epicyclic gear train for an upcoming electric SUV. We received this order in the last week of March, which was after the announcement of automotive tariffs in the US, which should also tell you a lot.

The supplies for this program are expected to start in the last quarter of FY26. We also commercialized a new product, which was in white in our tech road
map, it has come into blue now, the steering bevel box which has applications in commercial vehicle steering systems. We received this order
from an existing customer, a global OEM of commercial vehicles. The supplies
for this program will also start in the current financial year itself.

Slide 13:
Our next KRA, business development, we added 47 billion rupees worth of new orders during the year. This came from 37 new programs, which were won and 7 new customers , which were added. The year's revenue growth came primarily from the consumption of 31 billion rupees from the order book. Hence the net addition to the order book was 16 billion rupees .
Slide 14:
Which brings me neatly to a net order book which at the end of FY25 stands at 24.2 thousand crore rupees or $2.8 billion. The EV contribution to this order book remains high. It’s at 77%.
Slide 1 6:
With that, we come to a fourth KRA, diversification. The trend of increasing electrification and decreasing ICE dependence continues unabated. And
this year , we've seen the ICE-dependent revenue share shrink to only 9% of
our revenue. The slower demand in Europe obviously meant that the revenue share from hybrid and micro- hybrid vehicles has been lower than in the
previous year.
Slide 1 7:
Geographically, pretty much similar to last year, North America was our largest end market, contributing 41%. However, if we factored in the railway
business that we announced the signing off on a pro forma basis, India is now the largest market with a rev enue share of about 43%. Which will be followed by North America at 33%, Europe at 19%, and others at 5%.
The fastest -growing segments for us this year , from a product perspective, have been EV traction motors and EV differential assemblies. And this is reflected quite well in the product mix change. The weakness in commercial vehicles demand has resulted in the share of revenue from this segment declining from 14% last year to just 11% this year. And also , that you see if you look at it broadly, auto to non -auto today stands at 90% to 10%. But if you look at the pro forma basis, I think it's already 70 %-30% as we stand today. With this, I turn to our group CTO, Praveen, to update us on technology. So, Praveen, over to you.
Praveen Rao: Slide 19:
Thank you, Vivek. Good evening, ladies and gentlemen. I'm very happy to present our latest technology roadmap and technology priorities. As you all know, our technology is at the core of what we do at Sona Comstar, and therefore , it's important to represent and communicate our evolving roadmap. So, in this representation , at the apex of this truncated pyramid is our strategic priority, that is EPIC Mobility - Electrified, Personalized, Intelligent, and Connected. As you would notice, we have expanded our market from

automotive to drones, eVTOLs , AGVs, AMRs, industrial robots, and humanoids, which I will talk about.
The base of this pyramid is represented by our legacy products , shown in black. As the products scale the pyramid, they move from components to subassemblies to assemblies. In the process, continually adding value to the customer. The color representation, black, blue, white, indicate s the journey
f

rom legacy to current to future products. As we continue to add new product lines, our goal is to play a larger role in the rapidly evolving EPIC
mobility space, thereby growing our wallet share with the customer s. An
example here is the steering bevel box using our high precision bevel gears and low friction torque of the gearbox, providing exceptional steering

accuracy, driving comfort, and ease of installation on the vehicle. This map also represents our vision to evolve from a component supplier to a full system supplier, encompassing our growing capabilities in materials, system engineering, embedded software and hardware, and functional safety. This roadmap has intentional wide -open spaces, and these are to b e filled up by new product lines , which will be part of our future communication.

Slide 20:

From Star Wars to CS 2025, the excitement around humanoids was palpable. Names like Optimus, Walker, Digit, Atlas have become part of common lingo now. Humanoids in our day -to-day life is closer to reality than most people agree. From industrial and logistics to commercial applications and finally households , these all -pervasive humanoid robots are going to play a dominant role in our very lifetime. One estimate puts the total of 10 million humanoids by 2035. It's a very important megatrend not to be missed. Sona Comstar , with its strong capabilities in gears, sensors, motors, controllers, embedded hardware and software, is uniquely positioned to ride this wave. At the heart of th ese humanoids are actuators which control practically all aspects of motion, linear and rotary. They also contribute to over 50% of the US$ 35,000 to 50,000 bill of material cost. We have begun exploratory work in components and systems that will get us into this field faster. We will also leverage our capabilities across our driveline, motor, and sensor divisions to offer integrated products like rotary l inear actuators and vision systems. On that note, I will hand it over to Rohit to cover the financial update. Thank you.

Rohit Nanda : Thank you, Praveen.

A very good day to you all. It's my pleasure to share our 4th quarter and full year results for FY25 with you.

Slide 22:

First the 4th quarter results. This was a weaker quarter compared to the 4th quarter of last year. We've clocked a revenue of 868 crores, which is a drop of 2% from Q4 of last year, whereas the underlying markets in North America, India, and Europe grew by 1%.

Our BEV revenue grew by 8% to ■294 crore , and it constituted 34% of our quarter's revenue. This quarter, we've also accounted for PLI income for the full year FY25, and going forward, we intend to do so on a quarterly basis. Our EBITDA adjusted for ESOP costs for the quarter was 240 crores, which is a drop of 6% from the last year. Adjusted EBITDA margin was 27.6%, which is a drop of 1.3% compared to fourth quarter of last year, and it's primarily on account of change in the product mix. Our profit after tax , adjusted for ESOP cost and exceptional expenses , was 170 crores, which is a growth of 10% over last year. Our PAT has grown despite lower EBITDA, and it was primarily because of the net interest income, which has come from the deployment of cash surplus and QIP proceeds.

Slide 23:

For the full financial year 2025, our revenue grew by 12% to 3,555 crores. Compared to this, the underlying light vehicle sales in our key markets of North America, India, and Europe grew by only 2%. Our BEV revenue for the full year grew by 38% to ■ 1,224 crore and BEV share of revenue increased to 36%. At the EBITDA level adjusted for ESOP costs, the growth was 9% to 1,003 crores. This is the first time we've crossed the landmark of more than 1 ,000 crores in EBITDA in one year. Our adjusted EBITDA margin w as 28.2%, which is 60 basis points lower than the last year. While we had positive impact on the margin

from the lower input prices and operating leverage, this was more than offset by a change in the product mix. Our profit after tax , adjusted for ESOP cost and exceptional expenses, grew by 19% to ■636 crore. Profit after tax growth was higher than EBITDA growth due to higher net finance income from cash surplus and QIP proceeds.

Slide 24:

This brings us to the cash flow slide, which we present every 6 months. So during the full year FY25, we've generated Rs. 775 crores of cash from operations, and we've deployed about Rs. 415 crores in Capex that has left us with Rs. 360 crores of free cash flows. We also raised QIP funds in

September of 2024, so net of f expenses, that amount is 2,370 crores. Besides
this, the bigger items were dividend distribution of 190 crores, which is a cash
outflow.
There was a reduction in the borrowings by 220 crores, and we invested about 60 crores in NOVELIC and Clear Motion Inc. At the end of the year, we
had cash and investments balance of about 2,673 crores. Part of these funds, as you may know, would be used for the acquisition of railway business
from EK L.
Slide 25:
This brings us to the last slide. So, in terms of the key ratios, I'll just go through the highlights. Our valuation to employee cost ratio continues to be strong
at 5.8 times. It's slightly lower compared to the last year because of higher

ESOP cost. Net debt to EBITDA continues to be negative. Working capital
turnover ratio has further improved to 5 times. On the other hand, fixed asset
turnover ratio has declined to 3.4 times because we had a very high
capitalization this year of around 40 0 crores. The operating results of this
capitalization we'll see in the following years. Our return ratios have come
down a bit compared to the last year. That's primarily because of the capital
raise we did in the year.
With this, we've come to the end of our Q4 earnings presentation and I'll now
hand the proceedings back to the Nomura team.
Moderator: Thank you so much. We will now open the floor for the Q&A session. If you wish to raise a question, use the raise hand function located at the bottom
right of Webex. We will unmute your line and prompt you to speak up. Or you
may submit your questions via Q&A chat box addressing all panelists. Please
be reminded to keep your questions to a maximum of 2 questions. If you
have more questions, please return to the queue. Thank you.
Kapil Singh : Hi Vivek, while the question queue builds, I'll just take one question. I would
say not only me but a lot of investors have also been worried about or
wanting to know that from, you know, because there's been a lot of
uncertainty relating to tariffs, how a re the customers reacting to this? What
are you seeing in, you know, not only in terms of schedules, but also in terms
of their long -term thinking. Is there a need for you to evaluate setting up
facilities outside India in the US?
Vivek Vikram Singh : You know, I know there is a lot of uncertainty, but as they say, risk can be
modeled, uncertainty is not modellable. But very interesting is in the last 1.5 months or so since this started , I've had 20 times the calls from investors and
journalists than I have from customers. Actually, apart from one customer,
nobody has really called us. So it also shows, I'd say , how much short -term
events impact what kind of thinking. Most of our customers have been with us for, you know, greater than a decade. You do not and cannot uproot or
change supply chains as quickly as people assume, it takes years. But
anyway, I'll try to answer or try to bring some certainty, although I mean, it's
not like we have any better information than anybody else. Last night we also
found out what everybody else found. But it is this. So if you look a t the
announcement, last night and the 85% of MRSP, so which means everybody
in a way gets 3

.75% for next year and 2.5% for the year after that. For most of
our customers, that's actually then we don't have much of an issue. Second,
USMCA exemptions are al so there in this circular. Net net we have 40% of our
total revenue to US, in which we have identified 3% where there could be some risk of either revenue loss where they could look to somebody local,
which somebody can come at a better price than us. That is the extent of
the impact that we know of. Almost everything else seems to be, at least for
the two -year period, nil to low risk. So that's the long and short of it. I actually
believe this is a massive opportunity wave for people who know how to take
this opportunity. Our competitors in both our major product categories tend
to be from China. And in an event in which tariffs are imposed on every

country , it is basically then your relative pricing that comes into place. And then the gap has actually widened much more. So if you look at 2018 and the first tariff cycle in which China was tariffed at 10%, I think at that time, that gave us a huge window to increa se our market shares in the US. This one is far bigger than that.
Second , they are also closing, I think, back doors, like Southeast Asia, Mexico, etc. where people could just reroute goods. I think those have also effectively been closed because now they're talking about US content. Almost, not almost, actually all the custome rs we have in the US are doing the final assembly there, so we are in fact fairly well positioned. There is one thing that everyone should keep in mind , as I started in my opening comments itself,
that regardless of where you are, who you supply to, so we may be relatively very well positioned, but there is going to be impact on demand. There is also going to be supply chain stuff, you have seen semiconductor chip shortage. You don't have a thing like a 99% car, right? Even 1% is blocked in some coun try, that has a demand impact . That we can't really model right now because it's not really known. The tariffs actually haven't yet kicked in, so we don't know what we don't know, but we are fairly agile. Tactical agility is, I would say, one of our greate r strengths as a company. So, yeah, I hope I've shed more light, but 3% of our total revenue is what we would say is that medium risk in the next 12 to 18 months.
Kapil Singh : Yeah, so just wanted to also hear your thoughts on, is there a need to set up manufacturing in the US or that is ruled out.
Vivek Vikram Singh : You know, it's a tough question to answer, but in this one month there have been 3 or 4 changes already. We will wait for the dust to settle before we make any committed investments anywhere, but as you well know, we have a plant in Mexico. We have a plant in the US. We are actually in the process of another plant in Mexico. And yeah, if really required, we can put up a final assembly plant in the US. It's not like it's something we can't do. We, it is not
something that will happen in the next 12 months, obviously it takes 12 to 18 months to do any of those, but we will wait for dust to settle more clarity to emerge around how this plays out. We have received zero requests from any customer to do anything.
Kapil Singh : Okay, I think the question is also built up, so I'll pass on to Linda to start taking the questions.
Vivek Vikram Singh : I know that you're utilizing your privilege of host by jumping the queue.
Moderator : Thank you. Okay. First question is from Gunjan. Hi Gunjan. Your line is open. Please go ahead.
Gunjan Prithyani : Hi, thanks team for taking my questions, just a couple of questions from my side. Firstly, could you clarify the PLI accrual for this quarter and full year, so that we can accordingly, look at the FY26 margin as well.

Vivek Vikram S

ingh : Sure, PLI is always Rohit Nanda’s subject, so I'll let him comment on this.
Rohit Nanda : So Gunjan, we would not be disclosing the PLI numbers separately because of customer confidentiality and commercial reasons we've decided not to disclose it separately, but we've recognized the full year, PLI income in the 4th quarter. So if, let's say if we have to take out the first 3 quarters impact, that would be about 19 crores .
Gunjan Prithyani : Okay, so first 3 quarter impact would be 19 crores, so I mean that only that, yeah…
Vivek Vikram Singh : So I will add to it Gunjan, so basically, look, 8 motors have received certification and approval. The capex, etc. for all of those have been done, and the approvals came at various dates. So, if you net off the expenses which are associated with getting said approvals and the audits done, that number is for the 3 quarters is around 19 crores.
Gunjan Prithyani : Okay, got it. And while we are at this, you know Vivek if you can also talk about the whole traction motor opportunity, you know, while there's a lot of uncertainty in the other parts like you mentioned that, you know, India, is going to be big with railwa ys, traction motors. Could you just talk about, you know, some of these segments as well?
Vivek Vikram Singh : So yeah, I mean, India opportunity as you know, is actually you know better than me, what the India automotive segment and opportunities are. We continue to have fairly…

Gunjan Prithyani : No, I mean more from traction motor perspective
Vivek Vikram Singh : So traction motor right now we are in two -wheeler and three wheeler. Of course we want to expand to light commercial vehicles, buses, passenger cars, but that will happen in due course. Nothing. We foresee at least for this year, it is growing quite rapidly on its own. We are developing high voltage traction motors because to approach the bigger weight segments or larger vehicle category at low voltage is not, not a sustainable way of doing it. So we want to get it first time right. So we want to go with hi gh voltage. As you know from, well, grade 10 physics, power is voltage x current, so the higher the voltage, the lower the current, which means lower wires, lower wire harnessing, so lower the cost of doing that motor and inverter set. So that's where the efforts are right now.
Gunjan Prithyani : Okay and, you know, going to this humanoid opportunity that you talked about, is there any timelines to it? What stage of development we are at, and you know, if you could talk more in terms of, you know what is the competitive landscape here from my understanding a lot of this is China focused at the moment, so I'm just trying to understand, you know, how do we stand in terms of competitive positioning and what stage of product development we are at.

Vivek Vikram Singh : So, excellent question, Gunjan. In a way, the answer to your question is also there in your question. Currently, this supply chain is pretty much dominated out of China. Now if you look at what is happening in the world, we are, it is not a tariff and ever ybody looking at one segment. It is actually a global trade reset pretty much. Now that supply chain has to shift. When that supply chain shifts, people who are capable and who have the competence to develop parts around gear s, reducer s and motors have a far higher likelihood of success. However, as you know, in any technology readiness level, even if you go to level 7, which means you have the prototype ready, it can be installed in a vehicle , if the customer doesn't give you an order, it doesn't mean anything. So we are at a certain technology readiness level, but success, as you know, in these things is binary. When we get an order, we will make that white circle blue , and we will tell you what we have won, but till you win, it means nothing. If you have the greatest product in your lab and you can't sell a single unit, it doesn't have really any meaning, but we've been working on it for, let's say , almost a year now, so we are fairly confident, but commercial success is the only success that will matter and that remains as always binary.
Gunjan Prithyani : Okay. All right. I'll join back the queue.
Vivek Vikram Singh : Thank you, Gunjan.
Kapil Singh : Yeah, so Vivek we have a few questions from the question box. These are from Jinesh. So one is, how do you think about your ongoing investment in Mexico for compliance with USMCA? Would this plant be more of an assembly plant with a large part of value -added in India, and what is your investment in Mexico plant?
Vivek Vikram Singh : Wow, a lot of questions rolled up into one question. So we are going ahead with phase one. It is currently in progress. Our first few customers are actually Mexico companies producing there. So it isn't for USMCA, for us at least, if that customer re -expor ts to US, that would be their thing. The first customer is actually not in the HS codes in the auto tariffs. So, as you know, heavy trucks, off-highway vehicles, etc. not included in the auto tariffs. So that's the first set of customers. Investment, etc. Rohit, you can talk about.
Rohit Nanda : At this moment, we are looking to invest a number which is below $10 million. That's the first stage.
Kapil Singh : Okay. The second question is, are we largely done with the inventory restocking at the key customer? By when do you expect normalized sourcing from the customer?
Vivek Vikram Singh : Good question, but a little early to tell, as, Jinesh, I mean Jinesh is fairly well studied on this subject, so he will know it's only been a month since the new model launched. So how much time it will take to go to ramp up and go back to what the earlier model run rate was, we don't know, a little early. I

think we will know by the end of this quarter, by the end of June, that how much time will it take to get to the run rate of previous production.
Kapil Singh : And third question is, how should we think about margins? FY25 adjusted for 19 crores is around 25%. Should this be back to over 26% as the key customer production normalizes.
Vivek Vikram Singh : So two things there, One, 19 crores is just one thing that has been taken. There were also one-time cost this quarter which were fairly significant also, that we have not netted off. If we net that off, Rohit, that would be even a smaller number, right.
Rohit Nanda : Yes. Not disclosing that number, but the thing is that I hope you are adjusting 19 crores both from revenue and profit. So, the margin is actually more closer to 26% if you were to do that, anyway, and yes, there are a few one -time costs which are in the P&L done in this quarter.
Vivek Vikram Singh : So, how it will go forward will depend on how each different geography does. Again, we are only at the end of the first month, and tariffs still haven't kicked in the US, so we don't know what demand outlook will become. Second, railways, as you know, will start adding from 1st June. Now the moment you add an 18% EBITDA business to a 27% EBITDA business, obviously the numbers will not stack up to the same 25 -26. So end of next quarter we will give you a range, but if you just do the ma th that you take 27% is what we did 27 %x80 and do 18 x20, you will come to somewhere closer to between 24 to 25. So that's very logical and mathematics.
Kapil Singh : Okay, there are few more that have come in on the question box. This is from Ayan. Is there any impact of China's restriction on rare earth magnets on production of traction motors?
Vivek Vikram Singh : So I did cover that in the opening statement itself, but happy to do it again Ayan. We have inventory right now, so nothing yet. We are working with our suppliers to do get them the export licenses. Sat you can give more details on other efforts also we ar e trying to make.
Sat Mohan Gupta : We are also working on alternate raw material and the magnets both which are not having heavy earth. So, many front we are doing, I mean, we are working with the government officials, we are working with the suppliers, existing suppliers, new material, new grades, to ensure that's, I mean, we have the continuity of production in our lines.
Vivek Vikram Singh : Thanks, Sat, but just to give everybody context, magnetization can be also achieved with lower grade magnets. They can even be achieved by ferrite magnets, to be honest. It just makes the motor much heavier, so it's not very efficient. There are different grades. Some things, heavy rare earth may not be available, some are. So there could be compromise on the product bit that you let go of certain weight restrictions in which we are working with our customers. So this is not an unsolvable problem. It can ha ve some short -term

impact if we can solve it directly and get the supplies started in the next 4 or 5 weeks. The impact is pretty much nothing. If not, also we are working on, like I said, Plan B, Plan C, Plan D, all sorts of plans. We're also exploring other sources and oth er suppliers who are not in China.
Kapil Singh : Okay, then, another question we have from R ituraj . With respect to non -BEV business, our revenues have consistently declined for last 3 quarters on a Y oY basis. Just wanted to understand the challenges the company is facing in this business. How do you expect this overall business to evolve in the next 18 to 24 months?
Vivek Vikram Singh : So non-BEV revenue, there is no challenge as such. Non -BEV revenue is basically starter motors, which, as you know, although a lot of people would tell you that EV is not growing and ICE is growing, ICE is actually declining, so starter motor revenue is on a natural decline path as EV penetration goes, starter motors will decline, especially the ones which are pure diesel and gasoline, which obviously we shared in our product distribution. In Driveline, it's actually not anything to do with our thing. We have a large market share. However, if the industry, the underlying industry does not grow, it is obviously challenging to grow when you already have high market shares, especially in India. It can be explained why last year was not so g ood for commercial

vehicles and, off highway vehicles, and hence that bit is there. But there's nothing, I'd say at the company level.
Kapil Singh : Okay. Then this question is from Kartik. Who do you think is likely to absorb the tariffs?
Vivek Vikram Singh : Okay, so as tariffs are taxes on whoever imports it, right. We mostly do either Ex-works or DAP, so we are exporters. We are not the importers. So tariff is paid by whoever imports it. Now 25% tariff is not something that can be absorbed by anyone because nobody makes 25% net margin. Which is why eventually the consumer, the end consumer pays for it in the form of higher end product prices is what eventually happens. And again, there is no such thing as like 5% you take 5% I take. I saw some analyst who done a 25%, half the EBITDA and say 12.5% one person will take 12.5 % other, which is the most simplistic way to look at it and the perhaps the wrongest way to look at it. It is going to be binary because what will happen when you have something that was, let's say ■100, now it became 125. You can either ask the person who was at 100, that, hey, my price has become 125 , You give me a 25% discount . To the answer of that is, of course not. What do you do then is try to find someone who is lower than 125, right. B ut if you have done this to every country in the world, effectively the new price is 125. And hence either you find someone, in wh

ich case you will switch to the next guy, which is why I said that in 3% of our total revenue there is medium risk, but the ri sk is not a margin dilution. It is actually that that business might just disappear. They will give it to whoever, even if it's 5% less, it will just go. So that's how it plays out in real life. There is no distribution. Unfortunately, as has been observed over the last 100 years, whenever tariffs have been done and tariffs have been done in many countries. Eventually, the consumer pays is what the net conclusion is. One

example very close to home is if you ever bought expensive cars in India. I can guarantee you, BMW or BMW suppliers are not absorbing the tariff , you are. So you buy a car at double the price of what it would cost in Germany or UK because the Indian governments put those tariffs. Same thing. This is where it plays out, but yeah, of course, what is the impact that because the prices are high, far less numbers in volumes will be sold because the prices have become higher and demand is not completely elastic. It is inelastic. And how much inelasticity is there in the system, we will all together find out over the next 6 to 9 months.
You know, I'm being asked all these economics questions. I took one elective in my final year of engineering, and I had one semester in my business school, and my total knowledge of economics is just that.
Moderator : Okay, the next question is from Ja y Kale. Hi Ja y, your line is open. Please go ahead.
Jay Kale : Good evening. So my first question is, we have seen some of your US customers, you know, speak about past 2 -3 months refocusing on some of their ICE projects given the you know, softness in EVs over there. So in that context, are you seeing any green shoots for your traditional ICE business in the coming years, which was expected to steadily decline?
Vivek Vikram Singh : Strangely, yes, so that's been one of the I'd say weird second order impact of all of this which is going on, that we are now suddenly getting starter motor RFQs which had kind of dried up, pretty much completely. Last couple of years we were not getting a ny starter motor RFQs. We have suddenly have a lot of starter motor RFQs. In fact, last quarter we won a couple of large starter motor orders, so different and again excellent question Jai, because what does it also speak because nobod y will set up capacities, new capacities for a declining product it would mean people who are relatively better positioned which means they are outside China and maybe outside Europe ,
which pretty much means you have to be in India or US , you will get a lot of new orders, is what I think is a fairly visible second order impact.
Jay Kale : My second question is regarding your Clear Motion and your suspension motor. You had a order win and probably the supplies would have started.
Any conversations on this technology with other customers in advanced stages? How is this technology getting adopted by other customers, and we
had mentioned about very big TAM, how is that progress going on with new customers?
Vivek Vikram Singh : So, Sat do you want to update on the launch? This one is the one exception we'll make because it is disclosed. And the customer, end customer is Nio , so

we can talk about that.
Sat Mohan Gupta : Yes Vivek, so CMI launch or the Nio launch happened, in the last quarter. The vehicle which is ET9 is doing pretty good. We are getting a good reviews from our customers as well as from CMI. So far it's looking very great, I would say

and there is a lot of opportunities. We are in discussion with the customer on other vehicle applications. So it's a very nicely taken by the industry and it's doing a pretty good job, so.
Vivek Vikram Singh : Then Ja y, if you can get some videos or an

y feedback from the Shanghai Auto Show, where this was displayed finally to the public in full, you'll see that it was quite well received.
Kapil Singh : Okay, Vivek, there are a few more questions in the queue. I'll just read those out. This one is from Ajay. Are there any plans to open offices or factories in China as they seem to be leading EV vehicles?
Vivek Vikram Singh : We have a plant in China, where we do these suspension motors, so we have a team there. So that's already there. Anything more, of course we are always exploring new opportunities, and I don't think if you want to succeed in automotive from a supply chain perspective or a market perspective, you can do it by ignoring China. I don't think ignoring China is a wise option. So we will continue to work. We are not political or ideological, we are a company. We will continue to work with our friends and customers in the US. We will continue to work with our friends and customers in China. And if there is opportunity, certainly . There is nothing concrete for a second plant, but if it happens, of course, we'll let you know.
Kapil Singh : Okay, and then there is a question from Ji nesh, a clarification: the one -time cost that is significant and not disclosed, is it related to acquisition of railways or something else?
Vivek Vikram Singh : Rohit, would you like to take that?
Rohit Nanda : So, acquisition -related costs anyway are separately disclosed so that we've shown as an adjustment to PAT. So, this is some other one -time cost.
Kapil Singh : And did you indicate adjusted margins would have been 27% without this cost?
Rohit Nanda : So I think Vivek has broadly answered this. I think, the thing is that like I said in my commentary also there is a change in the product mix also . This quarter like we informed during our last quarter call also, because of certain model changes, there is one part of the business which was adversely impacted in this quarter. So suffice it to say I would add that basically the margins were lower in this qua rter primarily because of the change in the product mix. So going forward, the margin obviously will be a function of how the product mix changes. I mean if it reverts back to the original product mix, yes, we revert back to the original, or earlier defined, you know, margin limits , which we say like 25 to 27% is the range which we give. So finally, that's the range it should be in. So we don't want to be pinn ed down to a specific number whether it is 27% or 28% or 25%.

Kapil Singh : Okay, and then there is a question from Rishi. Sona was planning to develop a Magnetless motor. The constraints on rare earths pushed them to accelerate this development?
Vivek Vikram Singh : I would say yes, that would be the wise thing to do, that we should accelerate, there are limits. I think we have updated on this before that it wasn't reaching the required efficiency. The technology is very sound. The efficiency wasn't coming to that. Bu t we will continue to work on that. It's good to accelerate that for sure. That is on Magnetless, but as you also know, I think in 2021 itself, we had announced the development of a non -rare earth, or rare earth free motors. Those we a lready have and as I mentioned that we can do them even as of today, but that requires a customer acceptance. Like I said, it does increase the weight of the motor, so we need customer approvals for those. Maybe customers will have more urgency and hence they will approve . But net net, I have to say one conclusion we have to draw that if any material’s supply can be used as a geo -strategic negotiating tool,

we must find ways t o counter that threat in the future. So it's a good wake up call that anything fro m anyone that you depend on totally , you should not. It is a less dependable world now.
Kapil Singh : Sure, Vivek I had a coupl

e of questions on your products.
Vivek Vikram Singh : There's another question which is actually quite good from Shrivatsa . Let me just answer that because I can see the Q&A box. Does your software have adjacency for humanoid robots, because it is a really good one. See NOVELIC 's specialty is in radar sensors. So as of today, not really, because the first wave of humanoid robots that are being developed, we've explored this a great length by the way, are not going to be used in situations that are very hazardous. Radar comes int o play when cameras are not enough, like you are going in rain, snow, where visibility can be restricted. Currently that is not the case, so there is limited applicability of radar, which is why motor and drive line is what we are focusing on. Also as a part of the bomb, it is just much, much bigger.
Kapil Singh : Okay, thanks. Actually that is what even I was going to ask. So then one more question is on the other new products. So what will be the content per vehicles for these products if you can give some indication, and would it be fair to say that one of the reasons that you have also won these orders despite the tariffs changes is because there is, there's no competition for this type of products.
Vivek Vikram Singh : Less competition. There is never no competition, by the way. Competition is what keeps you good. Competition directly causes excellence. A lack of competition is actually a very sad state to live in. So, there is limited competition on that scale of precis ion and a top delivery capability. And as Praveen very nicely depicted in the technology road map, the goal is to continue going from component to subsystem to system to ensure our customers get what they want, and their pain points ar e addressed. We really do not, I know it might sound ideological or philosophical, but what we're

trying to do is solve the customer's pain and give them that solution. Rather than say this is the value per vehicle that is… The customer doesn't decide because of what we want , the customer needs to get … so who do you put first? I know it's a philosophical point, but for us it's always going to be customer. What they want we should be able to do and give the best solution we can and not think of how much value do we get if your capabilities sets keep incre asing and you solve bigger and bigger problem for your customer. The value you derive from that will obviously and naturally be higher and higher, so that's, our answer to this.
Kapil Singh : Any indication on the value per vehicle? For both of these actually.
Vivek Vikram Singh : No, there's no point. Why would I give out. I mean, you're asking me to give price while I'm saying it is competition sensitive, that'd be pretty self -goal type event.
Kapil Singh : Sure, I think we've run out of all the questions in the question queue. I do see one raised hand, so, Linda will you take that question from Ja y?
Moderator : Yeah. Okay the next que stion from Jay. Hi Ja y, your line is open. Please, please go ahead.
Jay Kale : Yeah, thanks for taking my question again, just one question, you know, now with EV two wheelers present in the market for quite some time, from an EV specific components like motors, you know, strategy of OEMs of insourcing versus outsourcing, probably no w would have been more evolved. Are you seeing, you know, one way the OEMs are going that either, you know, incrementally they're thinking of more of insourcing or do you think that, most of the OEMs will continue to have outsourcing of EV specific components.
Vivek Vikram Singh: I think there'll be a mix, as it has been in every component , Jay, over the years. Some will insource, some will outsource. Whoever is outsourcing at some point will t nihink it is a great idea to insource and vice versa. The guys insourcing will realize that th

eir technology is falling behind. They will then move to outsourcing. This is a wave that's been going on in automotive for a very, very long time. You know, when we started making differential gears at that time also, most people used to make their own, even now a lot of OEMs

actually make their own. But there has been, most people shifted from make
to buy, but there are people who are in the middle go back for some model they'll try to develop on their own, etc. so that continues. T he total market is
so big, which is the one good thing about working in a large industry that you will always have room to grow despite all of these ways.
Kapil Singh: Thank you team, I think we have run out of the questions, so I'll just pass it back
to Vivek, for any choosing remarks.
Vivek Vikram Singh: No, nothing. Thank you so much for listening. I know uncertainty is a terrible
feeling for most of you. Most of you might be feeling worried or not knowing
what answers are. I think one comfort that we can give is, regardless of how

much uncertainty there is, companies who do well are not the ones who sit
in the middle of this fog and wait for this fog of uncertainty to pass, right. You
have to try and move as close to the edge of the fog that whenever it starts
dissipating, you're th e first out. And we're fairly cognizant of that and try to
move fast. So that's where we leave it. Amit is always there to answer your questions and please keep calling him. So that's all from us.
Kapil Singh: Ladies and gentlemen, on behalf of Nomura, I would like to thank you for joining this call and also thank the management of Sona Comstar for giving
us the opportunity to host this one. Have a good day everyone.
Vivek Vikram Singh: Thank you, Kapil, thanks everyone, bye.
Moderator : Thank you everyone for your time. You may now drop off the line.

Call: Aug 2025

Date: 9th August , 202 5

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter ended on
30th June , 2025
Dear Sir / Madam,
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript
of the Investor Call held on Monday , 4
th August , 202 5 on the financial result of the
Company for the quarter ended on 3 0th June, 2025.

The transcript will also available on the website of the Company at
https://sonacomstar.com/investor/investor -presentations

This is for your information and further dissemination.

Thanking you,
For Sona BLW Precision Forgings Limited

Ajay Pratap Singh
Senior Vice President - Group General Counsel ,
Company Secretary and Compliance Officer

Enclosed as above; BSE Ltd.
Regd. Office: Floor - 25,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai -400 001. National Stock Exchange of India Ltd.
Listing Deptt., Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051
BSE Scrip Code: 543300 NSE Scrip : SONACOMS

SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q1 FY26 Earnings Conference Call Transcript
August 04, 20 25
The webcast recording and the presentation referred to in this transcript are available on the website of the
Company and can be accessed through the following link:

https://sonacomstar.com/investor/investor -presentations

Moderator : Good afternoon , ladies and gentlemen . Thank you , and welcome to Sona
Comstar's Q1 FY26 earnings group conference call. Please note that all
participant lines are in the listen -only mode as of now. There will be an
opportunity for you to ask questions after the presentation concludes. Please
note that this call is being recorded. We request that you place your lines on
mute except when aski ng a question.
Slide 2:
Some of the statements by the management team in today's conference
call may be forward- looking in nature, and we request you to refer to the
disclaimer in the earnings presentation for further details. The management will also not be taking any specific customer
-related questions or confirming
or denying any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in
your questions.
Now, I'll hand over the floor to Mr. Kapil Singh, Head of Consumer and Digital Commerce Research, India, and Lead Autos
Analyst at Nomura . Kapil,
please go ahead.
Kapil Singh : Thanks , Deanna. Good day , everyone. To take us through Q1 FY26 results

and to answer your questions, we have the management team of Sona Comstar led by Mr. Vivek Vikram Singh - MD and Group CEO, Mr. V. Vikram Verma - Whole time Director and CEO, Driveline Business, Mr. Sat Mohan Gupta - CEO, Motor Business, Mr. Rohit Nanda - Group CFO, Mr. Amit Mishra - Head, Railway Business and Investor Relations and Mr. Prat ik Sachan - GM, Corporate Strategy and Investor Relation s. I'll pass it on to you , Vivek, for the opening remarks on the presentation.

Vivek Vikram Singh: Thank you, Kapil and welcome, everyone , to the earnings call for Q1. Before we discuss business performance, as most of you would be aware, we've suffered a great loss last quarter. So, I request all of us to observe a minute of silence in the memory of our late Chairman Emeritus, Sanjay Kapoor . Please join me in honoring his warmth, his friendship, his vision and his memory.

Slide 5:

While Q1 was personally one of the worst quarters of my life, even from a business performance perspective, Q1 was undoubtedly our worst quarter since our IPO. This is mainly due to the convergence of 4 adverse but , in our view, at least temporary factors.

First, there was the change in the supply terms with the EV customer in Europe , which affected our revenues last quarter. The supply terms changed from E x-works to deliver to the customer, which added 60 days of extra time in the recognition of revenue , because of which revenue recognition has shifted from Q1 to Q2. This delayed revenue recognition is neither a loss of revenue nor does it have any impact on cash flow.

Second, one of our large global customers has seen a sharp decline in sales due to a slowdown in their demand. This EV customer has planned specific initiatives , which hopefully will lead to an increase in sales volumes in the quarters to come.

Third, all of you would be aware that since 8th April, China has stopped the supply of heavy rare earth magnets to India. This shortage of magnets has affected the production of EV traction motors in India. However, we've started working with alternative motor architectures that do not use heavy rare earth magnets, and we are also expecting a resolution soon on the heavy rare earth front. Hopefully, this should improve the availability of these magnets , but notwithstanding, we will have production using light rare earth magnets.

Fourth, the uncertainties surrounding US tariffs, particularly the frequent changes in both the rates and the implementation dates during the last quarter, have led OEMs and tier 1 customers to slow down their procurement processes somewhat and maintain low inventory levels. This situation , according to us, is not sustainable and should reverse fairly quickly in the coming quarters. So far as we see, it has remained what it was. Auto and auto components have been 25% since early April, and that's where it is even today.

So, what has happened is the combination of the simultaneous convergence of all of these four factors in one go has significantly impacted our performance in the last quarter. In our view, all, maybe most , but hopefully all of them appear temporary in nature, and some of these issues have already started to reverse, and at the risk of sounding philosophical, I must observe that no matter how dark the skies, there are always a few silver linings at any time. So, we've ended Q1 with our highest ever orderbook , including the highest ever net orderbook for the automotive business. Last quarter, we received our single largest order in the past 2.5 years , and despite all the discussions around US tariffs and electric vehicles in North America, we've successfully secured this significant order from a legacy OEM for their coming EV platform. We believe that this new EV platform is likely to be one of the most significant and successful EV launches in many years.

We also completed the acquisition of the Railway business and successfully integrated it on June 1st. So, we have had, I would say, three weeks of revenue from the railway business in the current quarter also. As you would have also seen in the news and our release, we have recently signed a term sheet to form a joint venture with JNT in China to establish a local

manufacturing facility for driveline systems in China. I will explain our strategic rationale for this JV in the next slide.
Slide 6:
So, as you would have observed and I have also written in our annual report, over the past 10 years, we have been primarily focusing on expanding our presence as well as market share in the western markets , particularly focused on North America. Today , we are the largest supplier of EV differential assemblies in North America and rank a

mong the top suppliers in Europe as well. Now, while we continue to grow our market share in the West , we are also seeking to enter and expand our presence in Asian markets. Asian markets account for nearly 60% of global automotive production , and the fact that we have minimal market share there right now means there is a large area in which we could possibly expand. Our driveline manufacturing JV in China is aligned with this new look east and look west strategy. China, as you all know, is the world's largest automotive market, especially for electric vehicles. In 2024, annual EV sales in China reached 11 million. This is two-thirds of the global EV sales , so two out of every three electric v ehicles that are sold in the world are sold in the Chinese market. It is essential for any company aspiring to be a global EV supplier to participate in the Chinese market as well as this robust supply chain. Our joint venture partner , JNT, operates a world -class foundry that utilizes patented technology to manufacture complex castings and moulds . JNT has a strong customer base that includes leading Chinese automotive OEMs as well as other global OEMs and tier one suppliers. Sona Comstar will hold a controlling stake of 60% in the JV. Operations are said to commence in the second half of the current financial year to start fulfilling orders from both EV and Non-EV automotive customers.
Slide 7:
Coming to the numbers, on a year -on-year basis, our revenue was lower by 5%, while EBITDA and net profit were lower by 19% and 12% respectively. Our margins contracted quite a bit due to the adverse impact of operating leverage, as well as significantly adverse product mix . Like I said , we have also added Railways, where margins are lower. We also had acquisition - related expenses , which have impacted Net Profit by 69 million. So, if you were to take out that impact of that extra 7 crores , almost, the decline impact would have largely mirrored the drop in revenue and not been so out of line. BEV revenue declined by 25% and the BEV revenue share was at 28% and this is mostly because of the factors I already enumerated.
Slide 10:

We move on to the update on our first strategic priority, which is electrification, as always. So, BEV revenue share has decreased from 33% in Q1 of last year to 28% and BEV revenue in rupee terms has declined by 25% to 2.1 billion rupees. This decline again, to repeat for those of you who may have joined late, was mainly due to the three reasons mentioned before out of the four, which is the change in supply terms with a EV customer in Europe, a shortage of rare earth magnets which is also as you all know all for EV traction motors and lower sales from one of our major EV customers. These issues seem to be temporary in nature, and we anticipate that most will be resolved in the coming quarters. We continue to build on our EV orderbook, and at the end of Q1, we have 31 EV programs in production, 15 of which have fully matured and have completely ramped up, and 16 are in the ramp- up phase. The remaining 29 programs out of the 60 you see on your screen are not yet in production and will start during this or the following years. We'll elaborate on our two new wins in the next slide.
Slide 11:
So, the first one, and this is fairly exciting for us, is the driveline program for electric passenger vehicles of an existing North American customer. This customer is a legacy OEM of passenger vehicles and electric vehicles. We will be supplying the differential assembly with the final drive gear fo r the customer's upcoming BEV platform from Q3 FY28. This is the largest single order win in 2.5 years and adds over 1,500 crores to our orderbook. We

believe this new EV platform is likely to be one of the most significant and successful EV launches in ma ny years. The second one is the EV motor p

rogram. This is for electric 3 -wheelers of an existing Indian customer. The customer is a legacy OEM of ICE as well as electric 2 and 3- wheelers . This program has added 260 crores to the order book and is expected to start quite soon , actually in Q4 of the current financial year.

Slide 13:

This neatly brings me to our net order book, with the addition of 28 billion worth of new orders last quarter, a t the end of Q1 FY26, our net order book has expanded to ■262 billion. And the EV portion remains high at 75% of the order book. As I mentioned in my opening statement, this is our highest ever net order book, even after excluding orders from the railway business . The order book , just for full transparency, now includes customer orders from our railway business, which are obviously of much shorter duration and are expected to be executed mainly within the next 12 months.

Slide 15:

Moving on to our 4th KRA diversification. On powertrain diversification, we've taken a slightly backward step on BEV revenue. The share has decreased to 28%. The reasons have been discussed earlier. The ICE dependent revenue

share remains low at 9%, and we expect the BEV share to improve in the next few quarters.

Slide 16:

In terms of revenue segment, we'll spend some time on this slide because there are quite a few changes which are also integral to our strategy for the next decade. By geography , now India has already become our largest end market, accounting for 37% of our total revenue. North America follows as our second largest market, contributing 34% and to add , I mean it's a small number, but if you look at how much it has jumped, the share of Asia, primarily driven by China, has increased to 8% from 6% last year.

This quarter , our fastest- growing product segment was suspension motors, and second, it was hybrid starter motors. The railway business, which is consolidated just for 1 month and actually 3 weeks to be more precise, from the terms of when we actually started registering sales , because the first week was a transition period. It has contributed 8% to our overall revenue. When we look at market sectors, the revenue share from non -automotive sectors has increased from 10% to 20% compared to the previous quarte r. The off - highway market has been a bit of a bright spot, which is another silver lining , if I could say. It has grown strongly in both North America and India, and we are expecting this to continue.

We are expecting further diversification in our revenue mix starting from next quarter itself. The share from Asia, including India, obviously, will likely exceed 50% in the coming quarters, and we expect non- automotive revenue shares to also increase to o ver 25%.

Slide 18:

Usually , our group CTO, Praveen, takes this slide, but because he is travelling to the US, I will provide the technology update in his absence. I hope I will do a good enough job. I won't do it as good as Prav een, but I'll try to do a good job.

So, you know that in each call we present our technology roadmap, and many of you are now familiar with our approach to technology development. For those of you joining for the first time, the light blue part in the center is an apex of a pyramid, while the outlying parts are more the base of the pyramid and we try to work upwards from components to systems. That's the way we have structured this. The black circles, the products with the black circles , are our legacy products that we have inherited, or the company already had when we took over. The blue ones are the ones that have been subsequently added, while the white ones are those that we want to add in the future.

This quarter, we've included our railway business products in this roadmap. We are the market leader in railway braking systems in India and supply complete systems for various rolling stock. This is shown in the black circle in the middle , to the lower left. Additionally, we also are one of the leading Indian suppliers of couplers, dampers, and friction products. Friction products are again related to braking, which are shown in blue circle . We are also in the process of developing new products, including automatic plug door systems for metro and semi -high -speed trains. HVAC systems and electric control panels , also for metro train sets. This is part of our deliberate strategy to our product diversification, add more revenue streams, and target the upcoming semi -high speed and high speed and metro trains , and in that sense move away only from having Indian railways as the customer.

From a product perspective, our strategy is not very different from what we have always done. It will be the same as what we have historically achieved in the driveline business since 2015, in the motor business since 2019 and in our sensor business since 2023, which is to transform the business from being primarily a single product business to a multi- product business. T hose of you who read our annual report will realize that our analysis has shown us that that is the single biggest growth lever that has e nabled us to grow our revenue by 10 times and profit by over 20 times in the last 10 years, because we are, and will always remain , a product engineering business at our core.

Hence, developing new products is the only way that we can continue to grow and continue on our exceptional journey that we've had so far.

Now I'll hand it over to Rohit to cover the financial update.

Rohit Nanda : Very good day to you all. It's my pleasure to share our first quarter results with you. So first we start with the financial summary.

Slide 20:

We clocked a revenue of 851 crores during the first quarter, which is lower by 5% than the comparable quarter last year. Lower revenue was largely attributable to 25% decline in BEV sales for the reasons which Vivek has already spoken about. Our EBITDA for the quarter was 203 crores, which is lower by 19% compared to the same quarter last year. The EBITDA margin declined by 4.3%. That's a combination of adverse effects of operating leverage and adverse product mix. Our adjusted profit after tax was 132 crore s, which was lower by 7% compared to the first quarter of last year.

There is a positive impact from net finance income in this quarter, which partially offsets the lower EBITDA and higher depreciation and amortization costs during the quarter. The adjustment to PAT is close to 7 crores. That's basically the post -tax exceptional expenses that we have debited in the P&L.

Slide 21:

This brings us to the final slide on our key ratios. Now there is quite a bit of change here, so all the ratios have the impact of the acquisition of the

Railway Business , and due to the different business dynamics compared to existing businesses, there are certain changes, but these are on the expected lines. I'll just explain a few cases here. So, working capital cycle, for example, working capital turnover has come down because the working capital cycle for the R ailway Business is higher compared to other existing businesses. Similarly, the fixed asset turnover ratio also had an impact , which is because of the revaluation of Railway Business land as a par t of the purchase price allocation, which is part of the acquisition accounting, that has caused the pull down in the fixed asset turnover ratio. Our VA over employee cost, still healthy at close to 5 times, had an adverse impact, mainly from change in sales mix and operating leverage. This also had a small degree of impact coming fro m the Railway Business integration because that's an assembly business with a higher material cost and therefore lower value addition. Our return rati

os have largely been similar, in a similar range as previously, whereas negative net debt has reduced largely

due to discharge of purchase consideration for the R ailway B usiness.
This brings me to the end of the first quarter's earnings presentation. I'll now hand the proceedings back to the Nomura team.
Moderator: Thank you very much for your presentation . We are now at the Q&A portion of the session. Okay , we will go to the first question, raise hand from Aditya.
Hi Aditya.
Aditya Jhawar : Yes, hi, good evening. Thank you for the opportunity. My first question is on the tariff. So now there has been a few months to what has been the discussion with the customer in terms of, you know, our ability to pass on or absorb and how are we placed ver sus our peers, global as well as domestic and while related to this announcement, are we considering scaling up of our facility in Mexico and attached to that any differential in costing you can indicate on India versus Mexico, two question s I understand on tariffs but that would be the first question.
Vivek Vikram Singh : Sure, Aditya. So, tariffs for automotive and auto components have been 25% from I think 5th or 6th April itself. So, we've had a full quarter of it. We understand the impact better, but our assessment is the same as before. Mute your line , please . I think there's something in the background. Yeah, maybe you're watching television while asking a question. We have nothing actually further to add from what we said last quarter that we see 3 to 4% of revenue impact could be there possibly, but as you know well, you' ve covered our sector for long enough to know that it happens in 12 to 18 months, even if it does happen, so hasn't yet happened. The plans for Mexico have been the same as they were before because they were for specific parts, so if you know the entire PP AP process and the process to go from planning to SOP is one that takes a lot of time , so there are no other changes. This new tariff that was announced a few days ago is relevant , but relevant only to the categories of auto components that are not already covered in the sectoral tariff , because this is the reciprocal tariff. So that impact we will know when those customers reach out. So far as you know , and I think I really said that the

importers pay tariffs, not the exporters , so if you are exporting, it's not on you. We haven't seen much change so far, how it is being absorbed is an answer better given by customers but I believe there has been a, there is a scheme for the next 2 years for automotive OEMs in the US that the gov ernment will support them in absorbing these extra costs. So , the same situation as when you asked me this question a quarter ago, not much has changed , actually.
Aditya Jhawar : Yeah , thank you for that. So the second question , Vivek, is on the China JV, so congratulations on the JV. So initially , will it be a situation where we will be exporting differential gears from India to China and then we will over a period of time , as the volume scales up, we will, you know, shift the manufacturing of the differential gears to China. Is that the thought process?
Vivek Vikram Singh : No, we will not manufacture the differential gears in China, so that is pretty certain. What we will start off with is supplying differential housings and other parts. We will , at the next phase, which is not yet part of the financial planning right now, but we will in the next phase export gears from here and assemble the final assembly there. If it does come with a final gear, we can do the final gear there, but differential g ears will not be produced , at least in the next few years that we can see anywhere outside India.
Aditya Jhawar : Okay , thank you. The final question, if I can squeeze in, any you know, sense you can give us on NOVELIC

business development in terms of any order wins, geographic color, OEM, EV versus ICE, any sense on NOVELIC ?
Vivek Vikram Singh : Sure. So, I think we updated a few quarters back. Next year, the sensor production will start actually, so the hardware parts will start rolling out , and there'll be the first product supply starting. We are well on track. The product line will be in Chennai. We have a new SMT line set up where I will actually invite you guys to come visit. It is genuinely, genuinely world -class; you should come visit. The program is actually an in-cabin sensing, so it's agnostic to powertrain because this is an interior system product for sensing, but the first customer indeed is an electric vehicle customer, but that is not to do with the nature of the product. It happens to be an EV customer.
Moderator : Thank you. As a reminder to all participants, please keep your questions to a

maximum of 2 questions. If you have any further questions, you can return to
the queue later. I'll now go to the 2nd raised hand from Gunjan.
Gunjan Prithyani : Thank you, thank you for taking my questions and, deeply sorry for your loss , Vivek and lots of strength to the Sona family. From my side, I just wanted to hear from you on two things. I think both railways as well as the traction motor business. I think railways is now under your fold, so you know, it didn't really see much revenu e growth last year, which is fiscal 25. If you can just sort of share a roadmap on how we should think about the growth of this business, both as you know, from Indian railways, as wel l as some of the new products that you, you know, you briefly touched upon. So what sort of growth we should be thinking from this business and secondly, again traction motor, you know, while you touched upon the shortages on the rare earth side, I mean,

you also have won a new program there, right, which is a little perplexing to me because we've seen a lot of delays in new launches coming through on the e -scooter side, so you know, is it that we are seeing the resolution to rare earth that the new launch es finally will start coming through in the second half of this fiscal so some color on how should we think about the business ramp up both on railways as well as traction motor.
Vivek Vikram Singh : Thank you, Gunjan and thank you for the condolences. Also, I think we take your question literally every quarter, so you don't need to thank me for that. I will answer the traction motor question first. So the rare earth magnet shortage is real. It is an issue because the existing motor architectures that we have been supplying were all using heavy rare earth magnets. Now the heavy rare earth magnets are NdFeB magnets, but with a decent amount of Dysprosium (Dy) and terbium (Tb) that makes them heavy rare earth. Neodymium is a light rare earth. Can you substitute a heavy rare earth magnet with light rare earth magnet and develop a new kind of motor? It is possible there are some efficiencies/cost tradeoffs, but with increasing copper content, increasing the size of the light rare earth magnets, it is achievable , especially if it's, I would say, less than 15 kilowatts, it is achievable technically. The problem with the disruption was because it was so sudden. To have a new motor developed, you have to test it, vali date it, homologate it, and only then can you launch it in a vehicle. Which is why th is has been time taking, but you'll be happy to know that in July , we are back to our run rate of where we were in April, pre this crisis. There are still some motors that are being, that are troublesome to me, like I said, anything above 10 – 15 kW,
as the power increases, the physics problem becomes more fundamental in nature and hence impossible to solve, but it is being resolved because let's
say a new launch, which is coming in 2

- 3 quarters will be actually done with
those kind of motors, righ t? So that's one. Second, there are alternative suppliers of light rare ea rth magnets in other countries who have developed
magnets which are not very far in strength from HRE magnets. So we have explored those too, and we are starting to get those from other countries.
Both of those tracks are on, so engineering solutions to a trade problem. But I will compliment Sat and his team on his agility in being able to solve it , and Sat, if you want to add some more color, please feel free.
Sat Mohan Gupta : No, Vivek, I think you covered very well. We are addressing all the possible solutions, working on design, HRE free magnets and different sources, so we are the only options available and we're exploring all those options and we're working on all those opt ions.
Vivek Vikram Singh : Yeah , for the railway question, let me invite our new Railway Business CEO , Mr. Amit Mishra and kind of throw it to him rather than trying to answer it on his behalf, so Amit , over to you.
Amit Mishra : So in the R ailway Business, as we have discussed earlier, we are market leaders in brake systems in India. O ther product areas that we have are couplers and suspension systems. All of them are complex and technology - intensive products with strong entry barriers. So while we are starting with this

position, we have identified opportunities to add products within these three core segments as well. We can go further deep into these segments and add more products. At the same time, as Vivek explained in the Technology Roadmap, we are working on several new products as well, which are at different stages of development. So these products will come into production over the next few years. So we have a roadmap for the next 5 years where new brake systems as well as the new products that we are working on s hould come into revenue. In terms of end market, if you have tracked rolling stock production projections by the government, I think there is growth projected for the next few years, which should be a tailwind for the business. At the same time, we are act ively working on increasing our presence in the metro segment and also in selected export markets. So yeah, we do expect the business to grow well over the next few years, but as you know, we don't give any further guidance in terms of revenue, etc. , but w e do expect growth given what we are doing on the products as well as tailwinds in the industry.

Vivek Vikram Singh : Thank you, Amit. First earnings call question that Amit has answered. Congratulations.

Moderator : We'll go to the next raised hand, Amyn Pirani. Please go ahead with your two questions. Yeah. I think the audio connection , Amyn, can you hear us? Can you speak up?

Amyn Pirani: Yes, thank you. Thanks, thanks for that. Just, you know, just a clarification on the rare earth comment that you made. So, you mentioned that in July, you know, we are already back to the April level so are you saying that this is because of the, you know, the light rare earth magnet, because of that we have been able to do that or we have been able to figure out some solutions to the availability of the heavy rare magnets.

Vivek Vikram Singh : No, mostly it's light rare earth magnets and so we do not have any HRE magnets supply since 8 April. Zero.

Amyn Pirani : And again for the light rare magnet availability, are there risks to that also, or because it's quite commendable that you're already back to April levels, which is great, so, or now it's a steady state from here or even on the light rare earth magnets, th ere could be some challenges in the foreseeable future.

Vivek Vikram Singh : I hope not, man, but these days, you know, every day I think this is the last challenge that I'll have. Next day is a new one, so I hope they don't because the ban

is specifically for HRE magnets, because even the light rare earth magnets, the source is Ch ina, so I hope they don't now come after this. I hope they go the other way. I like, you know, start giving out export licenses for heavy rare earth magnets that will solve a lot, but there is a constraint. See, we are back also because we had new orders also. Bigger motors are still a challenge. It is only our fortune that most of our business is a two -wheeler , and even in two -wheelers , less than 5 kilowatt motors, which has been helpful. As you go up, it gets harder and harder. That's basically the situation.

Amyn Pirani : Thank you, and just, on the China JV, so first of all, congratulations, you know, on that. Is there any broad idea that you can provide as to, you know, what is the order book, because obviously right now it's a JV you're just starting off, and you said that you'll be supplying EV and non -EV? I'm not sure if you can name the customer or customers, and I guess that would be difficult, but any broad sense of what the order book is, which is there that you've started supplying?

Vivek Vikram Singh : It's a good question. It's a brownfield. We wanted to move with agility. Agility, as you know, is one of our core values, which is perhaps the reason that in 3 months we've been able to come back and bounce back in EV traction motor production. So it woul d have taken a long time to do this greenfield. Second , China's supply chain, while it is one of the most diverse and widespread supply chains, is hard to navigate on your own, which is why you need a partner. So it serves both purpose s. That's why we went into it. We have not yet started adding the order book, nor will we guide on it. I'll tell you the reason because right now it's a term sheet. Till we sign all the binding documents and all the stuff is done, we don't want to start adding to our order book. The day we do it, we will start adding.

Amyn Pirani : Understood. Okay , great. That's helpful. I'll come back in the queue.

Kapil Singh : There are some questions in the Q&A box, so I'll just take those , Vivek. So one question is from Dinesh. Can you talk about the driver of increasing revenue share from China?

Vivek Vikram Singh : Yeah, suspension motors, that was the fastest growing product, as you well know , there, that is literally the one product in which the customer is also publicly known, so that is the Chinese EV customer, Nio, and that's where the growth came from.

Kapil Singh : Vivek , on this if I may ask, how far are we from the peak revenues that we are projecting, and how is this ramping up?

Vivek Vikram Singh : Sat, do you want to take this?

Sat Mohan Gupta : We are still in a launch phase , Kapil, and we just launched the product. It's too early.

Vivek Vikram Singh : I think this quarter was literally the, or last March was the first, yes, so we are still in the early days. We will see.

Kapil Singh : The Second question is, can you talk about the potential revenues from the China investment, the China JV investment? Would the Chinese opt to end to end manufacturing, or would there be supplies from India? How would be the margin profile of this JV on full ramp up?

Vivek Vikram Singh : So we can't, as you well know, we just signed a term sheet, till an acquisition is complete, it's too premature to start talking about the revenue addition or orderbook, right? Like, if you realize railway order books, we announced it in

September or October. We closed it now , and for the first time, we've added something to the order book because it's premature to do those things. We will once it is final and everything is done. The modality, I think I've already, when Aditya asked me, I think I explained that first, it will do mostly machi

ned housings and some other parts. In the second phase, we will try to do full differential assembly, but I will invite Vikram if he wants to add anything non - number to this.

V Vikram Verma : No, I think you answered it with the very idea of getting a good casting supplier and one who has a good connection with customers already is where we targeted, and that's why this brownfield .

Vivek Vikram Singh : On the margin profile, it is not going to be the margin profile of our business. That, that I can guarantee you, China is a very, very competitive market. It will be lower, but it is a large market, and as you all know, we are not obsessed with margin as a percentage; absolute profit growth is what we want, and that's what we will change. For the largest EV market in the world, even if you get a small market share, it can be a significant one.

Kapil Singh : And one question is, you know, is our company participating in the development of humanoids by Tesla?

Vivek Vikram Singh : We never comment on customer -specific questions as usual.

Kapil Singh : Okay . Then some questions are answered , so I'll read just the part which is unanswered. Is the existing customer base part of the order book from the JV?

Vivek Vikram Singh : That's interesting. Yeah, I guess there will be some customers that would be our customers existing, but the orders would obviously be different because the product would be different , and the supply location would be different. Yeah, some customers will be common, but automotive, if you take all the OEMs and all the major driveline tier -1s, it's not that large a number ; you will always have the same customers everywhere. And all the large OEMs and all the large Tier -1s are already there in China.

Kapil Singh : Okay . Then the other question has come on Equipmake. Are we planning to start commercializing in 2025 as per plan, considering rare earth magnet capacity?

Vivek Vikram Singh : No, that big a motor without magnets, no chance. I mean, I was talking about 10 kilowatt, talking about 350 kilowatt without heavy rare earth, no, next to impossible to solve that problem.

Kapil Singh : Okay , I think NOVELIC we have answered, but anything on the order inflow that you want to mention here?

Vivek Vikram Singh : No. anything, I mean, there, of course, have been smaller order wins, but mostly in services or small POCs. Any large product win, we would obviously share in our earnings presentation.

Kapil Singh : And then there's a question asking what will be your new EBIDTA and PAT margin guidance after incorporating the new divisions?
Vivek Vikram Singh : Good question. So, let's just do the math. Our range earlier was 25 to 27% was the range we've reiterated many times. How much as a percentage, Amit, would we expect the railway to be? Since you're the CEO, you should tell me.
Amit Mishra : So, if we look at last year, full year numbers, Railways would be about 18 to 20% of consolidated.
Vivek Vikram Singh : Good. So 20% is at 18% EBIDTA , and 80% is in the 25 to 27 range. So if you do the math , you will get your answer, which is 23.6% and 27 into 80 is. So 24.6.
So yeah, 24 to 25 or 23.5 to 25 will be the new EBIDTA rate , but it's just mathematically, just do the arithmetic, we'll get to the numbers.
Kapil Singh : Vivek , one question has come that could you provide some insight into the succession planning following the unfortunate passing away of Sanjay.
Vivek Vikram Singh : Whose succession planning, mine? W hat is the question towards because Sanjay was a non- executive chairman. He has already been succeeded by Jeff Overly, who is our lead independent director, so he is now the non-executive chairman. If it's about the management or executive role, I can answer because that is my purview. I don't choose board successors, so that's not a questi

on I can answer.
Kapil Singh : Sure. I think that's all the questions we had. The question is also on who is having the ownership of the company. That question has also come.
Vivek Vikram Singh : So, the ownership of the company as a publicly listed company, I think it should be clear that the public is the owner. 72% of the company is held by our public shareholders, various FIIs, large domestic mutual funds, and a small bit even with retail shareholders. I don't know the exact percentage, bu t 5 to 6%. 28% is held by a promoter entity called Aureus Private Limited. That is a fact since our IPO , which has also not changed. Yeah, who owns Aureus, according to the documents that have been filed with the exchanges, with the registrar of companies, it was held by RK Family Trust, of which there was one single beneficiary, which was Sanjay Kapoor. We have not had any information after that from Aureus, but there was no direct shareholding of anybody else in the company from any promoter entity. If the person who is asking the question, these are all very well-disclosed numbers. You can go to ROC, or you can go to our website every single quarter, the company is legally obliged to disclose its official shareholding. It's called the beneficial position of ownership, as well as the ultimate beneficial owner. So that's what it is, and I think more than that , there is a far more sensationalism around it than it affects anything. But just for actual , genuine investors, this is the answer. Whoever controls the 28% doesn't really have that much. So let's say Aureus controls 28%, they can nominate , like any large shareholder can, a member to the board, the board , in its discretion , can choose to either reject or accept that nomination. If the nomination is accepted, then it has to be

further ratified by public shareholders, and only if 50 % or more of the shareholders approve, could that person take that board seat, which is of an additional non -executive director. How one director's appointment out of a 9-member board with 6 independent directors makes a difference to the running of the company is very bizarre to me, but for some reason, the press of India thinks it is a very pertinent question to answer. I don't know how it affects the company's growth, the company's operations, or the management.
Kapil Singh : Thank you , Vivek. I have a few questions from my side as well. Firstly, on the EV industry globally and particularly in the US market, you know, we are seeing some pullback of subsidies and, you know, some changes in regulations as well. At the same time, you know, there are markets like China where probably there may not have been that much support, but still, you know, electrification is growing quite rapidly. So do you think, you know, that kind of move will come in markets like the US, Europe, and India, is there a line of sight now to that?
Vivek Vikram Singh : So, Kapil, good question. My opinion, as you know, has not changed for the last 10 years. I think electrification is inevitable. The pace and things in the

interim , where it kind of goes slow, are almost impossible to predict. There is a lot of policy play here. This is the same thing when it happened with renewable energy. Remember, it used to be a million dollars per megawatt back in the day , and nobody would put up a solar farm, and it was only regulation that was pushing it. And the n it changed as production increased, the cell cost came down. I'll take the same analogy, same analogy for cell phones also, by the way. When cellphones first came out, people were like, who will buy it, it's too expensive, batteries are too expensive, and it's almost always battery cells, which is the problem or the bottleneck of the whole growth area. I think battery prices will keep coming down. We are already at a stage where China has

overcapacity and wil l have no other option but to start exporting t his overcapacity into other markets, making batteries smaller. The second trend that we are seeing is that battery packs themselves are becoming smaller. Actually, range anxiety is fading quite fast. I was having this, and this is anecdotal. I was having this conversation with a friend of mine who just bought a battery electric car. So I asked him which model d id you go for? He went for the lowest range model , and I asked him why. He said the lowest range is 400. When have I ever driven 400 kilometers in a day? I don't need it. I anyway put it to charge at night. If they made one with 250, I would go with that. This, if you were to take as analogous to the small engine revolution that came in the 1960s, 1970s with the Japanese cars, suddenly the auto market grew manyfold because people could buy much cheaper cars with much smaller engines when people realized everybody doesn't need a massive engine with 70 - 80 L in the tank at all times because you don't actually use it. Asset utilization of passenger vehicles historically has been about 8 - 9%. As this trend increases and customer awareness increases, I think EVs will become cheaper and cheaper to a point, and I think we covered it last quarter. They will be cheaper to manufacture , service, and

support than ICE vehicles. At that point, economics will start playing its part, and then , subsidy, no subsidy, nothing will make any difference. China has already passed that point of no return. I think it's going to go 100% even. Europe will follow , and America will be last because of maybe 4 years of policy, direction change, but it will inevitably come. I mean, the legacy OEM who's announced this and who's given us this award, if you read what they're saying, they're saying after 2028, 2029, they will d o this , and it will be a pivotal moment for their entire company's history. Timing, like I said, may be slower, but the inevitability is undeniable. It is going to happen.

Kapil Singh : And what about the Indian market? What, what are you seeing there?

Vivek Vikram Singh : India's obviously going to be slower. Our views of, I mean , we've answered this many times. We always believe three -wheelers, buses, 2 wheelers, followed by passenger cars. That's the order of electrification. There is a significant challenge because of the way our country is. Urban density is a challenge. Actually, we have a first -mile mobility problem, rather than a last - mile mobility problem, and the first mile is actually the hardest to electrify. So I would still say it would be th e slowest, but I think all of us can say we are impressed by how fast two -wheeler, three -wheeler, and buses have grown.

Kapil Singh : And Vivek , the second question is we have quite, quite a bit of order being for a very large percentage of the order book coming from electric vehicles. Now, in between, we've had this problem , which seems to be resolving to a large extent. Do you see a much stronger launch pipeline happening in India? And even maybe the global market now disparity is coming maybe ex of US, but how do you see the launch pipeline?

Vivek Vikram Singh: I see the launch pipeline is pretty good. The magnet issue may delay it by 2 to 3 months in this calendar year, but in 2026, 27, and 28, these three years, we have a lot of new launches in and not small ones, actually, all of them are massive ones. There will be a lot of small ones in the interim, but the big ones, they are over the next three years, there should be quite a few , which are genuinely that size , 200-300 crore per year type of sizes for each program. There are quite a few of those coming in the next 3 years. Like I keep saying , the battery cost is going down every year , and the battery pack size constraints are going down. The problem was always on

ly solvable if you had
cars between $20,000 $25,000, which are required to make electrification truly mass. China has been able to do it because of that price -point car. Same thing will happen for the US and Europe. India, too, will follow. I mean , India again has that problem that they do not have enough inexpensive or economical battery -making capacit y yet in India. I think that too will change.

Kapil Singh: So, and some of the major order ramp -ups this year, when do you see that, which quarter this year, you would start to see that happening?

Vivek Vikram Singh: I would say Q4 would be the one in which it will happen because a lot of them for this year were more around motors, where there is a month or two of delay already, now there may be a little bit more delay because of that.

Kapil Singh: Sure, Vivek. That was the last question for today, given the time constraint. So , Deanna, I'll hand you back to close the call, please.

Moderator : Thank you very much, ladies and gentlemen, for joining today's Sona Comstar call. If you have any further questions, do feel free to reach out to Kapil Singh or the corporate management. Thank you and have a good day. You may drop off the line now.

Vivek Vikram Singh: Thanks, everyone. Thank you. Good evening.

Call: Oct 2025

Date: 31st October, 2025

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter and half year ended on 30th September, 2025

Dear Sir / Madam,
P u r s u a n t t o R e g u l a t i o n 3 0 r e a d w i t h S c h e d u l e III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, pl ease find enclosed he rewith the transcript of the Investor Call held on Monday, 27
th October, 2025 on the financial result of the Company for the quarter and half year ended on 30th September, 2025.
The transcript will also available on the website of the Company at https://sonacomstar.com/investor/investor-presentations

This is for your information and further dissemination. Thanking you,
For Sona BLW Precision Forgings Limited

Ajay Pratap Singh
Senior Vice President - Group General Counsel, Company Secretary and Compliance Officer

Enclosed as above; BSE Ltd.
Regd. Office: Floor - 25,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai-400 001. National Stock Exchange of India Ltd.
Listing Deptt., Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051
BSE Scrip Code: 543300 NSE Scrip: SONACOMS

SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q2 FY26 Earnings Conference Call Transcript
October 27, 2025
The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

https://sonacomstar.com/investor/investor -presentations

Moderator : Good afternoon , ladies and gentlemen . Thank you , and welcome to Sona Comstar's Q2 FY26 earnings group conference call. Please note that all participant lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. We request that you place your lines on mute except when aski ng a question.
Slide 2:
Some of the statements by the management team in today's conference call may be forward -looking in nature, and we request you to refer to the disclaimer in the earnings presentation for further details. The management will also not be taking any specific c ustomer -related questions or confirming or denying any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in your questions.
Now, I'll hand over the floor to Mr. Kapil Singh, Head of Consumer and Digital Commerce Research, India, and Lead Autos Analyst at Nomura . Kapil, please go ahead.
Kapil Singh : Thanks , Deanna. Good day , everyone. To take us through Q1 FY26 results and to answer your questions, we have the management team of Sona Comstar led by Mr. Vivek Vikram Singh - MD and Group CEO, Mr. V. Vikram Verma - Whole time Director and CEO, Driveline Business, Mr. Sat Mohan Gupta - CEO, Motor Business, Mr. Rohit Nanda - Group CFO, Mr. Amit Mishra - Head, Railway Business and Mr. Prat ik Sachan - GM, Corporate Strategy

and Investor Relation s. I'll pass it on to you , Vivek, for the opening remarks on the presentation.
Vivek Vikram Singh: Thank you, Kapil
Slide 4:
Thank you, Kapil. And after 3 quarters, we are back to saying our favourite opening statement. So, welcome all of you to the earnings call for our best-

ever quarter, where we have achieved our highest -ever quarterly revenue, EBITDA, and net profit.
Now long -term shareholders will know about us, and we keep writing about it in the annual report. We as a company aspire to become one day anti -fragile. What that exactly means is that we don't want to be a company that's just resilient in the face of exte rnal shocks, but we want to become someone who gains from disorder. Our performance in this quarter underscores, I would say, the first part of the anti -fragility hypothesis. And if you remember, 6 months ago in our Q4 FY25 earnings call, I said that we ex pect many opportunities to emerge from the current global disorder. We believed that many weaker players may not survive this disorder, while strong companies with technology moats and bulletproof financial foundations like ours would consolidate and grow over the medium term. I think we are already halfway there. In the past 6 months, 3 of our direct competitors in Europe have filed for insolvency proceedings. This has resulted in an unprecedented increase in inquiries from European customers to us. Hopefu lly, in the next few quarters to come, we can win significant new orders from Europe, add them to our order book, and hence in some way prove the second part of that anti -fragility hypothesis, which is that we have built a company that gains whenever large dis orders happen in the ecosystem.
Now, as our policy has always been, when talking to our owners, shareholders, we will begin with the challenges. First, one of our global customers continues to face demand challenges, and this is particularly in the sales of one specific model, which has seen a significant drop. This has had a noticeable effect on our EV revenue in both the second quarter as well as the first half of the year. Second, since 8 th April, it has been widely reported that China has stopped supplying heavy rare-earth magnets. Th is shortage has impacted the production of EV traction motors for us in Q1. In response, what we did was we shifted to alternative motor designs that do not rely on heavy rare-earth magnets. So now we also manufacture our motors using light rare -earth magnets, and in this quarter, we have also successfully developed, tested, and validated a rare-earth -free Ferrite Assisted Synchronous Reluctance Motor for electric three -wheelers and light commercial vehicles.
Third, again, in the news a lot, but uncertainties regarding the USA and the tariffs, they continue to persist during the 2nd quarter. However, I would like to add that the recent decision by the US administration to extend tariff relief on vehicles assembled in the US for 5 years should benefit our US customers , who are predominantly assembling their vehicles locally within the US.
Coming now to the good news , and the good news is that despite all of these challenges, we have achieved our highest -ever revenue , EBITDA and net profit numbers in the quarter.
There is more good news. We have won our first order for our new driveline plant in Mexico to supply differential assemblies to an OEM in the US. This order

win is meaningful given the current uncertainties regarding tariffs and trade policies. We have also been nominated for two more programs for our motors and motor controllers for the predictive active suspension systems. One nomination is from an existing customer, an Asian EV OEM, and the second is from a European OEM of luxury performance cars. These nominations are signific ant, as they show that our innovative suspension system has begun to gain wider acceptance within just months of its first commercial launch, which is very encouraging when you make a new product for the first time.

Additionally, we have collaborated with N eura Robotics of Germany to jointly deve

lop advanced components and technologies with a focus on industrializing robots, cobots, and humanoids in India as well as other markets.
In terms of end markets, I'll keep it short. The growth has primarily been from trains, tractors, and traction motors. So, the railway segment, the off -highway segment, and electric two -wheelers, these are where we see growth. The other ones are flattish to moderate growth.
Slide 5:
Now shifting to our performance in the last quarter, in financial terms, our revenue grew by 24% year on year. While EBITDA and net profit increased by 13% and 20% respectively, we have also managed to come back to our 25% EBITDA and are nearly there on 15% PAT numbers.
And at the cost of being blamed for self -indulgence or even worse self -praise, I would like to say that it is quite remarkable to see this resilience in action, especially when the odds were so spectacularly stacked against us in every single market, every single macro. I think we've not only persevered, we have come out stronger than we have ever been before. Now, many companies are good at navigating calm waters, but I think it's commendable that our team can sail through even stormy and choppy seas. And I could not be more proud er of our business leaders and our entire team for making this possible.
Moving on to the not-so-good part, BEV revenue has declined by 17% in the last quarter. The revenue share because of this has fallen to 32%. Now, this decline is not a reflection of the general industry trends. It is primarily due to one customer, and a large part of it is linked to actually a single model decline for us. In response to this, we have undertaken a review of our entire order book and corrected it to reflect the true picture. And I'll provide more details on this when we come to that slide lat er.
Slide 6:
So, despite a pretty stellar Q2, if I say so myself, our financial performance in the first half of the year has still been modest due to the exceptionally weak Q1. Our revenue and PAT are up by 10% and 4% respectively, while EBITDA is actually lower by 3%. ROE and ROC E have declined to 13% and 16%

respectively , and this is because of the equity capital issue that we did in September 2024, and the full -year effect has come into the denominator now. We expect the return ratios to start improving gradually as we invest the cash that we have in various growth initiatives that we have outlined.
Slide 9:
Now we move to an update on our first strategic priority, which is electrification. Our BEV revenue share has declined from 35% in H1 of last year to 30%. BEV revenue in rupee terms has also decreased by 21% to ■4.75 billion.
As I mentioned before, this decline is primarily due to a single customer and is largely linked to a single model. We continue to build on our EV order book.
We now have 62 EV programs across 32 customers, 33 of these programs are in producti on. 19 are fully matured and completely ramp ed up , and 14 are still in the ramp -up phase, and the remaining 29 are not yet in production and will start during this or the following years.
Slide 10:
Now, as we previously told you, the first car model with Clear Motion's fully active suspension system was launched earlier this year. Clear Motion 's innovative suspension technology is controlled by Sona Comstar's BLDC motor and motor controller -based actuator. As we anticipated from the very beginning, I'd say, this technology is now finding deployment across more models.
We've been nominated for two more programs to supply these suspension systems. One nomination is from an existing customer, an Asian EV OEM. And the second is from a new customer for us, a European OEM of luxury performance cars. These nominations, while not very big in size, are proof that the innovation and the technology that we've deployed in these suspension

systems has begun to win a cceptance, and within months of its first commercial launch, these two nominations have an order value of, as you can se e on the screen, about ■8.2 billion in the lifetime, and they're expected both to start production in Q2 of FY 27.
Slide 12:
This brings me to our net order book, and as a matter of prudence, we have reviewed all the programs in our order book and proactively removed all those with low visibility of future production volumes. This we've done in order to present an accurate pictu re of the order book to the outside world as well as for our own planning purposes. The consumption of ■36 billion includes the residual value of all the programs that have been removed from the order book. Now we've also had fresh additions of ■10 billion worth of new orders. So, with that, netting that off , our net order book now stands at ■236 billion, and the EV share continues to remain high at 70% of this order book. The current order book also includes the railway business. It has orders worth ■13 billion, which are obviously of shorter duration because it is a different nature

of the industry, and they are expected to be executed mainly within the next 12 months.
Slide 13:
As I mentioned earlier, we've secured our first program for the new driveline plant in Mexico, from where we will supply differential assemblies to a recreational vehicle OEM in the US. This program has added 2.6 billion to our order book with production e xpected to start in the second quarter of FY 28. This is a second order from this customer, which obviously shows confidence of the customer in us, but it's very significant, given the current geopolitical and trade environment, and shows that we were righ t in opening or launching our Mexico plant last year when we did so.
Slide 15:
Our fourth priority is diversification , and this quarter we really wanted to highlight how over the last couple of years we have actively diversified across our revenue mix, be it geography, product, market segment, as well as customer base. We have, as some of you would know, consistently held the view that global light vehicle sales are unlikely to grow very significantly in the medium term. Therefore, as a major global player in our product segments with high growth aspirations, we are hyper -aware that w e need to diversify into alternative modes of mobility , as well as the urgency to expand our product range and our global market footprint. So , not either or, this is an all three at once situation.
Now with 70% of our revenue coming from export markets, we have obviously been working to reduce the potential risk posed by the changing geopolitical dynamics. This is the reason why we expanded into the railway segment, and this is why we have been focusing on expanding our presence in the east, which obviously includes India. These shifts are not only giving us new growth opportunities, but they also position us for success when the environment is so chaotic and rapidly evolving.
Today, geographically, India is our largest end market in H1. It accounts for 45% of our revenue for the first half. North America has become our second largest market, contributing 30%, and significantly, and for us it's quite a shift. For the first time since we went public, we've achieved higher revenue from the eastern markets than we do from the West.
I'd like to add that after careful consideration, we have decided to put a proposed joint venture with JNT in China in abeyance. This decision is based mostly on geopolitical factors and the need to prioritize other active capital allocation decisions. We remain in touch with JNT , and hopefully, we'll do some other things together, but for now, the joint venture is in abeyance till things change.

Now moving to p

roducts, our fastest growing product segments this quarter
has been EV traction motors, where we've overcome, I'd say, almost
insurmountable seeming difficulties to deliver our motors, manufacture them
using alternate technologies and design s. And, of course, the railway brake
systems. This, of course, reflects in the product mix, which has changed quite
a lot.
Even when you come to market segment, revenue share from non -
automotive sectors has gone from 10% to 29% in H1 of this year. The off -
highway market has also been a very bright spot for us, especially in the
Indian context.
Slide 16:
We're always in pursuit of risk optimization , through diversification in our
customer mix as well. And this we wanted to share with you for this time
because there has been a lot of change that has happened over the last 2.5
to 3.5 years. So, if you look at this thing, there is so much diversification and so
much growth in the customer base. In Q2, the top 5 customers contribute 51%
of total revenue. This is down from 62% , 3.5 years ago in FY22. Additionally, the
contribution from our top 10 customers has been reduced to 72% from 80%.
And the biggest points to note are th ese: our largest customer, plus 2 of the
top 5 customers and 3 of the top 10 customers , were not even present in our
customer base in FY22. The largest customer today was not there. 2 in the top
5, and 3 of the top 10 are actually customers we have added in this duration
and grown our business with them to get them into the top 10. This shows the
success of our ability to continually add new customers at scale and to
diversify with agility. We've do ubled our revenue run rate since FY22, mind
you, so this is in a much larger pie. And this is despite our largest EV customer,
their contribution to our revenue declining from 23% in FY22 to a mere 6%
now. Despite this large change, we have managed to deliver, I would say,
fairly strong growth.
With this, I turn to our group CTO, Praveen, to update us on technology. So
over to you, Praveen.
Praveen Rao : Thank you, Vivek. Good evening, everyone .
Slide 18:
We are progressing very well on our technology roadmap. As you all might
know, we recently signed an MOU with Neura Robotics of Germany. Neura is
a pioneer in the field of cognitive robotics. This strategic collaboration aims
to jointly develop advanced te chnologies, components, and sub -
assemblies, as well as industrialization of robots and humanoids for India and
mutually agreed markets. With this strong foray into robots and humanoid
space, several of our products listed on our technology roadmap that you
see will now transition from pure concept to prototype testing and
development phase.

Slide 19:
We are also pleased to inform that we have successfully developed and
tested rare -earth -free traction motors. These ferrite -assisted motors are based
on synchronous reluctance technology. For both mid -drive and hub motors,
as the name suggests, these motors do not use rare earth magnets and
therefore are not dependent on China raw mater ials and manufacturing. The
performance of these motors has been tested in the lab, in actual road
conditions, and found comparable to existing technology.
We plan to offer these products to OEMs of electric 2 -wheelers, 3 -wheelers,
and light commercial vehicles. An important innovation introduced in this
product will also remove the last bit of rare earth magnet, which is part of the
rotor position sensor. The sensor , based on the induction principle with copper
coils, delivers the same performance and can be applied across other motor
technologies.
Slide 20:

The shift is vividly captured in these pictures, showing the impact CO_2 and other harmful emissions from IC engines have on plants and life in general to moderate effect from rare -earth technologies to a complete green technology like r

are -earth -free magnet motor technology with minimum impact on the environment. In summary, as technology shifts from IC engines to EV and we continue to be challenged by uncertainties in the global supply chain, Sona Comstar will play a pivotal role in rapidly devel oping clea ner and greener technologies.

With this, I now hand over to Rohit to cover the financial update.

Rohit Nanda : Very good evening to you all. It's my pleasure to share our second quarter and half yearly results FY 2026 .

Slide 22:

We clocked a revenue of Our revenue for the quarter grew by 24% to the highest ever number of ■1,144 Crores. It includes the first full year quarter of railway business revenue after we completed the acquisition on 1st of June. Our BEV revenue declined by 17% and constituted 32% of our automotive revenue. Our EBITDA has grown by 13% in the same period to ■289 crore. EBITDA margin is lower by 2.3% compared to the same quarter last year, and that's primarily due to product mix and operational leverage. Our profit after tax grew by 2 0% to ■173 crore and margin was lower by 0.6% due to transmission of lower bidder margin through PAT.

Slide 23:

Moving on to the first half results. For the first half, our revenue has grown by 10% to ■1,994 crore. Our BEV revenue declined by 21% and was about 30% of our automotive revenue. Our EBITDA declined by 3% year on year to ■492

crores as margin was lower by 3.2%, primarily on account of operating leverage and product mix. Our profit after tax grew by 4% to ■298 crore and margin was lower by 1.1% due to transmission of lower EBITDA margin, although there was a higher net interest income.

Slide 24:

Coming onto the cash flows, we generated ■340 crores as cash from operations in the first half of the year and spent about ■198 crores on CAPEX. Besides this, in the first half, we also saw major cash outflows on account of railway business acquisition and last tranche payment of NOVELIC acquisition, aggregating to nearly ■1,700 crore. There was a dividend distribution of ■100 crores, and there was a purchase of land for the railway business, future expansion - ■110 crores. Uh, this has left us with close to ■1,000 crores of cash at the end of the first half.

Slide 25:

This brings us to the last slide in the presentation, which is on the key ratios. I had explained in the last quarter also when we first time consolidated one - month railway numbers that there has been a change in some of the ratios like value addition to e mployee costs, working capital, and fixed asset turnover ratios due to the addition of railway business, as this newly acquired business has a different cost structure, working capital terms and for the same business, there's been purchase of additional la nd. All of these things have affected these three ratios. Apart from this, return on capital employed and return on equity have dipped because of the capital raise that we did last year, which is now fully reflected in the denominators of these ratios.

We expect these ratios to improve in the quarters and years ahead. On the negative net debt issue, the negative net debt has come down because we've discharged the purchase consideration of railway business, because of which negative net debt, that negativ e number has reduced.

With this, we've come to the end of our second quarter's earnings presentation, and I'll now hand the proceedings back to the Nomura team for Q&A.

Moderator: Thank you very much for the presentation. We now open the floor to the Q&A session. If you wish to raise a question, please use the raise hand button located at the bottom right of the Webex page. We will unmute your line and prompt you to speak, or you ma y submit your questions via Q&A chat box, addressing all panelists. Please be reminded to keep your questions to a maximum of two questions. If yo

u have more questions, please return to
the queue. Thank you. The first question goes to Am yn. Your line is un muted.
Please go ahead.
Amyn Pirani : Congratulations on the business improvement. Two questions. First of all, you mentioned something around, you know, some of your peers, direct

competitors in Europe, you know, are facing financial difficulties, and you have seen an improvement in inquiries. So, these players were currently supplying to some of your potential customers from Europe, and it is now possible that these customers may want to look out for sourcing from India. Is that how we should understand it?
Vivek Vikram Singh : Yes. But that's a very short answer, so I'll elaborate. You are right. So, I anticipated that this would happen, as you know, with the thin margins they have, and Europe's been affected also by the loss of the export opportunity in the US, so they double whammed in this space. So they're not just in financial difficulties. I thi nk 3 of them have filed for insolvency proceedings. One is now the court has adjudicated that it should be liquidated. The other one is also heading that way. Third one, we don't know. But when so much uncertainty arises in the supply chain, let's say one of our suppliers filed for insolvency, I would be on top of that and telling our procurement team to diversify away immediately and get me somebody who can do those parts as soon as possible. And these all three are driveline players. So, they are all either differential assembly or differential gear makers. And there aren't that many to begin with, so there aren't that many choices. So yeah, that's why the inquiries and that's why the urgency.
Amyn Pirani : Ok, that's, that's helpful. And, secondly, on the you know, on the JV abeyance in China. So, you know, maybe slightly, you know, something that we have been discussing for a while, the opportunity from Chinese OEMs is something that we haven't been able to tap in yet. And this was supposed to be a starting point for doing something. So, are we still doing other things? Is there something that, you know, you can share as to how we could address this large opportunity of Chinese EV OEMs?
Vivek Vikram Singh : Yeah, so this one, as you know, I have to be very careful in answering for a variety of reasons, but for now, I think the opportunity in China, we will pursue with very high degree of caution . What we can do with our existing plant in China, we will continue to address, as you know, we have a plant there. What we can export from here to China, we'll continue to do. But obviously , if things change, there are certain factors, the lead indicators, if they could change, yes, I think there is a business rational e to do it again. That's why our engagement with JNT is still strong. We will pick it up where we left off, but some things on the ground have to change before that.
Moderator : Thank you. The next question goes to Gunjan. Hi, Ms. Gunjan, your line is unmuted. Please go ahead.
Gunjan Prithyani : Ok, good to have the business come back. Honestly, it's good to see the growth coming back in the business and, you know, best wishes that, you know, we get back to our earlier growth trajectory. I had two questions. Firstly, you know, Vivek, you always bring up the headwinds right up front. So, I also wanted to sort of hear your thoughts on two specific issues that we see cropping up. One is this whole Nexperia chips issue, how big , you know, you are picking up that as a risk to the LCV production and the al uminum plant

fire that has happened at the Novelis plant. I mean, I am just trying to get a guess, you know, get some sense from you. Are these risks from the next 3 to

6 months' perspective for our customers?
Vivek Vikram Singh : So, excellent question

, Gunjan, because these are both risks that have suddenly cropped up recently and did not affect us in the last quarter. We are still evaluating now. The Nexpe ria one is limited because, as you know, European customers' exposure, especially in the passenger vehicle segment , where this is there, is lower for us. Nexpe ria chips are used widely, but Europe seems to be far more affected than other geographies. We also in -house use some Nexpe ria chips, so our purchase team has been on it. However, the larger issue, as you know, always is if our customers cannot resource ; whatever we can do at our end does not really help because a 99% car has no value. Every part shoul d be there. So, we are monitoring it. For us, I would say it is not that big a risk because of the way we are exposed to and the kind of customers we're exposed to. Let's see. The Novelis Fire , of course, does have an impact on one of our larger customers. So, Sat, if you want to answer that one.
Sat Mohan Gupta : Novelis Fire is impacting the F-series truck for Ford Motor Company. There is definitely the production level that has gone down for all the models. We are primarily supplying for a series, which is a diesel series , and it's 250, 350, and F 650. So there is some impact, but it's not a major impact , what we are seeing. So the releases from the customer are very, it's not drastically, it came down, so there is some impact, but it's not a major impact.
Vivek Vikram Singh : Yeah, so good that both of these are low risk for us , given our exposure to what kind of customers, what kind of models, etc., but we are monitoring them actively. Are there any second -order effects of these? We can't tell so far, but we are on it.
Gunjan Prithyani : Ok, got it. And the second question is on the suspension system. You know, if you can just share a little bit more on how we should see this business revenue building up, you know, from one customer to now being nominated to a couple of more customers, and a lso just a clarification, why do you call it nomination and not an order when I mean . Is there something that I should be reading into the nomenclature?
Vivek Vikram Singh : Ok, because ClearMotion is our customer, and this is an order that ClearMotion has received, so the quantity has increased, hence that term, because it is not a direct order to us, right? ClearMotion has to supply. We supply to ClearMotion . So that's the nomenclature, not much to differentiate between direct and indirect. I think that revenue buildup will still take time. When you introduce a brand -new product that changes how old technology works, right? You have early adopters, you have one guy who actually sticks their neck ou t, develops it to ClearMotion . We have been working on this for 4 years, and the customer who did it first, N io. Then it starts with other people, after it is commercially launched, only then can they actually try to replicate. So, it's heartening that we have one more from N io itself and then one new

customer. But it will be gradual, and it will take time to go from that upper end niche EV vehicles to a more mass thing. It all changes when the first large volume customer comes, so it's kind of binary Gunjan, you know, when anybody who makes more than 1 or 2 million cars picks it up, that's when it genuinely starts taking off. So we don't know is what we can say at this point, but the day that happens, that's when the takeoff is almost vertical.
Kapil Singh : Got quite a few questions in the chat box. So I'll just read out some of those. Firstly, it's from Jinesh. He's asking about the Mexico plant. What is the visibility for ramp up of this plant? Do you plan to shift some programs from India to Mexico? And wh at is the revenue potential from this plant?
Vivek Vikram Singh : So, it is Vikram's baby, so let him answer

. He started this plant, and rightfully, the success of that plant should be answered by him. So, Vikram, over to you.
V Vikram Verma : Well, when we started, it was for a large OEM customer, originally ; that was how it was perceived, conceived, that project. Then we shifted some business because the customer wanted it. This is again the recreational

vehicle which Vivek spoke about. So we are in the present stage of productionizing those, which is the bus iness transferred from here. But, however, Mexico in itself is able to win business, and this is again coming from the same customer, but we see traction of many customers in North America and Mexico that they would like to develop from that plant. So that plant has a lot of potential to expand. We can't tell it as of now because as the equations keep changing. There, we will see. How it grows .
Vivek Vikram Singh : But I'll add to what Vikram said, Jinesh, to your question. It's a good one. If you remember when we actually announced the inauguration of this plant, I think it was April, May last year, we had actually said that this is not a defensive move against any trade realignment. This is an offensive move because each business unit or each plant that we set up , we like for it to be entrepreneurial and start building business, getting profits and earning revenue on its own. Their business deve lopment ha s to build the business for them , and it's not just a shifting thing. Shifting things around. I mean, sometimes it can be necessitated by external conditions, but that is not an ideal way to start a new investment because you have basically taken something from somewhere where your return was decent and put it somewhere else to justify the capex invested in the other place. I don't think there is currently any plan to shift anything. Equations, as you know, on the final tariff outcome, what will b e USMCA, will USMCA be respected? All those things are still unclear. But it is a good optionality to have this. What I keep saying is that if at low cost you can build an option that , if a really bad scenario emerges, can you shift in a pitch? Yes, we can. So that option we'll retake, but that's not the primary objective. The primary objective is for this to be a revenue and business generating unit of its own.
Kapil Singh : Ok. Another question is updates on NOVELIC product commercialization, and new product pipeline and roadmap for railways.

Vivek Vikram Singh : Sure. So NOVELIC , as you know, we have won an order. I think productionization should start in a couple of quarters that we will start to supply. So productionization, if any investor wants to visit us in our new SMT line in Chennai, we'll be very happy to show them how the production is happening. But the SOP of the customer has to start for serial production to start. New product pipeline and roadmap for railways, I will like for the new Head of Railway Business, Amit Mishra to answer . Amit, over to you.
Amit Mishra : Hi everyone. So on the railway, we spoke last quarter as well. So now we have spent about 5 months in the business. We are very optimistic about the potential that the business presents from a medium -term perspective. As of now, we are working on meeting t he demand, as you can see from the order book as well, there is order book, which is higher than what the business run rate is. So we have to scale up to meet the demand, which is, which is quite strong. Over the medium term, we have to add new products. W e are working on our existing product, adding new varieties of brakes, couplers, suspension, and then we have identified new areas where we'll enter from the next 3 to 5 year perspective. So we do see a strong growth potential and we have mapped out the ne w products, which will be a key driver of growth over the next 5 years.
Vivek Vikram Singh : And ag

ain, just to add to what Amit said, this is our, for the lack of a better word, playbook. Whenever we do an acquisition, If we don't bring value in building it into something more than it was, then why have we purchased it? So that's exactly the same thing we did with the motor business when we did Com star. It was a single -product company making starter motors. Today, as you know, it makes starter motors, it is the largest traction motor maker in India, it makes suspension motors, it makes controllers. So take a single product with this and try to make it multi -product, because that is all that we know. That is all that is there in our DNA. We are engineers who like to build new things.
Same thing we want to do in railways. It's early days. It's just been 4 months actually of full ownership. We are working on some products, and once

again, welcome to visit us in Faridabad , where we can show you our R&D facility and where we are actually in active development of at least 3 products. Some of them are finding good traction with our final customer, Indian Railways. Some of them have also got development orders, so it's going well, but that is the path re gardless of what we do. In NOVELIC too, we bought services business , which we are pivoting into a product business. It is what we know how to do. It is in our nature, and that is what we will continue to do.

Moderator : Hi, now move on to our next investor, Jayesh Sundar. Hi, Mr. Sundar, your line is unmuted. Please go ahead.

Jayesh Sundar : Good evening. Just continuing on the railway, you know, as you stated, 13 billion worth of orders are in hand. You know, the question is more a little longer term. I understand, you know, you completely stated that new

products also we are trying because you have a very large market share in brakes for Indian Railways. How much, you know, because you are enhancing your capacity as well there. So , can you talk about a little bit more on the potential here, because why I'm asking you this because this year also on the overall mix railway will look pretty decent, but next two years if, if growth is so strong and you are enhancing capacity as well, railway will also start growing at a very much faster pace. That's what I was able to understand from what Amit and you were articulating. So can you shed some light on, you know, both with respect to potential and even profitability, you know, because I rem ember when at the time of the acquisition, we were very clear that time that there's a lot of inefficiencies at the plant , and you know, there's a lot of scope for improvement in margins that can happen. So, if you can throw some light on that, that's my first question. And second.

Vivek Vikram Singh : Let me answer this one because the question is very long. I'll forget the question itself. So all the things you stated are correct. There are some low - hanging fruit in terms of the ability to improve margins. We are working on those. There is a larger opportunity to improve cash conversion cycles because I wouldn't call it inefficiencies, but the way automotive works and the way railways production works are differen t. We are trying to bring that rigor , that TQM approach, that theory o f constraints type reviews so that we can improve every week a little better than we were before. And there are enough areas that there is , I mean, there is enough juice left that we can squeeze out of this on the margin front. Growth should be robust. I think this is some of the constraints for achieving this growth are 100% in our country. And actually, that's a really heartening thing becau se in a lot of the other verticals we are, mostly we are affected by macros that we can just sit and worry about , but can do nothing about. I can't go sell cars on behalf of my customer. I can't change global trade policies. But h

ere, demand's not as big a constraint as it is in other spaces. I would say I'm immensely impressed by the Indian Railways, the Railways Bo ard, the RDSO teams, and their ability to grasp the advantages of new products, new technologies, and to give you opportunities to work with them, but we don't want to say too much too early. It's just four months since we owned it, but fingers crossed, to uch wood, whatever the other superstitions are there, but it looks really, really good. But Amit can add more because he is there every day, so he knows more than me.

Amit Mishra : Vivek covered most of the things. Most of the things in terms of products . Yes, today, a large part of our revenue comes from brakes , but we do have good market share even in couplers and suspension also, we may be the largest player in the country. So, we have other products. There are other products which are under development. It's being tested, put into trains for testing, and there is a cycle that it will be tested for 12 months . If it passes the test, then you get approval to supply in h igher volumes. Then there are products which are slightly early in terms of development, which we expect to come in the next 3 years. So at this point, we have very clear timeline set. And the way different products are positioned for commercialization, I think we should

deliver good growth over the next 5 years if we are successful in delivering or developing and getting approval for the new products. So it will be driven by new products, and we have a very good pipeline of products , both in our core segments of brakes as well as in the other segments that I talked about.
Jayesh Sundar : Ok. My second question is on the overall profitability because you stated in your opening remarks that one of your largest EV customers, which was 23%, came down below 7%. EV revenues in the first half declined very, you know, the percentage came down drastically. Despite that, your overall profitability margins are very steady. I mean, I can't compare you with any other company because you are still, I think, the highest profitable margin company in the country with respect to autos , but that is still very s teady, at 25% plus. How one should think about these, these profitability aspect s, despite facing so much pressure on the revenue side, on your largest customer side, you know, we haven't seen the deterioration which could be a 10% margin company or a 12% margin company could have faced. So if you can articulate a little bit on that, that would be very helpful. That's my last question.
Vivek Vikram Singh : Sure, so pressure is a privilege, man. Like, pressure is only on people who are capable , and you expect things from them, right? If there are low expectations or low capability, there is very low pressure, and you can live a more peaceful life. So it takes a lot of doing. So if you see a duck in a pond, it seems as if it's gliding effortlessl y, same margins all the time, but, you know, it's paddling furiously under the surface. There is a lot of work that goes into it. In every single process, there is some room to improve . Even after 25 years of doing the same thing over and over again , we are finding new areas where we can lower costs. Prices, you can't really manage, right? Prices are set by your competitors. What you can do is manage your house better. And that is a continual process. Every week, every day, every year, you have to keep getting better. I would share one example. Actually, Vikram, you should share about the d ie life improvement and how it has resulted in just the cost going down for all our years.
V Vikram Verma : Well, we have been using a particular process technology for many years. And it had certain d ie life, and however, we said, ok, this is unacceptable, as of now, maybe acceptable quality , but we wanted to go

2 steps above the
quality in a gear is defined by certain ISO standards or DIN standards . We wanted to up our quality standard by 2, and for that , you are required to change processes. So while the straight method is , you make it at much colder temperature, the accuracy is improved. However, it is detrimental to both machine size, the machine size goes up and the d ie life reduces. However, we have to find a way that both things are achievable. So I think that it took last 6 months or more than a year actually to collecting various data because the forging is not so straightforward like machini ng. There are 100 more parameters which affect the life and the quality. So the team is always on to improve quality. And improving the d ie life by which the cost comes down. So that's the DNA of what we do. So that every year we have something.

Vivek Vikram Singh : So that's one example. Same thing I'll say in motors. Can you use less material, less process time to make the same product? And that's a challenge we pose to ourselves in every single aspect of what we do. And if you do follow it, you can maintain over th e longer term, but yes, there is a lot of pressure. You know, our higher margin markets are declining because of the entire situation that we have. But again, if the core fundamental technology with which you make your products, all th e processes, all the knowledge of the material is with you. You can keep working on each of those elements for constant improvement, which is what we try to do. Can you change the metallurgy? Can you change materials? This drive or this zeal to improve is why we are able to. I mean, 8th April, heavy rare earths got banned. We shifted to light within 3 months. Now lights may have a problem. We have shifted to ferrite. So it is basically that zeal that if you know how to do every step of it yourself, you can move much faster, and we know that there are pressures as a company , that there are market pressures, which means we will focus more inwards on cost improvement activities. And cost improvement doesn't mean, you know, the normal consultant way of saying, fire people, shut down plant, those kinds of things. It comes from improving how you make everything that you make every day. Use less material, use less time, use less machines. So that's, I guess , a very long answer. And a philosophical one, to probably a more financial question.

Kapil Singh : Thanks. I'll take a few questions , Vivek, from the chat box. So first is, can you elaborate on the composition of this order book? What is the current status and ramp -up timeline for EV programs? And how much of these will go into production in FY26 and FY27?

Vivek Vikram Singh : Yeah, I think the breakup is there on the slide . We can go back to the slide, Pratik, I think we gave the breakup pretty transparently. Yeah, this is the breakup. EV , within EV, how much is passenger vehicle , How much is two - wheeler, three -wheeler, CV , off high way, customers and programs. All of that is actually in this chart. We do not give future guidance. And if I tell you how much of these programs are going into FY26, it literally means I'm telling you how FY26 ends and FY27 ends. So we don't do that for a lot of reasons. Second, very short -term questions are not good either for people who are looking to invest for the long term or for companies who are looking to build businesses over the long term. I mean, all of us have been here for a decade plus, right , who run the company. Vikram has been here for much longer. We can't be allowed to think only in terms of what goes into order next quarter , or FY26 has only two quarters left. So, I apologize, but this is not a question I think should be asked of any company that is looking to grow a business and build a business and probably make an institution, for the longer term.

Kapil Singh : Ok. Then another question is, revenue ex of Railway Business has moved to 5% growth YoY as compared to a 10% drop last quarter. This has been driven by traction motors and other segments. Others is now 9% of enlarged revenue base versus 5% Q over Q. What does this include?

Vivek Vikram Singh : Others is all the other products that are not here because railways also, as you know, has some other products apart from the three main ones. Motors also, there are other products apart from the three main ones. In drivelines specifically, there are now m any types of gears and driveline parts that we can't classify technically as differential gears or differential assembly. I think, I think, if you go back to that slide, I can illustrate better. Yeah, the product mix slide? So it's not like this number was small, ever, but we are increasing as the pressure comes on traditional product because if your existing customers don't sell enough vehicles, you have to start also making new things for either existing customers or new customers. So that is, others of all the divisions, put together, I would not have the exact breakup of that others with me right now. But anything that is beyond the eight main product categories is in that. We have, I think, about 20 products, so 12 will be in that.

Kapil Singh : Ok, one more question is, if we are deducting 2 ,600 crores from order book due to low visibility, then we may also debit some order s quantity in future also.

Vivek Vikram Singh : Of course . The future is always unknowable, but we have done a review. This, I think , one needs to do every 3 years or so. But can it happen after 3 years again? Sure, it can. For the first 10 years of my career, almost never we had the opportunity to correct or, any reason to correct because almost always things used to happen in automotive is fairly predictable. This last few months, and some of those models have been exceptional events, w hich is why we

have done it. But can something like this happen in the future? Of course, there is literally no guarantee of nothing adverse ever happening in the future. So it can, of course.
Kapil Singh : Thanks. Would it be possible to share some color on the nature of acquisition opportunities that are being pursued actively by the company?
Vivek Vikram Singh : No. It's as you know, I don't even think it's allowed. It is UPSI and all that, so I don't think I can talk about it. What we can say is the general nature that it will be in the mobility segment. It will follow the four guidelines that we always do. It sh ould be something, anything that we try to acquire , should have visibility that that product will be in a mobility device for at least 15 years. That is all we can try to estimate the future for. Second, filter, which is that whatever we do, we should have the ability to have market leadership in, which means top 5 in the world, hopefully, or if not, whichever product category we are going for in that absolute leadership like Brakes says we are leaders in India, maybe perhaps top 5 in the world too, but I, I cannot say with full confidence. We'll have to get the data for that. Third, It should make good money for us. So we have financial thresholds , also of expected return, expected margin. There is a curve on which it should fall. And last, it should be something that is good for humanity. So, something that has no other purpose than, well, have negative impact on humanity. We will not pursue so highly polluting processes a nd industries, weapons, these are things we do not foresee us ever looking at. So that same criteria we will use, but exact opportunities, I don't think we should share.

Kapil Singh : Vivek, there's a question on hybrids with many OEMs in India and globally talking ab

out hybrids. Why is the company not talking about hybrid motors it used to show?
Vivek Vikram Singh : So we are, I mean, it's in our mix. Hybrid is one of our bigger mixes. Hybrid's good for us, I think. I saw this question a couple of weeks, a couple of quarters back also, someone asked us, actually, in a plug -in hybrid, our value content per vehicle is t he highest. We, we would be very happy if more hybrids come into place. IC is where we make less money. Hybrid is actually most because it also has a starter as well as a traction motor, and the differential assembly is primed to the highest torque drivetr ain. So it will be more primed towards the electric side of it. But it is a decent part of our revenue even now. Again, Pratik, you'll have to go to the Power mix chart. I think it's in the appendix. I think it'd be, I think, 2nd or 3rd slide in the append ix. Oh, there this time. Oh, Ok, I think we moved it to the appendix because there was usually nothing to report, but I think we missed it. But, can you just share with the people on the call what it is, the hybrid share.
Pratik Sachan : Yeah, just. I'll take a second. I'll get back.
Vivek Vikram Singh : Sure, but it will be robust. There's not much change in it. Uh, it might have grown actually.
Kapil Singh : Ok, Vivek, there's a question on the margins with regard to margins. They are on a downward trajectory. Want to understand what is the baseline to expect with impetus on growing India and the Eastern markets. Are they on a downward trajectory though?
Vivek Vikram Singh : Are they on a downward trajectory though? I think, I think they're on an upward trajectory, but Ok, I think this is a question that, see, when you take, this is just a mathematical thing. This is the first quarter with railway integration. If you take a 26 -27% EBITDA business, and that is 80% of revenue , and you add 20% of a EBITDA business , which is 20% of revenue, the margins will go down, in percentage terms. So we have added a full quarter of the railway business which is obviously lower margin. So the margin profile will shift downward. I think the question, the more likely question should have been, how is it still above 25% rather than how is it on a downward trend, because it isn't. I think last quarter, I had said, I had answere d this question that where do you expect it to be? And I think I'd said in the range of 23 to 25. And in just this quarter, we've actually done higher than that. But I would say that is the range, 24 -25%, and that is our target. Even when we listed, we used to say

that between 25 to 27 is our target. Post this acquisition, I'd say between 24 to 26 is what we try to do.
Kapil Singh : Ok. There, there's a set of questions which talks about the ownership of jointly developed technologies with external partners. How is the ownership determined and what are the explicit criteria to allocate patent rights? And how are joint innovations manage d to ensure fair and clear intellectual property protection on both sides? And I think there's a related question for

it's for other mobility offerings like suspension systems, powertrains, creating tangible cross -platform benefits for performance automation and product adaptability. So, basically, how will the company leverage the technical expertise it has gained from i ts robotics partnerships?
Vivek Vikram Singh : We don't have any JV partnerships, so I was struggling to figure out how to answer it because I don't think any of the partnerships, the two we did with Enedym or Equipmake have been commercialized, so there is no aspect of sharing of the technology or what revenue accrues where. Most of the products we do, or almost all that what we do is basically in -house technology only. With Neura, that is something to be still worked o ut. There is a concept of background and foreground I

P that bot h sides keep the background IP or the core process with which we develop their part of it. And then the foreground IP, the application of what you have developed belongs either to the customer or to one of you, depending on who is the prime agent and prime buyer , so it is very well articulated right at the start, and mostly these are things covered in the partnership agreements. So whenever we do sign binding contracts, this will be part of it. This is one of the, I would say main areas of discussion and ne gotiation: who does what, who takes credit for what, who gets the IP rights for what, and then how is the revenue attributed to each party. And obviously, in a good partnership, we try to do it in a fair and equitable manner. So we try to do it for all. Ri ght now, I don't think we have much of those kind of cases.
Moderator : Thank you so much. Now we take the last question.
Pratik Sachan : The answer to that hybrid question, basically we have 24% revenue share of automotive products from hybrids.
Vivek Vikram Singh: So, thank you. And Pra tik, just keep that slide in the appendix, in general, because I know it doesn't change that much quarter on quarter, but if you keep it in the appendix, I think people can see exactly what the split is in power trends.
Moderator : Yeah, so now, we will take the last questions. Hi, Jay. Hi your mic is unmuted. Please go ahead. Thank you.
Jay Kale : So my first question is on the suspension motor business. You know, there is a significant amount of time available over there and it's heartening to see new business wins from new customers but if you can just speak a little bit about whether there are an y conversations with ICE customers. You've mentioned about auto wins with electric PVs, but are, are ICE customers also actively looking at it?
Vivek Vikram Singh : Excellent question, Jay. Actually, suspension has nothing to do with the powertrain, right? So, both kinds of customers are engaged. However, what is happening is most people's new launches, which are coming, let's say one year later or two years later, happen to be EV because even now, I think there's this, there's a B ofA mobility newsletter that comes out. So I saw the

August numbers. EV growth was still pretty high. I think it was 38%. Europe is again going quite fast towards electrification. So what is happening is that if you want to integrate a new suspension in a vehicle platform, you would not like to do it on an e xisting thing because you don't want to change the assembly stations, etc. So you would want to do it in a new model. And new models are invariably electric for a lot of people, which is the reason. So it's not like we're not engaged with ICE customers. Th e orders or inquiries we get are for EV, but it has zero bearing on the nature of the product.

Jay Kale : The second question is on, on the Humanoid Robots. Of course, it's still a nascent industry and the supply chain is still getting developed. There will always be a time of a J-curve , hitting in your planning and discussions with your customers. when do you see that J-curve hitting and maybe in 5 years down the line, how big an opportunity do you see in terms of the contribution of this business to your revenues?

Vivek Vikram Singh : So Jay, I, I would say let's broaden the definition just to humanoid. Humanoid is the shiny, human -looking face of the robotics movement, but the real volumes are in cobots and industrial robots. By cobots, I mean cognitive robots like robots assisting people in surgeries, people on floors, so many areas. That number is actually much higher. So if you just look at TAM, that number, if you look at a five -year horizon, will be much higher. If you look at a fifteen -year horizon is when humanoid TAM exceeds pro bably even those ones. For us , it's both because almost every

thing that we do, we do motors,
we do gears, and we do sensors. Together they form the core of almost every joint and joint in movement, basically how many degrees of movement and how many can you enable intelligently. That's a lot more in humanoids, so the number increases, but it is applicable for all robotic categories. I would still say, I don't think one should try to, whene ver an investor is looking to make a business case, add too much of i t in 3 to 4 years. It will take a lot. I mean, if you just go by my own lived example of 2016, we started investing and doing things with EV drivetrains. We really made money five years later in 2021 for the first time, and even then it wasn't much. Now is when we really make money. So first 3-4 years, you'll make almost nothing. Suspension motor, another example. In 2021, we started developing first samples, etc. In 25, we started making decent money, but in 28-30 is when you make really big money. That st arts becoming a category in your pie chart instead of just going and sitting in others. It actually becomes something. So, 0 to 5 to get to good or some revenue, and 5 to 10 to go to massive revenue. That's usually the scale.

I believe humanoids plus cobots as an industry in 2040 might be bigger than the entire automotive sector put together. So, it is an opportunity. I'm fortunately 46, so I have at least 15 years, so I can see that thing happening. And it's great that you can see 2 new industries and technologies pan out in your lifetime. So that's the goal , but if anybody, and especially the people who asked me about what does FY26 look like, the second quarter look like, Yeah, do not build it in your business case for the ne xt quarters or next 2 or 3 years. It is not going to mean anything. It's an investment in learning. It's an

investment in capability building. And it's an investment, hopefully, that builds us a much, much brighter future.

Jay Kale : Got it , and just one last question, you know, it's heartening to see your ferrite -assisted synchronous reluctance motor development, but just curious, you know, of course, there would be certain inherent advantages of rare earth, I mean , the heavy rare earth metals developed motors. So are there limitations of ferrite -assisted synchronous motors behind us, or we are still in the development curve? Because if it was so easy, it could have, should have been developed earlier as well, right? So there would definitel y be some disadvantages of these kind of motors which there will be a development curve.

Vivek Vikram Singh : So Jay, and I, because I know you and I know how closely you track us, we launched this first in 2022. That was the first time. We didn't find much customer traction because when an easier alternative is available, even if you make something innovative, pe ople don't switch to it. There is an inherent disadvantage that the weight is higher, not by much, but the weight is higher. There are some other things, Sat or Praveen, actually, you can speak about

it. But in those intervening 3.5 ye ars, we have improved a lot more. And at that time, I think we were not using synchronous reluctance. We were using some other technology, but using ferrite magnet. But Praveen or Sat, whoever wants to take this can talk about this more.
Praveen Rao : Thanks, Vivek. So, in general, you're right, the rare earth magnets have a higher power density , and therefore, it can give you torque density as well. But when we look at ferrite, it has an inherent advantage in that the temperature -related degradation is not there, like you see in the rare earth magnet motors. So , that advantage we have been able to leverage to take care of the power density and therefore the disadvantage in terms of weight increase, which Vivek talked about. So barring the , you know, overall weight increase, we have b

een able to more or less compensate the disadvantage that we would have moving from PMSM with the rare earth to a ferrite assisted synchronous machine. So overall, you know, in most applications, you can offer this as a comparable product, and therefore, it can be a good replacement. So that's a short answer, but, we are working with all t he applications right from as we mentioned three wheeler, LCV, two wheeler, and, you know, all the segments. So we will have to work towards achieving a good balance between packaging weight, um, the specific requirements in terms of torque and power.
Vivek Vikram Singh : I think that Praveen forgot to mention because he is obviously concerned about customers who listen to this, that the cost is lower. And, that Jay accounts for a lot. Its lower cost can make up for a lot of things.
Jay Kale : Great, great. Thanks, thanks and all the best for yourselves.
Praveen Rao : Thank you. Thanks, Jay.

Moderator : In the interest of time, we will conclude the call now. If you have any further questions, please feel free to email your nominal sales rep or corporate access. Thank you once again everyone for your time. You may drop off the line now. Thank you so much. Thank you. Thank you. Thank you. Everyone. Yeah. Have a good evening. Bye.

Call: Jan 2026

Date: 31st January , 202 6

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter and nine months ended on 3 1st December , 2025.
Dear Sir / Madam,
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor Call held on Friday, 23
th January, 2026 on the financial result of the
Company for the quarter and nine months ended on 3 1st Dece mber , 2025.

The transcript will also available on the website of the Company at
https://sonacomstar.com/investor/investor -presentations

This is for your information and further dissemination.

Thanking you,
For Sona BLW Precision Forgings Limited

Ajay Pratap Singh
Senior Vice President - Group General Counsel ,
Company Secretary and Compliance Officer

Enclosed as above; BSE Ltd.
Regd. Office: Floor - 25,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai -400 001. National Stock Exchange of India Ltd.
Listing Deptt., Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051
BSE Scrip Code: 543300 NSE Scrip : SONACOMS

SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q3 FY26 Earnings Conference Call Transcript
January 23, 2026
The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

https://sonacomstar.com/investor/investor -presentations

Moderator : Good day, ladies and gentlemen . Welcome to Sona Comstar's Q3 FY26 earnings group conference call. Please note that all participant lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. We request that you place your lines on mute except when aski ng question.
Slide 2:
Some of the statements by the management team in today's conference call may be forward -looking in nature, and we request you to refer to the disclaimer in the earnings presentation for further details. The management will also not be taking any specific c ustomer -related questions or confirming or denying any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in your questions.
Now, I'll hand over the floor to Mr. Kapil Singh, Deputy Head of Research, India, and Lead Autos Analyst at Nomura . Kapil, please go ahead.
Slide 3:
Kapil Singh : Good evening , everyone. Thank you for joining this call for Q3FY26 results of

Sona Comstar. Today, we have, the entire management team represented by, Mr. Vivek Vikram Singh - MD and Group CEO, Mr. Vikram Verma - CEO of Driveline Business, Mr. Sat Mohan Gupta - CEO of Motor Business, Mr. Praveen Rao - Group CTO, Mr. Rohit Nanda - Group CFO, Mr. Amit Mishra - Head Railway Business, Mr. Pratik Sachan - Head Strategy and M&A, and Mr. Ankit Agrawal from the Investors relations team. Vivek, I will hand over the call to you for opening remarks and the presentation .

Slide 4:

Vivek Vikram Singh: Thank you, Kapil, and Happy Basant Panchami and welcome everyone to the earning call of Q3. This has been our best quarter ever across all financial metrics, and proud to report that we have for the first time crossed 1,200 Crore in quarterly revenue and 300 Crore in quarterly EBITDA, and this is the

first time we have achieved this milestone. But as has always been our policy when talking to our shareholders, we'll begin with the challenges.

So first, China's restrictions on the supply of heavy rare earth magnets to India continues. In response, we have shifted to alternative motor designs that do not use heavy rare earth magnets. We are now manufacturing motors for electric two -wheelers and three- wheelers using light rare earth magnets, and this business has continued to grow very strongly for us. Secondly, uncertainties around US tariffs persisted, during the quarter. However, on a positive note, the US administration has extended the tariff relief related to USMCA content for 5 years, to medium and heavy duty vehicles as well. This was previously only confined to light vehicles, so we believe that this should further moderate the impact of tariffs on exporters.

Now coming to the good news, which, as is usually the case, far outweighs the bad. So first, business recovery has been very sharp and well ahead of our own expectations, frankly. Just two quarters ago, I had called Q1 as our worst quarter since IPO, and t oday we are delivering our best quarter and meaningfully best quarter. So Q3 is our highest revenue, highest absolute EBITDA, and highest adjusted PAT, excluding the one -time labor code -related costs that we have taken in our books this quarter. Secondly, amongst all doom and gloom about EV, EV revenues increased materially, this quarter. This was the 2nd best quarter ever by both BEV revenue and BEV revenue share. This is especially noteworthy in a quarter when North America EV volumes saw big declines sequentially as well as year on year. Third, while the market remains focused on global volatility and potential demand disruption, our order pipeline tells us a very different story.

Our current RFQ pipeline is the strongest in the history of the company, and almost 3 times compared to the same time last year. What it means is the pace of new inquiries is the highest we have ever seen since COVID. This reinforces the hypothesis, that I laid out last quarter of anti -fragility, that we have built a business that tends to emerge stronger from these periods of disorder. We saw this during COVID, and we see signs of that happening again this time around. Fourth, slightly philosophical point, but scale usually creates, or at least suppose to create strength. But what it often does is that it creates a rigidity in businesses. And scale companies with dominant product lines, catering to large geographies, usually find it really hard to pivot.

I mean, to pivot in a short time is hard by itself. It is even harder to do so while maintaining growth, and it is the hardest to pivot while maintaining both growth and margins .

And over the last 9 months, we have done exactly that. North America, which was the largest market in FY25, has nearly halved for us. While India has doubled in our revenue mix, and we have achieved this without sacrificing growth or margins, and I'm excep tionally proud of our management team that has pivoted hard at scale and did it without that much pain. Lastly, R&D is, of course, one of our clearest priorities. And since acquiring the railway business, we have re -engineered its R&D roadmap. We have strengthened

the R&D team, and I like to use the word embedded Sona's R&D first culture into the business. And in a really short span of time, we've already added a new product, Air Springs, to our product roadmap. Which, in a commercial way will be, I'd say it will qu adruple the addressable market for us in suspension systems. This is obviously for rolling stock in India. Even beyond railways, we commissioned a new product in our motor division, the Hydraulic Motor Controller. We did this during this quar

ter.
Slide 5:
Next, coming to our performance, in the last quarter, in financial terms, our revenue grew by 39%, year on year, while EBITDA, an d adjusted net profit, increased by 30% and 20% respectively.
And I'll pause here, to personally thank Vikram, Sat, Amit, and Rohit and their teams, for this performance. I mean, at a time when many of the global auto component industry peers and bigger companies are talking about weak demand and margin compression, delivering strong growth while sustaining margin at 25% level is a commendable achievement, at least I believe that.
Now moving to BEVs, this was a very strong quarter for EV business. BEV revenues grew 21%, quarter on quarter. And the mix has expanded to 38% in Q3 from 32% in Q2. This was our second highest level till date. And the key thing to note is that this came de spite a very sharp decline in the North America EV market . Volumes in the North America EV market fell 45% quarter on quarter. Even on a year -on-year basis, our BEV revenues have largely held up. I know this is 3% down. This is despite North America, which is the second largest EV market, the volumes declined sharply, 36% year on year. So this speaks about the strength of our execution and the diversification of our EV model, that map, which is now in the appendix on how many programs across how many geogra phies and how many customers. That diversification is what helps us maintain this rate.
Slide 6:
Coming to nine months, despite the painful, painful low of Quarter 1, we are increasing sequentially, and our financial results for the 1st 9 months of FY 26 have also strengthened compared to H1. For 9 months, revenue growth is at 19%, while EBIT DA and PAT have increased by 8% and 9% year on year respectively. Most importantly, margins have remained robust at almost a 25% level. As this quarter also marks the end of the calendar year, we have, as is our practice, reviewed our global market shares, and desp ite the ongoing shifts in trade dynamics, tariff -related uncertainties, we broadly held on to our market share in both differential gears and starter motors. While maintaining margins in our core business. The marginal movement at a global level was largel y mix driven, as the incremental light vehicle production growth in CY25 was actually disproportionately led by China, where obviously we have minimal presence.

If we were to exclude China, we've actually gained market share in differential gears for CY 25 for the rest of the world . Especially Europe, and I would say even North America , let's see how things develop , but in my view, we have the potential to increase this market share quite robustly in the next few years from what we are seeing in our RFQ pipeline and the market in general, given competitors and their financial situation right now.
Slide 9:
So now moving to our first strategic priority, which is Electrification. Our BEV revenue share continues to improve to 33% in the nine -month period. This was 30% in H1. Although, on a year -on-year basis, it has declined modestly, because of the weak Q1 and the last quarterly call, I think I've mentioned that there is one model that has really hurt us in this space. That said, we continue to add new EV customers and new EV programs for our existing EV customers.
So during this quarter, we added two new orders, one from an existing customer for a new variant of electric scooters, two -wheelers. And another from a new customer for the hydraulic motor controller, which was developed this quarter. Praveen will discuss this in more detail in his
presentation. So now we have 64 programs in EV across 33 customers. Of these, 33 programs are in production, while the remaining 31 are yet to enter production.
Slide 11:
This brings me to our net order book. The order book remained broadly stable

sequentially, as new orde

r wins were offset by order consumption. Q3
generally is a little sluggish for purchase order awards because as you know, from 15 th December to 15th January, most of the Western world is not really actively engaged at work, so less opportunities to convert RFQs to POs. And although we did not announce any large orders this quarter, engagement from European OEMs and T ier-1s has picked up meaningfully. Like I mentioned, I think in the last quarterly call, as well as the one before that, our European competitors, quite a few of them are facing significant financial difficulties. And a large part of the increase in our BD pipeline, almost 1/3rd of that I shared in my opening remarks, 1/3rd of that comes from Europe customers now. To sum it up, at the end of Q3 FY26, our net order book stands at ■235 billion and the EV portion remains high at 71% of the order book.
Slide 1 3:
Our 4th strategic priority is Diversification. And this is an area where we've seen tangible progress. Profitable pivots, as I mentioned, at scale are very rare in the auto industry. And we are executing one at pace without compromising growth or margins. Diversification, those of you who've watched us since our IPO has always been a core pillar of our anti- fragility strategy, and it's clearly visible across geography, products, market

segments, as well as customers. There is a, I'd say, common perception, widely held by analysts, that a higher India mix basically means very high margin dilution. Our Q3 results will, I hope at least clearly challenge this view. The share of our India bus iness has increased to 55% in Q3. Even as consolidated margins continue to remain at the 25% mark. When I wrote about a new “L ook East” view in our annual report, it wasn't just words that I was trying to take off the time and try to do because the US tari ffs were there. We had taken actions, and the result of the action is visible in just three quarters. So if you look at our geographic mix today, it has broadened quite meaningfully. Eastern markets today can account for 58% of total revenues. This was 33% last year. So this kind of reinforces our belief that in the world that we live in today, diversification, revenue growth, and margin resilience can co-exist if there is a management team that can execute this with competence.
If you look at the market segment front as well, diversification has accelerated quite strongly. The share of non -automotive revenues from 9% in FY25 today is 31% in the first nine months of this year. Off highway has been a bright spot, I must add, with robust growth across all geographies, tractors have done fairly well. Coming to the product side, our fastest growing segment this quarter were EV traction motors and railway brake systems. This you can see in the product mix change. We also saw strong grow th in the others category. This includes a range of emerging products such as steering bevel box, intermediate gears, epicyclic gear trains, input rotor shafts, and many, many other motor and railway products. And this category is expected to keep growing as we add new products in this category like hydraulic motor controllers that we've added this quarter. So that's all for me. And now I turn to our Group CTO, Praveen, to update us on technology . So over to you, Praveen.
Slide 15:
Praveen Rao: Thank you, Vivek. Good evening, ladies and gentlemen .
What you see in front of you is a familiar road map, but ever growing and getting busy. As a technology -focused organization, we at Sona Comstar continue to strengthen our roadmap with new and exciting products. Our goal in this process continues to be to increase content per vehicle as we graduate from pure components to subsystems to eventually complete systems. So this quarter we are very happy to report the addition of two new products to our roadmap.
The fi

rst one, which you see on the left in the dotted circle, is the air springs for railway coaches. These air springs have become an important part of modern railway coaches. They provide enhanced passenger comfort and

ride quality through superior cush ioning. The addition of this product opens
opportunities in a growing segment of high -speed trains, including Rajdhani,
Shatabdi, Vande Bharat, and Amrit Bharat. The addition of these air springs

also makes Sona Comstar, a comprehensive suspension system provider to
the railways.
The 2nd product which you see on the right -side top is the integrated
hydraulic motor and controller for farm equipment. This compact motor with
integrated electronics operates the hydraulic pump, which aids in lifting farm
equipment, as well as in steering, braking, and other auxiliary functions. This
product will enhance our offering to the farm sector, where we already provide the traction motor and controller to leading OEMs. Next, please.

Slide 16:

The recent government notification on implementation of ADAS systems for
M2, M3, N2, and N3 class of vehicles, or commonly known as medium and
heavy commercial vehicles, assume significance for Sona Comstar. The
graphic captures our foray into both in -cabi n and exterior ADAS solutions. As
you're aware, our sensors and software vertical, N OVELIC, is pioneer in the
field of millimeter wave radar solutions, and we have set up a state of the art
production facility in Chennai for an already awarded business. This in -cabin
radar product has been further augmented with a vision system to address
the mandates covered under D DAWS as you see on the slide as per A IS 184
regulation. This integrated offering will make a comprehensive solution in the
domain of driver monitoring systems to the OEMs.
On the right, what you see is our unique 180 -degree field of view exterior
radar solutions. And they provide an opportunity for OEMs to replace up to
12 traditional ultrasonic sensors and 4 corner radars, with our just 4 radar
sensors. While addressing all the mandates under the new regulations,
including Blind Spot Information Systems, Moving Off Information Systems,
AEBS and LDWS, Sona Comstar will continue to leverage these breakthrough products to play a meaningful role in the growing ADAS market in India.
Thank you and over to you Rohit

Slide 18:

Rohit Nanda : Thank you, Praveen. A very good day to you all. It's my pleasure to share our
third quarter and nine -month results for the financial year 2026 with you .
The quarter gone by has been the best quarter for the company, wherein
for the very first time we've clocked revenue in excess of 1 ,200 crores and
EBITDA in excess of 300 crores. Our revenue for the quarter was 1,209 c rores,
which is a 39% growth over the same quarter last year. BEV revenue was 320
crores which is 38% of our automotive revenue and is lower by 3% year on
year. EBITDA for the quarter was 305 crores, which is a growth of 30% over the same quarter last year. Our EBITDA margin was 25.2% for the quarter.
Compared to the same quarter last year, it is lower by 1.8%, mainly because of change in the product mix. At profit after tax level, as you all know, there
are new labour codes which have been notified by the government and are

effective from 21st November 2025. Our profit after tax for this quarter had a
one-time impact of ■30 crore from these newly introduced labor codes,
mainly on account of additional gratuity provision and to a small extent because of additional leave encashment provision. Once we adjust our
profit after tax for this exceptional cost, our PAT was 181 crores, which is a
growth of 20% over the third quarter of last year. Our adjusted PAT margin
was lower by 2.5% because of lower EBITDA margin and lower net fina nce
income,

despite lower depreciation costs as a percentage of revenue.

Slide 19:

Coming to the nine -month results. Next slide, please. Our revenue for the
nine -month period aggregated 3,203 crores, which is a growth of 19% over
the same period last year. BEV revenue was 795 crores, which is 33% of our
automotive revenue and is lowered by 14% year on year. Nine -month EBITDA

was 796 crores, which is a growth of 8% over the last year, and EBITDA margin was 24.9%, which is lower by about 2.7% compared to the same period last
year, mainly because of change in the product mix. Adjusted for th e one -
time impact of the new labor code which I just spoke about, profit after tax
for the nine months has grown by 9% and stands at 478 cr. Our PAT margin is
lower by 1.4% due to lower EBITDA margin, despite lower depreciation cost.
Slide 20:
This brings us to the last slide, which is on key ratios. As I have explained in the
last quarter also, different cost and working capital structure of the railway
business is flowing through our key ratios that you see on the screen for the
current financ ial year, like value addition to employee cost and turnover
ratios in the current year when compared to the earlier years. But compared to what we reported last quarter, there are no material changes because
last quarter itself had the impact of railway business already included. However, our return on equity ratio has slightly improved from the last quarter
as deployment of capital in the railway business starts to bring in an
incremental positive impact compared to the finance income which it has
substit uted in the P&L account.
In the end, there's an additional piece of information that I'm glad to share
with you, which is that we have received our first year PLI benefit from the
government during the month of January. So that completes our first cycle
of PLI income booking and c onversion of it into cash flow. With this, we have
come to the end of our earnings presentation, and I'll now hand the proceedings back to the Nomura team.
Moderator: We will now open the floor for the Q&A session. If you wish to raise a question,
please use the raise hand function located at the bottom right of the Webex
page. We will unmute your line and prompt you to speak, or you may submit
your question via Q&A cha t box, addressing all panelists. Please remember
to keep your question to a maximum of 2 questions. If you have more

questions, please return to the queue. Thank you. We have a question from
Amyn Pirani. Amyn, p lease go ahead.
Kapil Singh : I think Sneha, we are not able to see him. By the time we figure this out, if you
don't mind, I'll ask a question, by the time we get the queue in order. Vivek,
you know, you have consolidated the railway business during the year, and,
some of the investors were trying to assess the performance of the business,
excluding the railway business as well. So how should we think about this?
What is the right framework according to you to evaluate this?
Vivek Vikram Singh : It's a relevant question. Perhaps even an important one. But, and I hate to disagree, but I usually don't disagree with you, but I have to on this point. So
we don't think excluding railways or any business that is a BU now is a way to
assess management or company performance. I mean, Acquiring the
railway business was a strategic capital allocation decision. And the key test
for us is quite simple, right? That whether it has added to EPS or has it not. I
mean, if you look at it fundamentally, the two bigge st roles of any
management team has and across businesses, right, is generating cash and then deploying that cash. If the cash deployed returns higher money than
simply holding it or returning it to shareholders, then the management has
done their job well. And there are only 2 things you can control while making
these d

ecisions, the timing of the capital deployment, in this case, an acquisition, and the price paid for it. So, let me try and illustrate. Pratik, can
you go to the appendix and put that chart which shows our 25- year growth
journey. Yeah, this one. Okay. So there are 2 years, right, that we've done
meaningful acquisitions of size . The motor business, which we acquired in
FY20, that's on your slide there, and the railway business in FY26. If we had not
taken those decisions, today, we would be a driveline company only in
perhaps half the size of what we are today. And even more importantly, if
you look at those years, those years were also the ones where our growth
would have been lower or even fa r lower than our average growth rate. So
both times we were able to time the acquisitions right for cash flows to flow in at the right time. And add to the business, and both times, we were able
to do it at a price that made it return accretive . I mean, you and everybody
on this call would know the statistic of how many acquisitions succeed versus

how many failed. If you look at what we have done and what has happened in subsequent years, so the flip in growth after FY20 came because of that acquisition, an d then both engines started firing. The goal is that once you develop a flywheel that generates a good amount of cash flow, that you're confident can stably and sustainably keep throwing up cash, you take that extra cash and deploy it, ideally, in another flywheel, not just a plug -in place, something that just adds a gap, something that becomes another flywheel and then generates or throws up even more cash flow, and you keep building on that. So now, after 7 months, I can proudly say that all 3 businesses of ours are long -term sustainable cash flow machines that will keep adding to our cash file. So, yeah, in summary, so what matters to us, at least as a management team with a 15 -year outlook, is whether capital has been deployed at the right price and the right time, in a way that improves both

earnings quality as well as earnings stability, rather than how growth appears on ex-railway or ex -motor basis. And not to forget, I mean, railway also adds meaningful diversification beyond automotive. This is fully aligned with our long -term strategy, and often repeated stated goals. And, I mean, going forward, very, very high probability that we will add another BU . We are keeping our powder dry and with a strong balance sheet and I don't know, 1,000 or 1,100 crores of cash sitting with us. We are likely to continue deploying capital prudently, wherever we feel that there is clear earnings accretion and strategic fit. So, 10 years later, when you look back at us, how will you judge that? What should I exclude and what should I include? We are an evolving company. We are a growing company. We will keep becoming something else from what we are today.

Kapil Singh : Fair enough. Thank you. Just one, last question from my side is on the new products that we have showcased, more on the, ADAS opportunity. Could you elaborate a little bit on this? Are we going to supply only the radars, or are we going to be system integr ators? And what is the value proposition that we offer? Is there a competitive advantage here compared to what is available in the market today? Just trying to get a sense of what could be the TAM.

Vivek Vikram Singh : TAM's pretty big, but we will focus only on the radar module. I'll be honest, we can either be T ier-1 to other large system integrators who are bigger Tier -1s or supply directly to OEMs who are willing to integrate the radar modules themselves. Praveen can talk about the cost as well as the technical advantages. Praveen?

Praveen Rao: Yeah. So, thank you, Vivek. So, both, in -cabin as well as exterior Kapil, you know, if you have that, slide pulled up, Pratik, so there are several advan

tages of our in -cabin, as you see on the left portion of th is slide. So, these are all our, let's say unique selling points , and it is basically, one product which can do all of these functions. Now, the ADAS regulation mandates a few of these functions today. For example, occupant detection or child present detection or driver monitoring syst ems, but the product that we are offering to the OEM can do several other things, right several other value -added features. So this is something which we are, pitching to the OEM. The other thing is we are perhaps one of the early ones to set up a facility in India for the radar product, right? if you look at where others are today. So that is something which is exciting because we will be launching production with our first product pretty soon, which means we'll be able to have the opportunity to support a ll the OEM programs anytime FY27 onwards. So that's a great situation to be in on the in -cabin. Exterior , with all the mandates that are coming up, we have a product which, as I said, can replace ultrasonics and corner radars, so that's a huge advantage in money terms, you know, it's almost like half of what they would be spending today to have this ultrasoni c and the radars. So it is definitely a big advantage and we are pitching to OEMs, you know, as, both a technical advantage as well as from a cost point of view. And now with the production facility being there, you know, we are ready to support. So all in all, I think it is very timely with the regulation, coming in, pitching in, you know, I mean, calendar year 27 is when at different points in time for existing as well as new vehicles, it will be mandated and we are ready to support.

Moderator : We have a question from Gunjan Prith yani. Gunjan, you can go ahead.

Gunjan Prithyani: Thanks for taking my question. Good to see, growth coming back after a really tough couple of quarters. I was just looking for, two inputs. Firstly, I think the traction motor, really solid growth. When I look at it, from an industry level, of course, EV adoption in two -wheelers isn't gr owing as much. So I just wanted to hear your thoughts on the growth that we are seeing, is it market share gains in the industry ? And if you can sort of give us a little bit of color on how the market share stands, like you share for other segments as well, and how big is this three -wheeler opportunity? Has it started to also add in meaningfully? So, a bit more color on how we think about the growth outlook on the traction motors.

Vivek Vikram Singh : Gunjan doesn't need to thank us for taking a question. We are here for just one express purpose to answer all your questions. So, we are at your behest, so there is no need for thanks.

EV penetration as a percentage of two -wheelers may not have changed meaningfully, but our new programs have started kicking in. We are also expanding the share of wallet with existing customers. So the point that we made, that our agility in shifting from heavy rare earth to heavy rare earth - free magnets, that actually helped quite a lot. And I don't want to belabor the point, but this is what I keep saying, that capable people with a strong engineering background in these periods of supply chain or disrupt ion are usually the one to gain share of wallet and market share. But market share calculation within, is harder to give you as a percentage. That's why basically, at the end of year, we'll just see how many electric vehicles are produced. We see how many motors we made, and because only one motor goes in each vehicle, you can just do that division. It's fairly easy. What is hard to quantify is how much of it is still being supplied by China. Some people let you know that they are buying from China. Some pe ople don't tell you that they're actually buying from China. So that is the hard part. But I would say

comfortably, we would be the largest, in this space, even if you take other vehicle categories. Three- wheelers' opportunity is big and it's actually grow ing, one of the fastest, and hopefully in the next couple of quarters, you will see the growth being even more solid. What, because the value is also much higher, right? As the power and voltage go up, the value goes up nonlinearly, actually, it goes up mu ch harder. Because of which, I would say for the next 5 years also, I would expect traction motors and controllers to be our highest growth segment, by far, I think.

Gunjan Prithyani: OK, got it. I think the value opportunity, I assumed is yet to kick in, from the three -wheeler piece.

Vivek Vikram Singh : Some have already started, this quarter some more programs will start, so it is coming in faster than anticipated. And obviously, the big boy piece, which is

the four -wheeler bit, is something that we are working on, and hopefully, we can share something in the times to come. But yeah, it's closer than one expected. Well, that's a really big segment because even if you take a small number of vehicles, and I kno w that for some reason we say BEV is the only one which has a traction motor. All plug -in hybrids also have traction motors. If you add that total volume and combine, multiply that by the value of the motor and controller, the addressable market is humongo us. Even a small portion is a big and meaningful thing for us.

Gunjan: What would be the value if you were to sort of share a range for the four - wheeler?

Vivek Vikram Singh : Can't yeah, because then people can read this and then negotiate against me.

Gunjan: Ok, got it. The second one, I wanted to go back to the comments that you made that, you know, there is a surge in inquiries, almost similar to the supply chain disruption when we saw post -COVID. Can you talk about what sort of inquiries that you're seeing? Is it supply chain diversification? Is it, you know, just the product capabilities, you know, getting more stronger within Indian suppliers? And on the same lines, the whole Europe, opportunity that you spoke about in the last conference call, at what stage are we on that business?

Vivek Vikram Singh : Ok, so I'll take it one at a time. So this auto supply chain is global by nature, right, that customers are spread across the world and even within customers.

So we, let's say we say X custom er is a North American manufacturer, they would most likely have manufacturing in Europe, etc. as well. The supply chain is also similarly distributed all over the world. When we say that European suppliers are facing financial difficulties, it is not just the Eu ropean plants. It will also be the US plants and other plants. And I would say about, and this is primarily, by the way, driveline business, I would say is where we are seeing this the most. I will come to starters after this. In the driveline, what we're seeing is that about 400 million to 500 million euros worth of revenue companies might just fold, and all that they do will have to be redistributed across the supply chain. Well, this kind of event happens, the most likely people to inherit this business or get this business resourced, are , well, China and India, and for political or whatever reasons, for North America, that choice will not be China. So it then becomes India or finds another supplier who is strong within the continenta l United States or wi thin Europe for European OEMs. It is hard to do that. So this is basically redrawing of supply chain maps itself. It is one of the bigger moves. I mean, you know, remember there was a time in 22, 23, you used to ask me about China plus one and all. At that time, even, and I think it'll be in one of our transcripts that I said this is not, it is not as real as people claim it to be, because there wasn't really an imperative

to do so. Now there is a financial imperative to do so, so there is a hardcore urgenc y behind this. And as far as conversion goes, some may have already converted in the 15 days that have passed in January, but they can convert today, they can convert tomorrow because almost all of them

are what we call stage 3 or stage 4 of our pipeline. Which is the phase in which you have demonstrated the product, you have developed the product, and now samples are approved. Now you're basically negotiating commercials. So that's where a lot of this is right now.

For s tarters, what we are seeing is interesting that the motor market, as you know, there are 5 or 6 large, large global players. Some of them are looking at vacating the starter motor field. So here, the opposite of the electrification thing is happening, that suddenly, a lot of people do not want to make starter motors are really big guys. They may look to shut plants, and that capacity would have to shift somewhere. So that's where the inquiries are coming from, that people who were getting it from one o f our bigger competitors, we are probably 6 or 7 in the world in starters, so one of the top 3 -4, and they have to now resource. There is no real move towards India. It is a move to competent global suppliers who are already proven at global scale, because we have in the past done those parts, done those assemblies. So the customers are well aware that, you know, we can do it. You would rather, when you're in an urgent situation to resource, you would want to go with a tried and tested person. So that's whe re it is today.

Moderator : Thank you. Please be reminded to keep your questions to a maximum of 2 questions. If you have more questions, please return to queue. Now we will take the next question from Nitin Arora. Nitin, you can go ahead.

Nitin Arora : Vivek just first continuing this question what Gunjan asked, and giving the way your confidence right now and has been in the last two quarters about this opportunity, how do you think about, you know, profitability of this opportunity? My question is, you know, we used to be a very when North America used to be very big, we were like 27% margin company. I mean, I'm not saying that today you are not a very big margin company. The question is that. How do you think about this profitability move ment happens when these orders also starts coming to you? Because I'm assuming if the way I'm reading your commentary, nobody will come for one or two orders if it's a supply chain thing. He will obviously will try to scale, vendors and, you know, auto ancillaries like you for the longer run. So how do you think about profitability on that, on that account? And second, I know India is becoming big for you now, and I need your outlook, more on, one aspect which is

commercial vehicle, which is a lot of noise in the last 2 -3 quarters, and, we as
an analyst always think that, you know, eventually the fundamentals should prevail, you know, the fleet size is pretty aging, growth should come back,
but it has always been a false start. But this time it's almost like a 3rd month
where the industry is growing in almost 20%+. Just need your outlook on that
as you are also a supplier there. So just these two questions.
Vivek Vikram Singh : I'll cover both. CV, obviously, we have a good insight because we are. I don't
know what word to use, but we are like above 80- 85% of CV industries are our
differential gears. So, we see that very quickly, and you're right, it is always
wise to wait for 3 months before you take any judgment call on whether a
CV cycle started or not. We have seen 5 false starts in the last 5 years. I hope

this one sticks. I actually was thinking that the GST cuts would be the best for
the CV industry, and when immediately it did not mat

erialize, I was slightly
confused because usually we pride ourselves on getting these calls right. I
think it will. So in I ndia has done well because of traction motors, as Gunjan
pointed out, trucks, as you pointed out, tractors, and train brakes. So all 4 T's,
so the 4 Ts have done well for us and I think all four are going to continue for
some time. From a purely the trends we have seen in the past of vendors CV
cycle go up, down, tractor cycle, all of them seem to be in favor of that
hypothesis. On the first one, the margin front, same answer I'll give that I gave
to you when you asked me this question in, I think it was April, May 2021 before
our IPO. It doesn't really matter what new business we add, subtract. At that
time, I used to say our range of EBIT DA will always be between 25 to 27. After
we acquired the railway business, as you know, it has significantly lower marg in than our average. I said it will be between 24 to 26. I don't think it will
change, man. Like this is, also understand that these are the projects we are talking about, if I take their total value. It may be the inquiries we have in the
pipeline it may be 2 to 3 times our revenue size. We can't possibly do all of
them. So we will, of course, try to be prudent about it and choose the opportunities that are more commercial vehicles, more bigger vehicles, SUVs,
pickup trucks where torque is high, and value addition naturally is high and
gross margin is high, and hence our EBIT DA margins are high. So we will
continue to be that way because there is an element of choice also here,
right, that if it is a really low margin, only volume increasing opportunity, we
don't do those things. It is very easy for us to have today, at the end of the
year, obviously, to have been 6 ,000 crore company with the same EBIT DA.
But those empty growth type of programs, we will almost always reject unless
there is a high strategic r eason to do it that because of doing that, we get
something else which is meaningful. Otherwise, we don't. And most of these
opportunities that are coming, maybe actually, most of them that I can
remember, at least are higher margin than what we do today.
On the India piece, I think, going forward, hopefully the EU -India FTA should
happen going forward. I'm also keeping our fingers crossed for an India -US
trade deal happening. If those two do happen, I think this pendulum will
swing back and then the West portion of our revenue will also go up. We do
not seek that In dia should become 80%, because what is the meaning of
diversification then? So we would want to keep a healthy mix, and we do see that North America and Europe will increase in the times to come. Have I
answered your questions Nitin or not?
Nitin Arora : Yeah, thank you, Vivek, and all the best to you and, and the team.
Vivek Vikram Singh : Thank you Nitin.
Kapil Singh : Vivek, I'll take Am yn's question. He's not able to connect. Can you comment
on how we should think about the recurring impact of labor codes on
employee costs going forward? Probably this is for Rohit.

Rohit Nanda : Yeah, so, see, our current estimate is it should be around 4 crores a year. I
mean, why I say this is because, you know, the rules and all are yet to be
notified, so our understanding of this will improve as we go along, as would

be the case for everyone, but should be ballpark around 4 crore per annum.
Kapil Singh : Ok, Rohit, while we have you, there are a few questions from Raghu as well, which are on the financials. So just let me run through one by one. There is an improvement in gross margins Q oQ. What has led to this increase?
Rohit Nanda: So Q on Q, it has to be product mix only.
Vivek Vikram Singh : Yeah, it will be product mix . So if you have more products that are assembled in nature, I would say versus if the driveline grows. No, Driveline will ha

ve more,
right? Ones you make from component will have higher gross margin, and the ones you assemble will have lower gross margin. So that's just a mixed thing.
Kapil Singh: I think the second question we have covered on recurring impact of employee expenses from Q4, he specifically asked from Q4.
Rohit Nanda: Yeah, so, Ok, I mean, if it has to be that specific, 4 crores per annum will mean 1 crore a quarter.
Kapil Singh: Yes, are there discussions with Europe OEMs at an advanced stage for orders relating to driveline parts due to bankruptcy of three competitors?
Rohit Nanda: I thought Vivek already covered it, no.
Vivek Vikram Singh : Yeah, yes, and I think I'm now reading those questions. So there's one question on the exact PLI amount, and Rohit, please do not answer that.
Kapil Singh: Would total railway revenue be 357 cr ores this quarter?
Vivek Vikram Singh : So we don't report segment wise or BU wise revenue. I think we are trying to take this, like I explained at length to you, Kapil, we are trying to take this thing away from this, I'd say almost Excel sheet -oriented approach that what ro w is what . Our job is not to help build better models. Our job is to run a business. These 3 things are product lines. Our job is to ensure that on a consolidated level, we as a company continue to do well. What contributes, what is an internal MIS metric? It is not for outside. We give a fair amount of color on which product, etc. has given what I think that is enough. We have always been very transparent on that. We have not ever changed or gone back on how much we report, but more than that, sometimes becomes analysis for no real outcome.
Kapil Singh: Okay. And what is the potential of a hydraulic motor controller?
Vivek Vikram Singh : Yeah, Praveen. If you'd like to answer that one.

Praveen Rao: So, as I opened up on the hydraulic motor controller, so it has wide applications in the farm sector, and as you would know, in farm sector, you have a lot of agricultural implements which are used for towing, plowing, sowing, and many things like, PTO ope ration, so, all of that actually run on hydraulics in most cases. So, to run the hydraulic pump, you need a hydraulic motor, right? And that's what we are launched. So, application is wide, widespread, in the farm sector. We have just begun with one progra m, but the opportunity is, you know, immense, and especially with electrification happening in, tractor segment, it is, only bound to grow.
Kapil Singh: So, Sneha, back to you.
Vivek Vikram Singh : There's another interesting question that I noticed because I read the Q&A thing. Someone asked about differential assembly revenue. Why has it grown sharply on a Q on Q basis?
One of our customers, our oldest EV customer, has had some differential assembly revenue recovery, I will say and then some other customers also, their programs, especially in Europe, actually, EV growth in Europe has been fairly decent for us. So, EV plug -in hybrid, so differential assemblies has grown because of that reason. And the person who noted it, I have to compliment him. This is absolutely the correct analysis that for 3 conse cutive quarters, we saw a decline in those volumes. So we were very happy that this quarter finally started inching back up.
Moderator : We have next question from Rishi Vora. Rishi, you can go ahead.
Rishi Vora : Vivek , my first question is on the couple of partnerships which we announced, right, Enedym, C -Motive, Equipmake. Can you just give us any update on all these partnerships in terms of product development? And just one clarification, when you talked about, four -wheeler, traction motor, we are working on it. Is it for cars or is it for, you know, other commercial vehicle segments? Just a clarification on that.
Vivek Vikram Singh : So we are workin

g on it doesn't mean we have a purchase order yet,
otherwise we would have put that out. We are working. For all segments,
whatever they may be for 4 wheels and above. Hopefully, in 6 -7 months time,
we will have a meaningful update for you.
Rishi: Sure, because in the past, I remember you had said that passenger vehicle is
not a segment which you are focusing on because the competitive intensity
over there is on the higher side. So is there a change in thought process in
that segment, at least in te rms of product development?
Vivek Vikram Singh : Oh no, what I'd said, and I'll clarify, was exactly this, that we will start with 2
wheelers, then move on to 3 wheelers, and then the toughest to compete is
in 4 wheelers. So we will go to it in the end when we are certain of the
capability of our product , the advantages we bring to the customer, and
only then would it make sense. If we are not able to do it ourselves, we'll, of

course, figure out a way to collaborate, partner, do something, but it is a
segment that we will come to in the end, and this is something I had said in I
think 21 or 22 calendar, when we had shown the map that we eventually
want to address every single market segment, but this will be our order of
progress. As you know, since then, we have done quite well. I hope our
numbers speak for themselves. We are perhaps the largest, if not t he largest,
we will surely be one of the, at least the 2nd largest in volum e terms. I doubt
if we're not the largest in 2 -wheelers. In 3- wheelers, we have made a
meaningful dent. So it is time, and we have worked enough that we keep
aspiring upwards.
On your second question, again, these are partnerships that were formed in
21 and 22. Not that much. These were, and now with the hindsight
advantage, I think in public markets, purely R&D types of partnerships should
not be announced, because people ask q uestions, as if they'll be
commercial opportunities. We were trying to explore, so I'll tell you all three. All three were trying to develop rare earth free motors. I will let Praveen and
Sat talk about where we are with each other then, but it is not some thing that
can happen instantly. For 200+ years, motors have been made using magnets. To challenge that, you need breakthrough innovation and almost
inventive leap. And that does take a much longer time frame. We continue
to work with, I think, Equipmake, Enedym as well as C -Motive. We continue to
monitor it, but Sat and Praveen can guide more on where we are, with those.
Sat Mohan Gupta : Thanks, Vivek. On Equipmake and Enedy m, I mean we are working with both
the companies and both the partners. We are trying to see that how we can
perfect the application requirement, into these technologies. So right now,
it's in validations and trying to address some of the concerns of the c urrent
application requirement on C -Motive, maybe Praveen can help on.
Praveen Rao: Yes, Thanks Sat. So, C -Motive, as we informed, earlier, it's a kind of a moonshot
technology. It's what's called electrostatic motors. So, their primary applications were industrial, basically to replace, let's say, conveyors or
electric fans with this kind of motor. The automot ive was a challenge to be
handled later because automotive talks about reliability, safety, form factor,
packaging and other things. So they are currently in the state of, you know
working towards industrial applications, and I believe once they address th at
challenge, we can then move to automotive because our requirements, as I said, NVH and safety are still quite strong. So I think that is for the future, but
for now, I think they still have work to do before we get to automotive.
Vivek Vikram Singh : But, Rishi, good of you to remember that old things.
Rishi Vora : Yeah, thanks, team, for the answer. And, one last question for Rohit. If you
coul

d, just refresh on the commodity contracts because aluminum and
copper prices have gone up sharply. So is it a pass -through in all our
subsegments, or like just, what are the broader contractual terms for the commodities?

Rohit Nanda: So, steel is a pass- through for driveline business, for motor business, copper
and aluminum is a pass -through. Steel is not a pass through in all the

contracts. It's only a pass through in some of the contracts. So, that's how it will stack up.
Vivek Vikram Singh : So, while we did not mention anything on commodities, just for knowledge that we have achieved these margins and held on to them despite actually a quite sharp increase in commodity prices. Which although it does not affect absolute EBIT DA it does affect the EBIT DA margin because it gets added in numerator and denominator if you pass through also. So, whilst, mostly we pass through, but numerically, it always depresses margin. It has happened to us in FY22. If you remember, that was the first time our margin s fell below 25%. When we go above 26 or 27%, that happens when commodity prices cool off quite a bit, and then numerically or mathematically, the margin goes up.
Kapil Singh: Vivek, there are a few questions in the question queue, so let me just, read out, some of those. One was on, how is the situation on rare earth supply panning out?
Vivek Vikram Singh : I think I addressed that in my opening comment, no supply from China on heavy rare earth magnets. We are still restricted as a country.
Kapil Singh: There were some questions on, earlier, some question marks on, light rare earths as well. Is that fine, or is there any risk there as well?
Vivek Vikram Singh : It's fine so far. Don't scare people.
Kapil Singh: On the differential assembly, there was a follow -up. Is the EV plug -in hybrid a new program or ramp up of existing programs?
Vivek Vikram Singh : Ramp up of existing programs. There has been no material big program that has started. Any program that started recently would be small ones. Pratik, you can correct me if I'm wrong.
Pratik Sachan : Yeah, that's correct. It's an already existing program getting ramped up .
Kapil Singh: I think there are a few questions which are along the lines that macro, do you see macroeconomic policies worldwide conducive for EVs? Most of our orderbook is from EVs. Do you see a risk there, because of the policy changes?
Vivek Vikram Singh : The policy changes that were to happen have happened. I mean, like when people say when the worst has happened, you can actually breathe a sigh of relief because you're already through it. So, all EV subsidies or credits that were being given in the US hav e been scrapped already. This, so this performance is despite, all of that. I did mention in my opening statement that 45% negative growth sequentially for the North America EV market. So

this is despite all that. Europe, but if you actually go and study, and I think, BofA team takes out this mobility newsletter, which is pretty good in which they track market by market EV sales. So if you add B EV plus plug -in hybrid, which is basically our segment, you'll see pretty decent performance in Europe, because now what is happening is that as battery prices continue to come down, economically, the EV is making more sense. And once the world has seen th at happening in China, they realized that even without any incentives, the EV is the better way to go. I think you will see that, at least in India and Europe, you will see a very, very high tailwind for EV and actually, most of you, I think, already concur from what I read. I don't read many of our c ompany coverage reports, but when you guys publish the auto sector report, I do read it. I think you will also concur that the tailwind is ver

y strong for Europe and India now in EV.
Kapil Singh: Sure, and then there's a question on what's the status of products proposed to be developed under the Neura robotics MOU? What is the ballpark TAM you're looking for in robotics and humanoids as this is a very nascent stage?
Vivek Vikram Singh : Correct. I did address that last time also. Do not ask for 5 years. Now, we are much wiser after being public for 5 years. Please do not ask. This is something we are doing. I had explained to the length that 0 to 5 years, you spend money, but don't make money. 5 years, you start making some money, 5 to 10, you make money, right? When we announced our suspension motor, we were met with a lot of skepticism and scoffing in 21. Until 24, it was right. We did not make even a single dollar. 25 when we made the first dollar 26 will be when we'll make millions, and hopefully 28, 29 is when we go into tens and hundreds of millions. That is how it scales. When differential assembly for EVs

2016 to 2019, we made no money. 2019 onwards, we started making some money, and then it became tens of millions of dollars post that. This is the usual product development cycle. So if this is for making decisions on the near term basis, please do not consider it at all. Indulge us that these are something that we are passionate about and like to talk about, but this is not for today. This is for the company 5 years later. We make 15 -year plans. We don't do this for the short term, and we never will.

Kapil Singh: Okay. One question is on the rare earth free motors. How do they compare in terms of usage or output to rare earth motors, and then some comparison with, where, heavy rare earth or light rare earth which are less efficient, some color on that as well.

Vivek Vikram Singh : It's a good question. Sat, would you like to answer it? Actually, let's do it in three ways. What is heavy rare earth , heavy rare earth free or light rare earth and Ferrite ? What are the three differences? I think Sat can answer this well because he has been telling this to customers and the government for a while.

Sat Mohan Gupta : Between heavy rare earth and light rare earth, the difference is not major. It impacts two things. One is the performance, which is in terms of the efficiency of the machine and the thermal handling of the system or the machine, you

can say. So between HRE and LRE, I mean, we work on different parameters, to meet the application requirements. So we work on copper, we work on the size of the motors, internal size of the motor. And try to see that, I mean, there is not a big change betw een HRE and LRE application requirement. When it comes to ferrite. Ferrite is more thermal -friendly, but, as far as the power of ferrite is concerned, it's lower than HRE and LRE. In that case the efficiency factor comes down drastically, and even after working on the design with more copper and other components. Still, it lacks and it increase s the weight of the vehicle. So, the good fit, I mean, what we have seen and what we have done is to replace HRE with LRE, which is without impacting the, application and the customer requirements but Ferrit e is a good option, to manage the supply chain more effectively, but it comes with a little bit of challenge on efficiency as well as the weight. I hope I answered.

Vivek Vikram Singh : Yeah, So net net, two -wheeler, three -wheeler, if you engineer the product well and make some changes to the motor topology, design, other materials, you can using LRE magnets, get to the same application. So there is no, no OEM or none of our customers at least will compromise on product quality. So we will get to the same product quality by a few changes, and the ability to change fast, does help you, as I answered to Gunjan, increased share of wallet and market share when these change s are happening.

Ka

pil Singh: Then there's a question on, what are the tariffs for Sona in the US and EU? Who is paying the tariffs?

Vivek Vikram Singh : I'm not gonna answer this question, otherwise, you know, somebody big might get very, very unhappy. Very, very fundamentally, the tariff is paid by an importer, not by an exporter, because that is how tariffs work, that if you import something, you have to pay a tax that is what it is. Apart from that, I think it's well known. It's not like Sona has some special arrangement, with any country or government. Everybody has the exact same tariff rates if they're from a certain country, or i f their products fall under a certain HS code. So, it is defined by HSN codes, and you pay that tariff accordingly.

Kapil Singh: Then one question is regarding the strong RFQ pipeline, how long does it take for the order book to translate to revenue?

Vivek Vikram Singh : Good question.

Kapil Singh: Question should be how long does it take to first translate to the order book?

Vivek Vikram Singh : Yeah, I think the first part is the one that once you get a purchase order, anywhere between 12 to 18 months is what it takes for revenue to flow and sometimes even longer, it can even go up to 24 to 30 months. Depends on how early that OEM has moved. What we're talking about are also special situations in which it is what is called a running change, that you have a supplier and you're switching midstream. Those typically are shorter time cycles. So, the answer is, very sadly, that it depends. It depends fr om program to program, context to context, as swiftly as 8 -9 months, and as long as 30 months, from start to revenue.

Kapil Singh: And one question on financials is employee cost has increased 14% QoQ. Can you indicate the reason for the increase and whether further increase is expected in the near term?

Rohit Nanda: No, so we don't expect an increase in the near term. I mean, of course, some part of the employee cost is also linked to the revenue. But the staff cost, there's an annual increment cycle which we have, which is from October to October and that's the reaso n why you see an increase in the employee cost here. So in the near term, it should not go up.

Kapil Singh: With this, I think I've covered all, all the questions in the queue. Sneha, back to you.

Moderator : Thanks everyone. Due to time constraint, we have to conclude this call now. If you have any further follow -up questions, please feel free to email your Nomura sales representative or corporate access team. Thank you everyone for your time. You may now drop off the call .

Call: May 2026

(no extractable text — likely a scanned image PDF)